

Department of Regulatory Agencies

Public Utilities Commission

RULES REGULATING GAS UTILITIES

4 CCR 723-4

[Editor's Notes follow the text of the rules at the end of this CCR Document.]

BASIS, PURPOSE, AND STATUTORY AUTHORITY.

The basis and purpose of these rules is to set forth the manner of regulation over jurisdictional gas utilities, the services they provide, and their actions to maintain just and reasonable rates, ensure system safety, reliability, and resiliency, protect disproportionately impacted communities, and reduce greenhouse gas emissions from the use of gas by their customers and from leaks in their facilities. These rules also set forth the manner of regulation over master meter operators. These rules address a wide variety of subject areas including, but not limited to, planning, expenditure and demand forecasting, cost and rate impacts, system safety and integrity planning, service interruption, meter testing and accuracy, safety, customer information, customer deposits, rate schedules and tariffs, discontinuance of service, master meter operations, transportation service, flexible regulation, procedures for administering the Low-Income Energy Assistance Act, gas service low-income programs, cost allocation between regulated and unregulated operations, recovery of gas costs, appeals regarding local government land use decisions, demand side management programs, the reduction of greenhouse gas emissions from the distribution and end-use consumption of gas, and authority of the Commission to impose civil penalties on public utilities. The statutory authority for these rules can be found at §§ 29-20-108, 40-1-103.5, 40-2-108, 40-3-102, 40-3-102.5, 40-3-103, 40-3-104.3, 40-3-106, 40-3-111, 40-3-114, 40-3-101, 40-3.2-103, 40-3.2-106, 40-3.2-107, 40-3.2-108, 40-4-101, 40-4-106, 40-4-108, 40-4-109, 40-5-103, 40-7-117, 40-7-113.5, 40-7-116.5; and 40-8.7-105(5), C.R.S.

GENERAL PROVISIONS

4000. Scope and Applicability.

- (a) Absent a specific statute, rule, or Commission order which provides otherwise, all rules in this Part 4 (the 4000 series) shall apply to all jurisdictional gas utilities, gas master meter operators, and to all Commission proceedings concerning gas utilities and gas master meter operators.
- (b) The scope and applicability rules regarding appeals of local government land use decisions are as stated in rule 4700.

4001. Definitions.

The following definitions apply throughout this Part 4, except where a specific rule or statute provides otherwise. In addition to the definitions here, the definitions found in the Public Utilities Law and Part 1 apply to these rules. In the event of a conflict between these definitions and a statutory definition, the statutory definition shall apply. In the event of a conflict between these definitions and a definition in Part 1, these definitions shall apply.

- (a) “Advanced metering infrastructure” means an integrated system of smart electric or gas utility meters and communication networks that enables two-way communication between an electric or gas utility’s data systems and the meter’s internet protocol address and allows the utility to measure usage and/or connect or disconnect services remotely.
- (b) “Affiliate” of a utility means a subsidiary of a utility, a parent corporation of a utility, a joint venture organized as a separate corporation or partnership to the extent of the individual utility’s involvement with the joint venture, a subsidiary of a parent corporation of a utility or where the utility or the parent corporation has a controlling interest over an entity.
- (c) “Aggregated data” means customer data, alone or in combination with non-customer data, resulting from processing (e.g., average of a group of customers) or a compilation of customer data of one or more customers from which personal information has been removed.
- (d) “Applicant for service” means a person who applies for utility service and who either has taken no previous utility service from that utility or has not taken utility service from that utility within the most recent 30 days.
- (e) “Air Pollution Control Division” means the Air Pollution Control Division of the Colorado Department of Public Health and Environment established by § 25-1-102(2)(a), C.R.S.
- (f) “Air Quality Control Commission” means the decision-making body within the Colorado Department of Public Health and Environment established by § 25-7-104, C.R.S., to oversee and promulgate the rules to administer Colorado’s air quality programs.
- (g) “Base rate” means charges used to recover costs of utility infrastructure and operations, including a return on capital investment, not otherwise recovered through a utility rate adjustment mechanism.
- (h) “Basis Point” means one-hundredth of a percentage point (100 basis points = 1 percent).

- (i) "Benefit of service" means the use of utility service by each person of legal age who resides at a premises to which service is delivered and who is not registered with the utility as the customer of record.
- (j) "Biomethane" means:
 - (I) a mixture of carbon dioxide and hydrocarbons released from the biological decomposition of organic materials that is primarily methane and provides a net reduction in greenhouse gas emissions; and
 - (II) includes biomethane recovered from manure management systems or anaerobic digesters that has been processed to meet pipeline quality gas standards.
- (k) "Commission" means the Colorado Public Utilities Commission.
- (l) "Contracted agent" means any person that has contracted with a utility in compliance with rule 4030 to assist in the provision of regulated utility services (e.g., an affiliate or vendor).
- (m) "Craft labor certification" means all documentation and certification of payroll required for an Energy Sector Public Works project.
- (n) "Cubic foot" means, as the context requires.
 - (I) At Local Pressure Conditions. For the purpose of measuring gas to a customer at local pressure conditions, a cubic foot is that amount of gas which occupies a volume of one cubic foot under the conditions existing in the customer's meter as and where installed. When gas is metered at a pressure in excess of eight inches of water column gauge pressure, a suitable correction factor shall be applied to provide for measurement of gas as if delivered and metered at a pressure of six inches of water column gauge pressure. A utility may also apply appropriate factors to correct local pressure measurement to standard conditions.
 - (II) At Standard Conditions. For all other purposes, including testing gas, a standard cubic foot is that amount of gas at standard conditions which occupies a volume of one cubic foot.
- (o) "Curtailment" means the inability of a transportation customer or a sales customer to receive gas due to a shortage of gas supply.

- (p) "Customer" means any person who is currently receiving utility service. Any person who moves within a utility's service territory and obtains utility service at a new location within 30 days shall be considered a "customer." Unless stated in a particular rule, "customer" applies to any class of customer as defined by the Commission or by utility tariff.
- (q) "Customer data" means customer specific information, excluding personal information as defined in paragraph 1004(x), that is:
 - (I) collected from the gas meter by the utility and stored in its data systems;
 - (II) combined with customer-specific energy usage information on bills issued to the customer for regulated utility service when not publicly or lawfully available to the general public; or
 - (III) about the customer's participation in regulated utility programs, such as renewable energy, demand-side management, load management, or energy efficiency programs.
- (r) "Dekatherm" (Dth) means a measurement of gas commodity heat content. One Dekatherm is the energy equivalent of 1,000,000 British Thermal Units (1 MMBtu).
- (s) "Dedicated recovered methane pipeline" means a conveyance of recovered methane that is not a part of a common carrier pipeline system, and which conveys recovered methane from where it is generated to a common carrier pipeline or to the end user in Colorado for which the recovered methane was produced so long as the recovered methane replaces geologic gas supplied by a gas distribution utility or small gas distribution utility.
- (t) "Design peak demand" refers to the maximum gas flow rate projected for a utility system, or a portion thereof, which is utilized by a utility for gas infrastructure capacity planning.
- (u) "Disproportionately impacted community" means a geographic area defined pursuant to § 40-2-108(3)(d), C.R.S., and as may be further modified by Commission rule or order. Mapping of such geographic areas shall be conducted in accordance with the best available mapping tool developed by the Colorado Department of Public Health and Environment, until such time as a different practice is adopted by Commission rule or order.
- (v) "Distribution system" means the utility-owned piping and associated facilities used to deliver gas to customers, excluding facilities owned by a utility that are classified on the books and records of the utility as production, storage, or transmission facilities.

- (w) "Emergency or safety event or circumstance" means a manmade or natural emergency event or safety circumstance:
 - (I) that prevents utility staff from being able to safely travel to or work at a customer's residence or place of business for purposes of reconnecting or making necessary repairs prior to reconnecting utility service; or
 - (II) for which a utility has dispatched utility staff members to help respond to the emergency or safety event or circumstance and, due to the timing or number of utility staff dispatched, the utility lacks sufficient trained staff to reconnect or make necessary repairs prior to reconnecting utility service at a customer's residence or place of business; and
 - (III) includes a severe weather event that one or more reputable weather forecasting sources forecasts to occur in the following twenty-four hours and that is more likely than not to result in dangerous travel or on-site outdoor or indoor work conditions for individuals in the path of the weather event.
- (x) "Energy assistance organization" means the nonprofit corporation established for low-income energy assistance pursuant to § 40-8.5-104, C.R.S.
- (y) "Energy Sector Public Works (ESPW) project" is a project pursuant to § 24-92-301, C.R.S., et seq., that for purposes of these rules:
 - (I) has the purpose of transmitting or distributing natural gas to provide energy to Colorado individual consumers and businesses;
 - (II) is built by or for a utility;
 - (III) has a total project cost of \$1,000,000 or greater, of which the utility will request Commission approval for ratepayers to pay at least \$500,000;
 - (IV) is included for approval through any proceeding conducted by the Commission as part of a request for a certificate of public convenience and necessity pursuant to § 40-5-101, C.R.S., et seq. and the cost thresholds set forth in rule 4102; and
 - (V) includes utility gas transmission and distribution, geothermal systems or thermal networks, and hydrogen-related infrastructure construction projects.

- (z) "Gas" means natural or geological gas; hydrogen, or recovered methane, or any mixture thereof transported by a common carrier or dedicated pipeline; flammable gas; manufactured gas; petroleum or other hydrocarbon gases including propane; or any mixture of gases injected into a pipeline and transmitted, distributed, or furnished by any utility.
- (aa) "Income-qualified utility customer" or "low-income customer" is a customer meeting the requirements of § 40-3-106(1)(d)(II), C.R.S.
- (bb) "Informal complaint" means an informal complaint as defined and discussed in the Commission's Rules Regulating Practice and Procedure, 4 CCR 723-1.
- (cc) "Interruption" means a utility's inability to provide transportation to a transportation customer, or its inability to serve a sales customer, due to constraints on the utility's pipeline system.
- (dd) "Intrastate transmission pipeline" or "ITP" means generally any person that provides gas transportation service for compensation to or for another person in the State of Colorado using transmission facilities rather than distribution facilities and is exempt from FERC jurisdiction.
- (ee) "Local distribution company" (LDC) means any person, other than an interstate pipeline or an intrastate transmission pipeline, engaged in the sale and distribution of gas for end-user consumption. A LDC may also perform transportation services for its end-use customers, for another LDC or its end-use customers, as authorized under its effective Colorado jurisdictional tariffs.
- (ff) "Local government" means any Colorado county, municipality, city and county, home rule city or town, home rule city and county, or city or town operating under a territorial charter.
- (gg) "Local office" means any Colorado office operated by a utility at which persons may make requests to establish or to discontinue utility service. If the utility does not operate an office in Colorado, "local office" means any office operated by a utility at which persons may make requests to establish or to discontinue utility service in Colorado.
- (hh) "Mandatory relocation" means a project to relocate the utility's gas infrastructure as required by a federal, tribal, state, county, or local governmental body.
- (ii) "Main" means a distribution line that serves, or is designed to serve, as a common source of supply for more than one service lateral.
- (jj) "Mcf" means 1,000 standard cubic feet.
- (kk) "MMBtu" means 1,000,000 British Thermal Units, or one Dekatherm.

- (ll) "Natural gas" or "geological gas" means methane or other hydrocarbons that occur underground without human intervention and may be used as fuel.
- (mm) "Non-pipeline alternative" means programs, equipment, or actions that avoid, reduce, or delay the need for investment in certain types of new gas infrastructure and may include energy efficiency, demand response, and beneficial electrification.
- (nn) "Non-standard customer data" means all customer data that are not standard customer data.
- (oo) "Past due" means the point at which a utility can affect a customer's account for regulated service due to non-payment of charges for regulated service.
- (pp) "Pipeline system" means the utility-owned piping and associated facilities used in the transmission or distribution of gas.
- (qq) "Principal place of business" means the place, in or out of the State of Colorado, where the executive or managing principals who directly oversee the utility's operations in Colorado are located.
- (rr) "Pressure district" means a localized area within a utility's service territory whereby an established minimum and maximum pressure range is intended to be maintained and is distinct from neighboring regions.
- (ss) "Project labor agreement," pursuant to § 24-92-303(9), C.R.S., means a pre-hire collective bargaining agreement between a lead contractor and construction labor organization(s) covering the affected trades necessary to perform work on a project that establishes the terms and conditions of employment of the construction workforce and includes provisions that:
 - (I) set forth effective, immediate, and mutually binding procedures for resolving jurisdictional labor disputes and grievances arising before the completion of work;
 - (II) contain guarantees against strikes, lockouts, or similar actions;
 - (III) ensure a reliable source of trained, skilled, and experienced construction craft labor;
 - (IV) further public policy objectives regarding improved employment opportunities for minorities, women, or other economically disadvantaged populations in the construction industry, including persons from disproportionately impacted communities, to the extent permitted by state and federal law;

- (V) permit the selection of the lowest qualified responsible bidder or lowest qualified responsible offeror without regard to union or non-union status at other construction sites; and
- (VI) include other terms as the parties deem appropriate.
- (tt) "Property owner" means the legal owner of government record for a parcel of real property within the service territory of a utility. A utility may rely upon the records of a county clerk for the county within which a parcel of real property is located to determine ownership of government record.
- (uu) "Pyrolysis" means the thermochemical decomposition of material at elevated temperatures without the participation of oxygen.
- (vv) "Qualifying communication" means one of the following methods of communicating with a utility customer about a possible upcoming disconnection of service:
 - (I) a physical visit to the customer's premises during which a utility representative speaks with the customer and provides the customer utility assistance information or, if the customer is not available to speak, leaves notice of proposed disconnection and utility assistance information for the customer's review; or
 - (II) a telephone call, text, or e-mail to the customer's last-known telephone number or email address in which:
 - (A) the utility representative provides the customer with notice of the proposed disconnection and utility assistance information; and
 - (B) the utility representative either speaks directly with the customer over the telephone or the customer receives the utility representative's text or email.
- (ww) "Rate adjustment mechanism" or "rate rider" means a charge added to a utility bill to recover a specific cost that is not part of the base rate.
- (xx) "Recovered methane" means any of the following that are located in the State of Colorado and meet the recovered methane protocol approved by the Air Quality Control Commission: biomethane; methane derived from municipal solid waste, the pyrolysis of municipal solid waste, biomass pyrolysis or enzymatic biomass, or wastewater treatment; coal mine methane as defined in § 40-2-124(1)(a)(II), C.R.S, the capture of which is not otherwise required by law; or methane that would have leaked without repairs of the gas distribution or service pipelines from the city gate to customer end use.

- (yy) "Regulated charges" means charges billed by a utility to a customer if such charges are approved by the Commission, presented on a tariff sheet, or contained in a tariff of the utility.
- (zz) "Sales customer" or "full service customer" means a customer who receives sales service from a utility and is not served under a utility's gas transportation service at that same meter.
- (aaa) "Sales service" means a bundled gas utility service in which the utility both purchases gas commodity for resale to the customer and delivers the gas to the customer.
- (bbb) "Security" includes any stock, bond, note, or other evidence of indebtedness.
- (ccc) "Service lateral" means that part of a distribution system from the utility's main to the entrance to a customer's physical location.
- (ddd) "Standard conditions" means gas at a temperature of 60 degrees Fahrenheit and subject to an absolute pressure equal to 14.73 pounds per square inch absolute.
- (eee) "Standard customer data" means customer data maintained by a utility in its systems in the ordinary course of business.
- (fff) "Standby capacity" means the maximum daily volumetric amount of capacity reserved in the utility's system for use by a transportation customer, if the customer purchased optional standby service.
- (ggg) "Standby supply" means the daily volumetric amount of gas reserved by a utility for the use by a transportation customer should that customer's supply fail, if the customer purchased optional standby service.
- (hhh) "Test year" means a twelve-month period that is examined to determine a utility's costs of service in a rate case.
- (iii) "Third party" means a person who is not the customer, an agent of the customer who has been designated by the customer with the utility and is acting on the customer's behalf, a regulated utility serving the customer, or a contracted agent of the utility.
- (jjj) "Transportation" means the exchange, forward-haul, backhaul, flow reversal, or displacement of gas between a utility and a transportation customer through a pipeline system.
- (kkk) "Transportation customer" means a person who, by signing a gas transportation agreement, elects to subscribe to gas transportation service offered by a utility.
- (III) "Unique identifier" means customer's name, mailing address, telephone number, or email address that is displayed on a bill.

- (mmm) "Unregulated charges" means charges that are billed by a utility to a customer and that are not regulated or approved by the Commission, are not contained in a tariff, and are for service or merchandise not required as a condition of receiving regulated utility service.
- (nnn) "Utility" means a public utility as defined in § 40-1-103, C.R.S., providing sales service or transportation service (or both) in Colorado. This term includes both an ITP and a LDC.
- (ooo) "Utility assistance information" means information that a utility representative provides a customer informing the customer that the customer may contact 1-866-HEAT-HELP (1-866-432-8435) to determine if the customer qualifies for utility bill payment assistance.
- (ppp) "Utility service" or "service" means a service offering of a utility, which service offering is by the Commission.
- (qqq) "Whole building data" means the sum of the monthly gas use for either all service connections at a building on a parcel of real property or all buildings on a parcel of real property.

4002. Applications.

- (a) Any person may seek Commission action regarding any of the following matters through the filing of an appropriate application to request a(n):
 - (I) issuance or extension of a certificate of public convenience and necessity for a franchise, as provided in rule 4100;
 - (II) issuance or extension of a certificate of public convenience and necessity for service territory, as provided in rule 4101;
 - (III) issuance of a certificate of public convenience and necessity for construction of facilities, as provided in rule 4102;
 - (IV) amendment of a certificate of public convenience and necessity to change, extend, curtail, abandon, or discontinue any service or facility, as provided in rule 4103;
 - (V) transfer a certificate of public convenience and necessity, to obtain a controlling interest in any utility, to transfer assets within the jurisdiction of the Commission or stock, or to merge a utility with another entity, as provided in rule 4104;
 - (VI) approval of the issuance or assumption of any security, or to create a lien pursuant to § 40-1-104, C.R.S., as provided in rule 4105;

- (VII) flexible regulatory treatment to provide service without reference to tariffs, as provided in rule 4106;
 - (VIII) approval of a new tariff or an amendment of a tariff for a rate adjustment mechanism on less than statutory notice, as provided in rule 4109;
 - (IX) approval of a meter sampling program, as provided in rule 4304;
 - (X) approval of a refund plan, as provided in rule 4410;
 - (XI) approval of a Low-Income Energy Assistance Plan, as provided in rule 4411;
 - (XII) approval of a cost assignment and allocation manual, as provided in rule 4503;
 - (XIII) approval of a gas infrastructure plan, as provided in rule 4552;
 - (XIV) approval of a clean heat plan, as provided in rule 4729 or 4734;
 - (XV) approval of a gas demand side management plan, as provided in paragraph 4752(e) and rule 4753, or for determinations on demand side management strategic issues, as provided in rule 4761;
 - (XVI) appeal of a local government land use decision, as provided in rule 4703; or
 - (XVII) any other matter not specifically described in this rule, unless such matter is required to be submitted as a petition under rule 1304, as a motion, or as some other specific type of submittal.
- (b) In addition to the requirements of specific rules, all applications shall include, in the following order and specifically identified, the following information, either in the application or in appropriately identified attachments:
- (I) the name and address of the applying utility;
 - (II) the name(s) under which the applying utility is, or will be, providing service in Colorado;
 - (III) the name, address, telephone number, and e-mail address of the applying utility's representative to whom all inquiries concerning the application should be made;
 - (IV) a statement that the applying utility agrees to answer all questions propounded by the Commission or Commission staff concerning the application;

- (V) a statement that the applying utility shall permit the Commission or Commission staff to inspect the applying utility's books and records as part of the investigation into the application;
- (VI) a statement that the applying utility understands that, if any portion of the application is found to be false or to contain material misrepresentations, any authorities granted pursuant to the application may be revoked upon Commission order;
- (VII) in lieu of the separate statements required by subparagraphs (b)(IV) through (VI) of this rule, a utility may include a statement that it has read, and agrees to abide by, the provisions of subparagraphs (b)(IV) through (VI) of this rule.;
- (VIII) a statement describing the applying utility's existing operations and general service area in Colorado.
- (IX) for applications listed in subparagraphs (a)(I), (II), (III), (V), and (VI) of this rule, the applying utility's or parent company's and consolidated subsidiaries' most recent audited balance sheet, income statement, statement of retained earnings, and statement of cash flows so long as they provide Colorado specific financial information;
- (X) a statement indicating the town or city, and any alternative town or city, in which the applying utility prefers any hearing be held; and
- (XI) acknowledgment that, by signing the application, the applying utility understands that:
 - (A) the filing of the application does not by itself constitute approval of the application;
 - (B) if the application is granted, the applying utility shall not commence the requested action until the applying utility complies with applicable Commission rules and with any conditions established by Commission order granting the application; and
 - (C) if a hearing is held, the applying utility shall present evidence at the hearing to establish its qualifications to undertake, and its right to undertake, the requested action.
 - (D) in lieu of the statements contained in subparagraphs (b)(XI)(A) through (C) of this rule, an applying utility may include a statement that it has read, and agrees to abide by, the provisions of subparagraphs (b)(XI)(A) through (C) of this rule.
- (XII) An attestation which is made under penalty of perjury; which is signed by an officer, a partner, an owner, an employee of, an agent for, or an

attorney for the applying utility, as appropriate, who is authorized to act on behalf of the applying utility; and which states that the contents of the application are true, accurate, and correct. The application shall contain the title and the complete address of the affiant.

- (c) In addition to the requirements of specific rules, all applications shall include the information listed in subparagraphs (a)(I) through (V) of rule 1310. Applying utilities may either include the information in the application itself, or incorporate the information by reference to the most recent miscellaneous proceeding created under rule 1310.
- (d) Customer notice. Except as required or permitted by § 40-3-104, C.R.S., if the applicant is required by statute, Commission rule, or order to provide notice to its customers of the application, the applicant shall, within seven days after filing an application with the Commission, cause to have published notice of the filing of the application in each newspaper of general circulation in the municipalities impacted by the application. The applicant shall provide proof of such customer notice within 14 days of the publication in the newspaper. Failure to provide such notice or failure to provide the Commission with proof of notice may cause the Commission to deem the application incomplete. The applicant may also be required by statute, Commission rule, or order to provide additional notice to its customers of the application by first-class mailing or by hand-delivery. Both the newspaper notice and any additional customer notice(s) shall include the following:
 - (I) the title “Notice of Application by [Name of the Utility] to [Purpose of Application]”;
 - (II) state that [Name of Utility] has applied to the Colorado Public Utilities Commission for approval to [Purpose of Application]. If the utility commonly uses another name when conducting business with its customers, the “also known as” name should also be identified in the notice to customers;
 - (III) provide a brief description of the proposal and the scope of the proposal, including an explanation of the possible impact upon persons receiving the notice;
 - (IV) identify which customer class(es) will be affected and the monthly customer rate impact by customer class, if customers’ rates are affected by the application;
 - (V) identify the proposed effective date of the application;
 - (VI) identify that the application was filed on less than statutory notice or if the applicant requests an expedited Commission decision, as applicable;

- (VII) state that the filing is available for inspection in each local office of the applicant and at the Colorado Public Utilities Commission;
- (VIII) identify the proceeding number, if known at the time the customer notice is provided;
- (IX) state that any person may file written comment(s) or objection(s) concerning the application with the Commission. As part of this statement, the notice shall identify both the address and e-mail address of the Commission and shall state that the Commission will consider all written comments and objections submitted prior to the evidentiary hearing on the application;
- (X) state that if a person desires to participate as a party in any proceeding before the Commission regarding the filing, such person shall file an intervention in accordance with the rule 1401 of the Commission's Rules of Practice and Procedure or any applicable Commission order;
- (XI) state that the Commission may hold a public hearing in addition to an evidentiary hearing on the application and that if such a hearing is held members of the public may attend and make statements even if they did not file comments, objections or an intervention. State that if the application is uncontested or unopposed, the Commission may determine the matter without a hearing and without further notice; and
- (XII) state that any person desiring information regarding if and when hearings may be held shall submit a written request to the Commission or, alternatively, shall contact the External Affairs section of the Commission at its local or toll-free phone number. Such statement shall also identify both the local and toll-free phone numbers of the Commission's External Affairs section.

4003. [Reserved].

4004. Disputes and Informal Complaints.

- (a) For purposes of this rule, "dispute" means a concern, difficulty, or problem which needs resolution and which a customer or a person applying for service brings directly to the attention of the utility without the involvement of the Commission or Commission staff.
- (b) A dispute may be initiated orally or in writing. Using the procedures found in rule 1301, a utility shall conduct a full and prompt investigation of all disputes concerning utility service.
- (c) In accordance with the procedures in rule 1301, a utility shall conduct a full and prompt investigation of all informal complaints concerning utility service.

- (d) A utility shall comply with all rules regarding the timelines for responding to informal complaints.
- (e) If a current customer, or an applicant for service that is not a current customer, is dissatisfied with the utility's proposed adjustment or disposition of a dispute, the utility shall inform the person, customer or applicant for service of the right to make an informal complaint to the External Affairs section of the Commission and shall provide to the person, customer or applicant for service the address and toll free number of the Commission's External Affairs section.
- (f) A utility shall keep a record of each informal complaint and of each dispute. The record shall show the name and address of the initiating customer or person applying for service, the date and character of the issue, and the adjustment or disposition made. This record shall be open at all times to inspection by the person who initiated the informal complaint or dispute, by the Commission, and by Commission staff.

4005. Records.

- (a) Except as a specific rule may require, every utility shall maintain, for a period of not less than four years, and shall make them available for inspection at its principal place of business in Colorado during regular business hours, the following:
 - (I) records concerning disputes, which records are created pursuant to rule 4004;
 - (II) complete records of tests to determine the heating value of gas, which records are created pursuant to rule 4202;
 - (III) records concerning interruptions and curtailments of service, which records are created pursuant to rule 4203;
 - (IV) transportation request logs, which records are created pursuant to paragraph 4206(f);
 - (V) notices of rejected transportation requests, which records are created pursuant to paragraph 4206(c);
 - (VI) transportation agreements created pursuant to rule 4206;
 - (VII) all distribution pressure records, and all records or charts made with respect to rule 4208, appropriately annotated;
 - (VIII) meter calibration records created pursuant to under rule 4303;
 - (IX) records concerning meters, which records are created pursuant to rules 4305 and 4306;

- (X) customer billing records, which records are created pursuant to paragraph 4401(a);
 - (XI) customer deposit records, which records are created pursuant to rule 4403;
 - (XII) records and supporting documentation concerning its cost assignment and allocation manual and fully-distributed cost study pursuant to paragraphs 4503(g) and 4504(e), for so long as the manual and study are in effect or are the subject of a complaint or a proceeding before the Commission;
 - (XIII) the total gas transported under each transportation service in Mcf or MMBtu and the associated total revenue;
 - (XIV) records concerning gas infrastructure plans, pursuant to rules 4550 through 4555;
 - (XV) records concerning clean heat plans, pursuant to rules 4725 through 4734; and
 - (XVI) records concerning demand side management, pursuant to rules 4750 through 4761.
- (b) A utility shall maintain at each of its local offices and at its principal place of business all tariffs filed with the Commission and applying to Colorado rate areas. Current and complete tariffs shall also be available on a utility's website in a section that is easily navigable and clearly marked.
 - (c) A utility shall maintain its books of account and records in accordance with the provisions of 18 C.F.R. Part 201, the Uniform System of Accounts. A utility shall maintain its books of accounts and records separately and apart from those of its affiliates.
 - (d) A utility shall preserve its records in accordance with the provisions of 18 C.F.R. Part 225, the Preservation of Records of Public Utilities and Licensees.

4006. Reports.

- (a) On or before April 30th of each year, a utility shall file with the Commission an annual report for the preceding calendar year. The utility shall submit the annual report on forms prescribed by the Commission; shall properly complete the forms; shall ensure the forms are verified and signed by a person authorized to act on behalf of the utility; and shall file in accordance with subparagraph 1204(a)(III) of the Commission's Rules of Practice and Procedure. If the Commission grants the utility an extension of time to file the annual report, the utility nevertheless shall file with the Commission, on or before April 30, the utility's total gross operating revenue from intrastate utility business transacted in Colorado for the preceding calendar year.

- (b) If a certified public accountant prepares an annual report for a utility, the utility shall file, within 30 days after the report is final, either two paper copies of the report with the Commission or an electronic copy through the Commission's E-Filing System.
- (c) On an annual basis, a utility shall file a report stating the average time taken for service personnel to respond to gas odor calls from customers for the following:
 - (I) the entire area served by the utility within Colorado; and
 - (II) each division of the utility assigned to serve a region or portion of the utility's entire service area.

4007. [Reserved]

4008. Incorporation by Reference.

- (a) The Commission incorporates by reference 18 C.F.R. Part 201 (as published on April 1, 2012) regarding the Uniform System of Accounts Prescribed for Natural Gas Companies Subject to the Provisions of the Natural Gas Act. No later amendments to or editions of 18 C.F.R. Part 201 are incorporated into these rules.

- (b) The Commission incorporates by reference 18 C.F.R. Part 225 (as published on April 1, 2012) regarding the Preservation of Records of Natural Gas Companies. No later amendments to or editions of 18 C.F.R. Part 225 are incorporated into these rules.
- (c) Any material incorporated by reference in this Part 4 may be examined at the offices of the Commission, 1560 Broadway, Suite 250, Denver, Colorado 80202, during normal business hours, Monday through Friday, except when such days are state holidays. . Incorporated standards shall be available electronically and provided in certified copies, at cost, upon request. Restrictions on the provision of physical copies due to copyright protections may apply. The Director or the Director's designee will provide information regarding how the incorporated standards may be examined at any state public depository library. The standards and regulations are also available from the agency, organization or association originally issuing the code, standard, guideline or rule as follows: Code of Federal Regulations: www.govinfo.gov/help/cfr.

CIVIL PENALTIES

4009. Definitions.

The following definitions apply to rules 4009, 4010, and 4976, unless a specific statute or rule provides otherwise. In the event of a conflict between these definitions and a statutory definition, the statutory definition shall apply.

- (a) "Civil penalty" means any monetary penalty levied against a public utility because of intentional violations of statutes in Articles 1 to 7 and 15 of Title 40, C.R.S., Commission rules, or Commission orders.
- (b) "Civil penalty assessment" means the act by the Commission of imposing a civil penalty against a public utility after the public utility has admitted liability or has been adjudicated by the Commission to be liable for intentional violations of statutes in Articles 1 to 7 and 15 of Title 40, C.R.S., Commission rules, or Commission orders.
- (c) "Civil penalty assessment notice" means the written document by which a public utility is given notice of an alleged intentional violation of statutes in Articles 1 to 7 and 15 of Title 40, C.R.S., Commission rules, or Commission orders and of a proposed civil penalty.
- (d) "Intentional violation." A person acts "intentionally" or "with intent" when his conscious objective is to cause the specific result proscribed by the statute, rule, or order defining the violation.

4010. Regulated Gas Utility Violations, Civil Enforcement, and Enhancement of Civil Penalties.

- (a) The Commission may impose a civil penalty in accordance with the requirements and procedures contained in § 40-7-113.5, C.R.S., § 40-7-116.5, C.R.S., and paragraph 1302(b), 4 Code of Colorado Regulations 723-1, for intentional violations of statutes in Articles 1 to 7 and 15 of Title 40, C.R.S., Commission rules, or Commission orders as specified in §§ 40-7-113.5 and 40-7-116.5, C.R.S., and in these rules.
- (b) The Director of the Commission or his or her designee shall have the authority to issue civil penalty assessments for the violations enumerated in § 40-7-113.5, C.R.S., subject to hearing before the Commission. When a public utility is cited for an alleged intentional violation, the public utility shall be given notice of the alleged violation in the form of a civil penalty assessment notice.
- (c) The public utility cited for an alleged intentional violation may either admit liability for the violation pursuant to § 40-7-116.5(1)(c) or the public utility may contest the alleged violation pursuant to § 40-7-116.5(1)(d), C.R.S. At any hearing contesting an alleged violation, trial staff shall have the burden of demonstrating a violation by a preponderance of the evidence.
- (d) In any written decision entered by the Commission pursuant to § 40-6-109, C.R.S., adjudicating a public utility liable for an intentional violation of a statute in Articles 1 to 7 and 15 of Title 40, C.R.S., a Commission rule, or a Commission order, the Commission may impose a civil penalty of not more than two thousand dollars, pursuant to § 40-7-113.5(1), C.R.S. In imposing any civil penalty pursuant to § 40-7-113.5(1), C.R.S., the Commission shall consider the factors set forth in Rule 1302(b).
- (e) The Commission may assess doubled or tripled civil penalties against any public utility, as provided by § 40-7-113.5(3), C.R.S., § 40-7-113.5(4), C.R.S., and this rule.
- (f) The Commission may assess any public utility a civil penalty containing doubled penalties only if:
 - (I) the public utility has admitted liability by paying the civil penalty assessment for, or has been adjudicated by the Commission in an administratively final written decision to be liable for, engaging in prior conduct that constituted an intentional violation of a statute in Articles 1 to 7 and 15 of Title 40, C.R.S., a Commission rule, or a Commission order;
 - (II) the conduct for which doubled civil penalties are sought violates the same statute, rule, or order as conduct for which the public utility has admitted liability by paying the civil penalty assessment, or conduct for which the public utility has been adjudicated by the Commission in an administratively final written decision to be liable; and

- (III) the conduct for which doubled civil penalties are sought occurred within one year after conduct for which the public utility has admitted liability by paying the civil penalty assessment, or conduct for which the public utility has been adjudicated by the Commission in an administratively final written decision to be liable
- (g) The Commission may assess any public utility a civil penalty containing tripled penalties only if:
 - (I) the public utility has admitted liability by paying the civil penalty assessment for, or has been adjudicated by the Commission in an administratively final written decision to be liable for, engaging in prior conduct that constituted two or more prior intentional violations of a statute in Articles 1 to 7 and 15 of Title 40, C.R.S., a Commission rule, or a Commission order;
 - (II) the conduct for which tripled civil penalties are sought violates the same statute, rule, or order as conduct for which the public utility has either admitted liability by paying the civil penalty assessment or been adjudicated by the Commission in an administratively final written decision to be liable, in at least two prior instances; and
 - (III) the conduct for which tripled civil penalties are sought occurred within one year after the two most recent prior instances of conduct for which the public utility has either admitted liability by paying the civil penalty assessment, or been adjudicated by the Commission in an administratively final written decision to be liable.
- (h) When more than two instances of prior conduct exist, the Commission shall only consider those instances occurring within one year prior to the date of such alleged conduct for which tripled civil penalties are sought.
- (i) Nothing in this rule shall preclude the assessment of tripled penalties when doubled and tripled penalties are sought in the same civil penalty assessment notice.
- (j) The Commission shall not issue a decision on doubled or tripled penalties until after the effective date of the administratively final Commission decision upon which the single civil penalty was based.
- (k) The civil penalty assessment notice shall contain the maximum penalty amount provided by rule for each individual violation noted, with a separate provision for a reduced penalty of 50 percent of the penalty amount sought if paid within ten days of the public utility's receipt of the civil penalty assessment notice.
- (l) The civil penalty assessment notice shall contain the maximum amount of the penalty surcharge pursuant to § 24-34-108(2), C.R.S., if any.

- (m) A penalty surcharge referred to in paragraph (l) of this rule shall be equal to the percentage set by the Department of Regulatory Agencies on an annual basis. The surcharge shall not be included in the calculation of the statutory limits set in § 40-7-113.5(5), C.R.S.
- (n) Nothing in these rules shall affect the Commission's ability to pursue other remedies in lieu of issuing civil penalties.

4011. – 4024. [Reserved].

CUSTOMER DATA ACCESS AND PRIVACY

4025. Scope and Applicability.

- (a) The basis and purpose of these rules is to describe the protection of and limited access to customer data for gas utilities over which the Commission has jurisdiction. These rules are applicable to all utilities except for certain provisions as defined in the rule.
- (b) For the purpose of the Customer Data Access and Privacy Rules, gas utilities are classed into three tiers: a Tier I utility serves more than 150,000 gas customers; a Tier II utility serves between 50,000 and 150,000 gas customers. A Tier III utility serves fewer than 50,000 gas customers.
- (c) No Tier III utility is required to:
 - (I) include in its tariffs a description of standard and non-standard customer data that the utility is able to provide to the customer or to any third party recipient (see paragraph 4027(c));
 - (II) provide customer notice each year regarding customer data (see rule 4028);
 - (III) make customer consent forms for the disclosure of customer data available to customers or third parties (see rule 4029);
 - (IV) disclose aggregated data (see rule 4033); or
 - (V) provide a community energy report (see rule 4035).

However, a Tier III utility may include a description of standard and non-standard customer data that the utility is able to provide to the customer or to any third-party recipient in its tariffs (in accordance with paragraph 4027(c)). Commencing upon the effective date of such description, the Tier III utility shall be deemed to be a Tier II utility for purposes of these Customer Data Access and Privacy Rules for so long as such tariff provisions remain in effect.

4026. Customer Data.

- (a) A utility shall maintain standard customer data sufficient to allow a customer to understand his or her energy usage at a level of detail commensurate with the metering technology used to serve the customer.

4027. Privacy, Access, and Disclosure.

- (a) A utility shall protect customer data in the utility's possession or control to maintain the privacy of customers, while providing reasonable access to that data. A utility is only authorized to use customer data to provide regulated utility service in the ordinary course of business.
- (b) A utility shall not disclose customer data unless such disclosure conforms to these rules, except as required by law or to comply with Commission rule. Illustratively, this includes responses to requests of the Commission, warrants, subpoenas, court orders, or as authorized by § 16-15.5-102, C.R.S.
- (c) A utility shall include in its tariffs a description of customer data that the utility is able to provide to the customer or to any third party recipient to whom the customer has authorized disclosure of the customer's data within the utility's technological and data capabilities. At a minimum, the utility's tariff must provide the following:
 - (I) a description of standard customer data and non-standard customer data and the frequency of customer data updates that will be available (annual, monthly, daily, etc.);
 - (II) the method and frequency of customer data transmittal and access available (electronic, paper, etc.) as well as the security protections or requirements for such transmittal;
 - (III) a timeframe for processing requests;
 - (IV) any rate associated with processing a request for non-standard customer data; and
 - (V) any charges associated with obtaining non-standard customer data.
- (d) As part of basic utility service, a utility shall provide access to the customer's standard customer data in electronic machine-readable form, without additional charge, to the customer or to any third party recipient to whom the customer has authorized disclosure of the customer's customer data. Such access shall conform to nationally recognized open standards and best practices. The utility shall provide access in a manner that ensures adequate protections for the utility's system security and the continued privacy of the customer data during transmission.

- (e) Nothing in these rules shall limit a customer's right to provide his or her customer data to anyone.
- (f) A utility and each of its directors, officers and employees that discloses customer data pursuant to a customer's authorization in accordance with these data privacy rules shall not be liable or responsible for any claims for loss or damages resulting from the utility's disclosure of customer data.

4028. Customer Notice.

- (a) A utility shall provide each year to its customers a written notice complying with this rule. The utility shall conspicuously post on its website notice of its privacy and security policies governing access to and disclosure of customer data and aggregated data to third-parties. This notice shall:
 - (I) explain what is available to customers, as standard and/or non-standard customer data (e.g., daily versus hourly data);
 - (II) describe the frequency that the utility can provide customer data based on a request for standard data (e.g., on a weekly or monthly basis);
 - (III) advise customers that their customer data may provide insight into their activities within the premises receiving service;
 - (IV) inform customers that the privacy and security of their customer data will be protected by the utility while in its possession;
 - (V) explain that customers can access their standard customer data, as identified by the utility's tariff, without additional charge;
 - (VI) advise customers that their customer data will not be disclosed to third parties, except:
 - (A) as necessary to provide regulated utility services to the customers;
 - (B) as otherwise permitted or required by law or Commission rule; or
 - (C) pursuant to the authorization given by the customer in accordance with these rules.
 - (VII) describe the utility's policies regarding how a customer can authorize access and disclosure of their customer data to third-parties. With regard to such third party data disclosure, the notice shall:

- (A) inform customers that declining a request for disclosure of customer data to a third party will not affect the provision of utility service that the customer receives from the utility; and
 - (B) explain that any customer consent for access to, disclosure of, or use of a customer's customer data by a third party may be terminated or limited by the customer of record at any time and inform the customers of the process for doing so.
- (VIII) explain that aggregated data does not contain customer identifying information and inform customers that customer data may be used to create aggregated data that will not contain customer identifying information;
- (IX) explain that the utility may provide aggregated data to third-parties, subject to its obligation under paragraph 4033(a);
- (X) be viewable on-line and printed in ten point or larger font;
- (XI) be sent either separately or included as an insert in a regular monthly bill, or, for those customers who have consented to receive e-bills, such notice may be sent electronically separately from an e-bill, conspicuously marked and stating clearly that important information on the utility's privacy practices is contained therein;

- (XII) be available in English and Spanish. The customer notice may also be translated to a language other than English or Spanish by a third party or the utility. Forms translated to other languages in accordance with this rule must be accepted by utilities, and may be relied upon, after the English version of the form, the translated version of the form, and an affidavit attesting to the accurate and complete translation from the English version of the form, have been provided to the Commission and the utility possessing the data. Such affidavit must be executed by an interpreter on the active roster of interpreters maintained by the Office of Language Access of the Colorado Judicial Branch. If the utility incurs a cost for translation made at the request of a third party, it may charge the requestor for such cost and may include a reasonable administrative fee in addition to the translation cost; and
- (XIII) provide a customer service phone number and web address where customers can direct additional questions or obtain additional information regarding their customer data, the disclosure of customer data or aggregated data, or the utility's privacy policies and procedures with respect to customer data or aggregated data.

4029. Customer Consent Form for the Disclosure of their Customer Data to Third Party Recipients by a Utility.

- (a) A utility shall make available to any third party a consent form for the disclosure of customer data that is maintained by the Commission and available from the Commission's website. The form shall be available electronically from the utility. The consent form shall be provided in a non-electronic format by a utility upon request from a customer or third party.
- (b) In addition to the Commission supplied form, a utility may create and make available a consent form that:
 - (I) includes the same information contained in the annual notice provided under subparagraphs 4028(a)(V), (VI), (VII), and (XIII);
 - (II) provides spaces for the following required information regarding the third party recipient of the customer data:
 - (A) the name, including trade name if applicable, physical address, mailing address, e-mail address, and telephone number;
 - (B) the uses of the data for which the customer is allowing disclosure;
 - (C) the time period (e.g., months, years) for which data are being requested; and
 - (D) the description of the data that are being requested;

- (III) states that the consent is valid until terminated;
 - (IV) states that the customer must notify the utility service provider in writing (electronically or non-electronically) to terminate the consent including appropriate utility contact information;
 - (V) states any additional terms except an inducement for the customer's disclosure;
 - (VI) be viewable on-line and printed in ten point or larger font; and
 - (VII) provides notice to the customer that the utility shall not be responsible for monitoring or taking any steps to ensure that the third party to whom the data is disclosed is maintaining the confidentiality of the data or using the data as intended by the customer.
- (c) A utility may make available an electronic customer consent process for disclosure of customer data to a third party (e.g., a utility controlled web portal) that authenticates the customer identity. The contents of the electronic consent process must generally follow the format of the model consent to disclose customer data form, be clear, and include the elements to be provided pursuant to paragraph (a) of this rule. No utility is required to provide an electronic consent process in a language other than English.
 - (d) A utility may make available an in-person consent process for disclosure of customer data.
 - (e) A consent form may be submitted to the utility through electronic or non-electronic methods.
 - (f) The scope of consent given shall be defined by the terms of the consent form, except that changes of contact names for an organization, trade name, or utility over time do not invalidate consent as to the respective organization, trade name, or utility. Because the contact named for an organization, trade name, or utility is a representative of the respective organization, trade name, or utility, consent terminates as to such contact when the relationship with the organization, trade name, or utility terminates. Modifications to the consent form over time do not invalidate previous consent. Consent need not be provided on a new form so long as the data provided remains within the scope of consent.

- (g) Customer consent forms shall be available in English and Spanish. Customer consent forms may be translated to into languages other than English or Spanish by a third party or the utility. Forms translated to other languages in accordance with this rule must be accepted by utilities, and may be relied upon, after the English version of the form, the translated version of the form, and an affidavit attesting to the accurate and complete translation from the English version of the form, have been provided to the Commission and the utility possessing the data. Such affidavit must be signed by an interpreter on the active roster of interpreters maintained by the Office of Language Access of the Colorado Judicial Branch. If a utility incurs a cost for a translation at the request of a third party, it may charge the requestor for such cost and may include a reasonable administrative fee in addition to the translation cost.
- (h) Any customer consent forms available from the Commission's website shall be presumed to comply with these rules.

4030. Access to Customer Data for the Provision of Regulated Utility Service.

- (a) A utility may disclose customer data to a contracted agent provided that the contract requires the agent to:
 - (I) implement and maintain data security procedures and practices to protect the customer data from unauthorized access, destruction, use, modification, or disclosure that are equal to or greater than the data privacy and security policies and procedures used by the utility internally to protect customer data;
 - (II) use customer data solely for the purpose of the contract and prohibits the use of customer data for a secondary commercial purpose not related to the purpose of the contract without first obtaining the customer's consent as provided for in these rules;
 - (III) return to the utility or destroy any customer data that is no longer necessary for the purpose for which it was transferred; and
 - (IV) execute a non-disclosure agreement with the utility.
- (b) The utility shall maintain records of the disclosure of customer data to contracted agents for a minimum of three years. Such records shall include all contracts with the contracted agent and executed non-disclosure agreements.

4031. Local Government Access to Customer Data from a Utility for Audit.

- (a) A utility may disclose customer data to a local government either with an audit required to be provided pursuant to a final Commission decision (e.g., a decision approving a franchise agreement) or as reasonably necessary for an audit conducted by a governmental entity of franchise fees paid to them by the utility, provided that:
 - (I) disclosure is not otherwise prohibited by a final Commission decision (e.g., Commission-approved franchise between the utility and the local government);
 - (II) disclosure is made to a designated auditor or auditor's office, who is either an employee or agent of the local government;
 - (III) the auditor collects and uses the customer data solely for the purpose of reviewing or conducting the audit and is prohibited from disclosing or using the customer data for a purpose not related to the audit;
 - (IV) the local government implements and maintains data security procedures and practices to protect the customer data from unauthorized access, destruction, use, or modification;
 - (V) the local government destroys or returns to the utility of any customer data no longer necessary for the purpose for which it was transferred unless state law or the municipality's state-mandated retention schedule requires otherwise;
 - (VI) the local government agrees not to permit access to the data by anyone that has not agreed to abide by the terms pursuant to which the data was provided by the utility. This includes, but is not limited to, all interns, subcontractors, staff, other workforce members, and consultants;
 - (VII) the local government agrees that any recipient of the data pursuant to this rule does not obtain any right, title or interest in any of the data provided by the utility;
 - (VIII) governing law or a non-disclosure agreement executed with the utility requires that the local government, at a minimum, comply with the requirements of this rule; and
 - (IX) the data requested is for utility customers served in the boundaries of the local government.
- (b) The utility shall maintain records of all disclosures of customer data to local government requestors for a minimum of three years.

- (c) Availability of customer data pursuant to this rule does not preclude a local government from requesting other data reports.

4032. Third Party Access to Customer Data from a Utility.

- (a) Except as provided in this rule, paragraph 4027(b), rule 4030, and rule 4031, a utility shall not disclose customer data to any third party unless the customer or a third party acting on behalf of a customer submits a paper or electronic signed consent to disclose customer data form that has been executed by the customer of record.
- (b) Incomplete or non-compliant consent to disclose customer data forms are not valid and shall be rejected by the utility.
- (c) The utility shall maintain records of all of the disclosures of customer data to third party requestors. Such records shall include a copy of the customer's signed consent to disclose customer data form, all identifying documentation produced by the third party requestor, the customer's agreed upon terms of use, the date(s) and frequency of disclosure, and a description of the customer data disclosed.
- (d) The utility shall maintain records of customer data disclosures for a minimum of three years and shall make the records of the disclosure of a customer's customer data available for review by the customer within five business days of receiving a paper or electronic request from the customer, or at such greater time as is mutually agreed between the utility and the customer.

4033. Requests for Aggregated Data Reports from a Utility.

- (a) A utility shall not disclose aggregated data unless the recipient is authorized to receive all customer data within the aggregated data, and the disclosure otherwise conforms to this rule and rules 4031, 4034, and 4035. In aggregating customer data to create an aggregated data report, a utility must ensure that the data do not include any personal information or a unique identifier.
- (b) At a minimum, a particular aggregation must contain at least fifteen customers; and, within any customer class no single customer's customer data or premise associated with a single customer's customer data may comprise 15 percent or more of the total customer data aggregated per customer class to generate the aggregated data report (the "15/15 Rule").

- (c) If an aggregated data report cannot be generated in compliance with paragraph 4033(b), the utility shall notify the requestor that the aggregated data, as requested, cannot be disclosed and identify the reason(s) the request was denied. The requestor shall be given an opportunity to revise its aggregated data request in order to address the identified reason(s). An aggregated data request may be revised by expanding the number of customers or premise accounts in the request, expanding the geographic area included in the request, combining different customer classes or rate categories, or other applicable means of aggregating.
- (d) A utility shall include in its tariffs a description of standard and non-standard aggregated data reports available from the utility to any requestor. At a minimum, the utility's tariff shall provide the following:
 - (I) a description of standard and non-standard aggregated data reports available from the utility including all available selection parameters (customer data or other data);
 - (II) the frequency of data collection (annual, monthly, daily, etc.);
 - (III) the method of transmittal available (electronic, paper, etc.) and the security protections or requirements for such transmittal;
 - (IV) the charge for providing a standard aggregated data report or the hourly charge for compiling a non-standard aggregated data report;
 - (V) the timeframe for processing requests; and
 - (VI) a request form for submitting a data request for aggregated data reports to the utility identifying any information necessary from the requestor in order for the utility to process the request.
- (e) If a utility is unable to fulfill a non-standard aggregated data report request because it does not have and/or does not elect to or cannot obtain all of the data the requestor wishes to include in the aggregated data report, then the utility may contract with a contracted agent to include the additional data and process it along with the customer data in the utility's possession, to generate a non-standard aggregated data report.
- (f) A utility and each of its directors, officers and employees that discloses aggregated data as provided in these data privacy rules shall not be liable or responsible for any claims for loss or damages resulting from the utility's disclosure of aggregated data.
- (g) A utility shall not provide aggregated customer data in response to multiple overlapping requests from or on behalf of the same requestor that have the potential to identify customer data.

4034. Property Owner Request for Whole Building Energy Use Data from a Utility.

- (a) If requested by a property owner or its authorized agent, a Tier I utility shall provide whole building energy use data to the property owner or its authorized agent so long as:
 - (I) the whole building energy use data contains at least four customers or tenants, which may include the property owner's own account; and no single customer's customer data, unless it is the property owner's, comprises more than 50 percent of the whole building energy use data used to generate the whole building energy use data report;
 - (II) the property owner or its authorized agent agrees to not disclose the whole building energy use data except for the purposes of building benchmarking, identifying energy efficiency projects, and energy management; and
 - (III) the property owner or its authorized agent signs a non-disclosure agreement with the utility requiring the property owner, at a minimum to:
 - (A) take appropriate administrative, technical, and physical safeguards to protect the whole building data from any unauthorized use or disclosure to protect the data from unauthorized access, destruction, use, modification, or disclosure;
 - (B) only use the whole building data only for the purposes of building benchmarking, identifying energy efficiency projects, energy management, and complying with laws or ordinances;
 - (C) agree not to attempt to determine an individual utility customer's energy use from the whole building data and not to use the information to contact the subject of the information;
 - (D) agree not to use the whole building energy use data for a secondary commercial purpose not related to the authorized purpose without first obtaining the customer's consent as provided for in these rules;
 - (E) destroy any whole building energy use data that is no longer necessary for the purpose for which it was transferred;
 - (F) agree not to permit access to the whole building data by anyone that has not agreed to abide by the terms pursuant to which the data was provided by the utility. This includes, but is not limited to, all interns, subcontractors, staff, other workforce members, and consultants; and

- (G) agree that any recipient of the whole building data pursuant to this rule does not obtain any right, title or interest in any of the data provided by the utility.
- (b) Upon request by a property owner or its authorized agent, a Tier II utility shall provide whole building energy use data upon the same conditions to the extent of, and based upon, information available in the ordinary course of business.
- (c) A utility shall provide a requested whole building energy use data report in electronic, machine readable format that conforms to nationally recognized open standards and best practices.
- (d) A utility may charge a property owner or its authorized agent for the development of a whole building energy use data report. Such rate shall be determined in a utility tariff as a non-standard aggregated data report. Alternatively, the utility need not charge the customer if the cost to charge a property owner or its authorized agent is greater than the cost to develop a whole building energy use data report.
- (e) Availability of whole building energy use data pursuant to this rule does not preclude a property owner from requesting other data reports.

4035. Community Energy Reports.

- (a) A Tier I utility shall generate a community energy report for each local government other than a Colorado county included in its service territory with 50,000 or more residents. A Tier I utility shall generate a community energy report for each Colorado county included in its service territory with 100,000 or more residents. Any local government with fewer than 50,000 residents and Colorado county with fewer than 100,000 residents or a minority of whom are served by a Tier I utility shall be treated as if it had 50,000 or more residents served by the Tier I upon request from the local government or county. Such requests shall be made by January 31 of the calendar year following the reporting year and shall continue in effect until such time as the request is withdrawn or cancelled by the local government. All population thresholds shall be based on the most recent population estimate from the Colorado State Demography Office and where the utility serves the majority of the population.
- (b) On or before June 1 of every year, a Tier I utility shall make publicly available for download all community energy reports generated for the prior year. Reports shall be available in an electronic machine-readable form that conforms to nationally recognized open standards and best practices.
- (c) The community energy report shall include the following information and aggregated data for the utility and its customers and specific to the local government for the prior calendar year:

- (I) the annual dekatherms consumed by customers, provided by residential, commercial, and industrial classes;
 - (II) the average number of customers in the residential, commercial, and industrial class; and
 - (III) the total annual energy saved (in dekatherms) from energy efficiency measures installed.
- (d) A local government may submit, or have another local government submit on its behalf, a GIS data to define its jurisdictional boundaries prior to the issuance of the community energy report.
- (e) Upon request by a local government, a Tier II utility shall generate a community energy report, in accordance with this rule, consistent with the utility's meter, network, or data capabilities. Such requests shall be made by January 31 of the calendar year following the reporting year and shall continue in effect until such time as the request is withdrawn or cancelled by the local government. On or before June 1 of every year, the utility shall make publicly available for download all community energy reports generated for the prior year. Reports shall be available in an electronic machine-readable form that conforms to nationally recognized open standards and best practices.
- (f) Availability of the community energy report pursuant to this rule does not preclude a local government from requesting other data reports.

4036.– 4099. [Reserved].

OPERATING AUTHORITY

4100. Certificate of Public Convenience and Necessity for a Franchise.

- (a) A utility seeking authority to provide service pursuant to a franchise shall file an application pursuant to this rule. When a utility enters into a franchise agreement with a municipality for the first time, it shall obtain authority from the Commission pursuant to § 40-5-102, C.R.S. prior to providing service under that initial franchise agreement. A utility maintains the right and obligation to serve a municipality within its service territory after the expiration of any franchise agreement.
- (b) An application for certificate of public convenience and necessity to exercise franchise rights shall include, in the following order and specifically identified, the following information, either in the application or in appropriately identified attachments:
 - (I) the information required in paragraphs 4002(b) and 4002(c);
 - (II) a statement of the facts (not conclusory statements) relied upon by the applying utility to show that the public convenience and necessity require the granting of the application;
 - (III) a statement describing the franchise rights proposed to be exercised. The statement shall include a description of the type of utility service to be rendered and a description of the city or town sought to be served;
 - (IV) a certified copy of the franchise ordinance; proof of publication, adoption, and acceptance by the applying utility; a statement as to the number of customers served or to be served and the population of the city or town; and any other pertinent information;
 - (V) a statement describing in detail the extent to which the applying utility is an affiliate of any other utility which holds authority duplicating in any respect the authority sought;
 - (VI) the feasibility study for areas previously not served by the applying utility, which study shall at least include estimated investment, income, and expense. An applying utility may request that its most recent audited balance sheet, income statement, statement of retained earnings, and statement of cash flows be submitted in lieu of a feasibility study; and
 - (VII) a statement of the names of public utilities and other entities of like character providing similar service in or near the area sought to be served.

4101. Certificate of Public Convenience and Necessity for Service Territory.

- (a) A utility seeking authority to provide service in a new service territory shall file an application pursuant to this rule. A utility cannot provide service to a new geographic area without authority from the Commission, unless the utility extends its facilities and service:
 - (I) within a city and county or city or town within which the utility has lawfully commenced operations;
 - (II) into territory contiguous to the utility's facility, line, plant, or system that is not served by a public utility providing the same commodity or service; or
 - (III) within or to territory already served by the utility and the extension is necessary in the ordinary course of business.
- (b) An application for certificate of public convenience and necessity to provide service in a new territory shall include, in the following order and specifically identified, the following information, either in the application or in appropriately identified attachments:
 - (I) the information required in paragraphs 4002(b) and 4002(c);
 - (II) a statement of the facts (not conclusory statements) relied upon by the applying utility to show that the public convenience and necessity require the granting of the application;
 - (III) a description of the type of utility service to be rendered and a description of the area sought to be served;
 - (IV) a map showing the specific geographic area that the applying utility proposes to serve. If the applying utility intends to phase in service in the territory over time, specific areas and proposed in-service dates shall be included. The map shall describe the geographic areas in section, township, and range convention;
 - (V) a statement describing in detail the extent to which the applying utility is an affiliate of any other utility which holds authority duplicating in any respect the territory sought;
 - (VI) a statement of the names of public utilities and other entities of like character providing similar service in or near the area involved in the application;

- (VII) a feasibility study for the proposed area to be served, which shall at least include estimated investment, income, and expense. An applying utility may request that its most recent audited balance sheet, income statement, statement of retained earnings, and statement of cash flows be submitted in lieu of a feasibility study; and
- (VIII) a statement of the names of public utilities and other entities of like character providing similar service in or near the area sought to be served.

4102. Certificate of Public Convenience and Necessity for Facilities.

- (a) A utility seeking authority to construct and to operate a facility, or an extension or expansion of a facility, pursuant to § 40-5-101, C.R.S., shall file an application in accordance with this rule. The utility shall apply to the Commission for issuance of a certificate of public convenience and necessity for approval of construction and operation of a facility, or an extension or expansion of a facility, which is not in the ordinary course of business.
- (b) For a utility with 500,000 full-service customers or more, the utility shall apply to the Commission for issuance of a certificate of public convenience and necessity for construction and operation of a facility, or an extension or expansion of a facility, where the total utility capital investment value is greater than \$12 million in 2020 dollars, unless the utility has already received approval by the Commission pursuant to paragraph 4555(c).
- (c) For a utility with more than 50,000 full-service customers but less than 500,000 customers, the utility shall apply to the Commission for issuance of a certificate of public convenience and necessity for construction and operation of a facility, or an extension or expansion of a facility where the total utility capital investment value is greater than \$10 million in 2020 dollars, unless the utility has already received approval by the Commission pursuant to paragraph 4555(c).
- (d) For any utility with less than 50,000 full-service customers, the utility shall apply to the Commission for issuance of a certificate of public convenience and necessity for construction and operation of a facility, or an extension or expansion of a facility where the total utility capital investment value is greater than \$5 million in 2020 dollars, unless the utility has already received approval by the Commission pursuant to paragraph 4555(c).

- (e) The cost thresholds set forth in paragraphs (b) through (d) above shall be adjusted for inflation annually on March 1 of each year, based upon the annual percentage change in the United States Bureau of Labor Statistics Consumer Price Index – Denver-Aurora-Lakewood as published by the Colorado Department of Local Affairs for the immediately preceding calendar year. These adjustments shall be compounded annually. For reference, the Commission will post a notice on its website, <https://puc.colorado.gov/>, by March 15 of each year reporting the annual inflation adjustments applicable pursuant to this paragraph.
- (f) An application for issuance of a certificate of public convenience and necessity to construct and to operate facilities, or an extension or expansion of a facility, pursuant to § 40-5-101, C.R.S., shall include, in the following order and specifically identified, the following information, either in the application or in appropriately identified attachments:
 - (I) the information required in rule 4002;
 - (II) a statement of the facts (not conclusory statements) relied upon by the applying utility to show that the public convenience and necessity require the granting of the application or citation to any Commission decision that is relevant to the proposed facilities;
 - (III) the project category, consistent with the categories defined in subparagraph 4553(a)(III), or otherwise identified and justified by the utility;
 - (IV) a description of the general scope of work and an explanation of the need for the proposed facilities, including any applicable U.S. Department of Transportation Pipeline and Hazardous Materials Safety Administration code requirements for the facilities;
 - (V) the projected life of the proposed facilities;
 - (VI) the anticipated construction start date, construction period, with any phases indicated, and the expected in-service date for the proposed facilities;
 - (VII) relevant technical details, such as physical equipment characteristics of the proposed facilities, pipeline length, pipeline diameter, project material(s), and maximum allowable operating pressure;
 - (VIII) the estimated total cost and annual incremental revenue requirements of the proposed facilities, assuming both conventional depreciation and accelerated depreciation as applicable;

- (IX) a cost estimate classification using the utility's or an industry-accepted cost estimate classification index, and explanation and support of methodology;
- (X) the project location and an illustrative map of the proposed facilities (subject to necessary and appropriate confidentiality provisions), which includes:
 - (A) the pressure district or geographic area that requires the proposed facilities;
 - (B) the existing and proposed regulator stations and existing and proposed distribution piping and higher capacity pipelines served by or representing the proposed facilities;
 - (C) whether the facilities will be located in any disproportionately impacted community;
 - (D) identification of the electric utility service provider(s); and
 - (E) any other information necessary to allow the Commission to make a thorough evaluation of the application.
- (XI) to the extent practicable, the number of customers, annual sales, and design peak demand requirements, by customer class, directly impacted or served by the proposed facilities;
- (XII) the application shall include information about Best Value Employment metrics consistent with paragraph 4211(a) or, in the alternative, information to demonstrate that the project qualifies for an exemption under paragraph 4211(e). If the information required in paragraph 4211(a) is not available at the time an application is filed because relevant contracts have not yet been entered into, the applicant shall file a status report in the proceeding within 45 days after the last contract has been entered into that identifies how selected contractor(s) meet Best Value Employment metrics;
- (XIII) the application shall address whether it includes one or more projects that are also ESPW projects, and if so, the applicant shall further attest that material contract terms that comply with paragraph 4211(b) have been or will be included in any relevant contracts and that such terms will be required to be included in any relevant subcontracts;
- (XIV) if the proposed facilities are located in a disproportionately impacted community, a description of:
 - (A) the nature of the utility's outreach to members of that disproportionately impacted community, as appropriate to the filing;

- (B) the communications and materials employed; and
- (C) the findings from those outreach efforts.
- (XV) identification of any permit(s) required to begin work;
- (XVI) a description of the environmental requirements associated with completion of the proposed facilities, if any;
- (XVII) the change in projected utility-wide greenhouse gas emissions due to the proposed facilities, as calculated relative to the utility's most recently approved clean heat plan greenhouse gas emission forecast or subsequent interim-year update, in accordance with subparagraphs 4731(a)(I) and 4731(c)(I) or 4733(a)(VI), as applicable; and
- (XVIII) for proposed facilities meeting the definition of a new business project or a capacity expansion project, as defined in subparagraphs 4553(a)(III)(B) and (C), the utility shall also present an analysis of alternatives including non-pipeline alternatives, costs for those alternatives, and criteria used to rank or eliminate such alternatives.
 - (A) An analysis of alternatives shall consider, at a minimum:
 - (i) one or more applicable clean heat resources consistent with the utility's most recently approved clean heat plan, pursuant to rule 4732, demand side management plan, pursuant to rule 4753, or beneficial electrification plan, as applicable;
 - (ii) a cost-benefit analysis including the costs of direct investment and the social costs of carbon and methane for emissions due to or avoided by the alternative, and other costs determined appropriate by the Commission; and

- (iii) available Best Value Employment metrics associated with each alternative, as defined in paragraph 4211(a), including a projection of gas distribution jobs affected by the alternative and jobs made available through the alternative, opportunities to transition any affected gas distribution jobs to the alternative, pay and benefit levels of the affected gas distribution jobs and the jobs available through a transition opportunity, and how employment impacts associated with each alternative could affect disproportionately impacted communities.
 - (B) An analysis of alternatives shall include, at a minimum:
 - (i) the technologies or approaches evaluated;
 - (ii) the technologies or approaches proposed, if applicable;
 - (iii) the projected timeline and annual implementation rate for the technology or approaches evaluated;
 - (iv) the technical feasibility of the alternative assuming full adoption of the technologies and approaches evaluated; and
 - (v) the utility's strategy to implement the technologies or approaches evaluated.
- (XIX) For proposed facilities meeting the definition of a system safety and integrity project, as defined in subparagraph 4553(a)(III)(A), the utility shall provide the risk ranking and detailed information regarding the utility's risk ranking methodology including, but not limited to, the material, age, maximum allowable operating pressure, density of surrounding residences and businesses, and any other physical and operating characteristics relevant to the risk ranking of the proposed facilities and the risk ranking methodology. The utility must also identify, explain, and provide the output to any risk-related models developed or employed by the utility in conducting risk analyses to support planned system safety and integrity projects.
- (g) A separate certificate of public convenience and necessity is not required for mandatory relocations of a utility's gas infrastructure.
- (h) In accordance with subparagraph 4552(d)(II), the utility may satisfy the requirements of rule 4102 in an application submitted pursuant to the Gas Infrastructure Planning Rules.
- (i) Within 30 days of final Commission approval of an application pursuant to this rule, or after the last contract has been entered into that includes one or more

ESPW projects, the applicant or its subcontractor(s) shall notify the Department of Labor Standards and Statistics within the Colorado Department of Labor and Employment about the project to facilitate the collection of craft labor certification(s).

4103. Certificate Amendments for Changes in Service, in Service Territory, or in Facilities.

- (a) A utility seeking authority to do the following shall file an application pursuant to this rule: amend a certificate of public convenience and necessity in order to extend, to restrict, to curtail, or to abandon or to discontinue without equivalent replacement any service, service area, or facility. A utility shall not extend, restrict, curtail, or abandon or discontinue without equivalent replacement any service, service area, or facility not in the ordinary course of business without authority from the Commission.
- (b) An application to amend a certificate of public convenience and necessity in order to change, to extend, to restrict, to curtail, to abandon, or to discontinue any service, service area, or facility without equivalent replacement shall include, in the following order and specifically identified, the following information, either in the application or in appropriately identified attachments:
 - (I) all information required in paragraphs 4002(b) and 4002(c);
 - (II) if the application for amendment pertains to a certificate of public convenience and necessity for facilities, all of the information required in rule 4102;
 - (III) if the application for amendment pertains to a certificate of public convenience and necessity for franchise rights, all of the information required in rule 4100;
 - (IV) if the application for amendment pertains to a certificate of public convenience and necessity for service territory, all of the information required in rule 4101;
 - (V) if the application for amendment pertains to a service, the application shall include:
 - (A) the requested effective date for the extension, restriction, curtailment, or abandonment or discontinuance without equivalent replacement of the service; and
 - (B) a description of the extension, restriction, curtailment, or abandonment or discontinuance without equivalent replacement sought. This shall include maps, as applicable. This shall also include a description of the applying utility's existing operations and general service area.

- (c) Customer notice of application. In addition to complying with the notice requirements of the Commission's Rules Regulating Practice and Procedure, a utility applying to curtail, restrict, abandon or discontinue service without equivalent replacement shall prepare a written notice as provided in subparagraphs 4002(d)(I) through (XII) and shall mail or deliver the notice at least 30 days before the application's requested effective date to each of the applying utility's affected customers. The customer notice shall include a statement detailing the requested restriction, curtailment, or abandonment or discontinuance without equivalent replacement.
- (d) If no customers will be affected by the grant of the application, the notice must meet the requirements of subparagraphs 4002(d)(I) through (XII) and shall be mailed to the Board of County Commissioners of each affected county, and to the mayor of each affected city, town, or municipality.

4104. Transfers, Controlling Interest, and Mergers.

- (a) A utility seeking authority to do any of the following shall file an application pursuant to this rule: transfer a certificate of public convenience and necessity; transfer or obtain a controlling interest in a utility, whether the transfer of control is effected by the transfer of assets, by the transfer of stock, by merger or by other form of business combination; or transfer assets subject to the jurisdiction of the Commission outside the normal course of business. A utility cannot transfer a certificate of public convenience and necessity; transfer or obtain a controlling interest in any utility; or transfer assets outside the normal course of business without authority from the Commission.
- (b) An application to transfer a certificate of public convenience and necessity, to transfer or obtain a controlling interest in a utility, or to transfer assets subject to the jurisdiction of the Commission shall include, in the following order and specifically identified, the following information, either in the application or in appropriately identified attachments:
 - (I) the information required in paragraphs 4002(b) and 4002(c), as pertinent to each party to the transaction;

- (II) a statement showing accounting entries, under the Uniform System of Accounts, including any plant acquisition adjustment, gain, or loss proposed on the books by each party before and after the transaction which is the subject of the application;
 - (III) any agreement for merger, sales agreement, or contract of sale pertinent to the transaction which is the subject of the application;
 - (IV) all facts showing that the transaction which is the subject of the application is not contrary to the public interest;
 - (V) an evaluation of the benefits and detriments to the customers of each party and to all other persons who will be affected by the transaction which is the subject of the application; and.
 - (VI) a comparison of the kinds and costs of service rendered before and after the transaction which is the subject of the application.
- (c) An application to transfer a certificate of public convenience and necessity, an application to transfer assets subject to the jurisdiction of the Commission, or an application to transfer or obtain control of the utility may be made by joint or separate application of the transferor and the transferee.
- (d) When control of a utility is transferred to another entity, or the utility's name is changed, the utility which will afterwards operate under the certificate of public convenience and necessity shall file with the Commission a tariff adoption notice, shall post the tariff adoption notice in a prominent public place in each local office and principal place of business of the utility, and shall have the tariff adoption notice available for public inspection at each local office and principal place of business. Adoption notice forms are available from the Commission. The tariff adoption notice shall contain all of the following information:
- (I) the name, phone number, and complete address of the adopting utility;
 - (II) the name of the previous utility;
 - (III) the number of the tariff adopted and the description or title of the tariff adopted;
 - (IV) the number of the tariff after adoption and the description or title of the tariff after adoption; and
 - (V) unless otherwise requested by the applying utility in its application, a statement that the adopting utility is adopting as its own all rates, rules, terms, conditions, agreements, concurrences, instruments, and all other provisions that have been filed or adopted by the previous utility.

4105. Securities and Liens.

- (a) Subject to the exception contained in paragraph (h) of this rule, a utility which either derives more than five percent of its consolidated gross revenues in Colorado as a public utility or derives a lesser percentage if its revenues are earned by supplying an amount of energy which equals five percent or more of Colorado's consumption shall file an application for Commission approval of any proposal to issue or to assume any security or to create a lien.
- (b) An application for the issuance or assumption of securities with a maturity of 12 months or more or to create a lien shall include, in the following order and specifically identified, the following information, either in the application or in appropriately identified attachments:
 - (I) all information required in paragraphs 4002(b) and 4002(c);
 - (II) the resolution of the applying utility's board of directors approving the issuance, or assumption of the securities or to create a lien, together with, as applicable and available, the proposed indenture requirements, the mortgage note, the amendment to the loan contract, and the contract for sale of securities or creation of a lien;
 - (III) a statement describing each short-term and long-term indebtedness outstanding on the date of the most recent balance sheet;
 - (IV) a statement describing the classes and amounts of capital stock authorized by the articles of incorporation and the amount by each class of capital stock outstanding on the date of the most recent balance sheet;
 - (V) a statement of capital structure showing common equity, long-term debt, preferred stock, if any, and pro forma capital structure on the date of the most recent balance sheet giving effect to the issuance of the proposed securities. Debt and equity percentages to total capitalization, actual and pro forma, shall be shown;
 - (VI) a statement of the amount and rate of dividends declared and paid, or the amount and year of capital credits assigned and capital credits refunded, during the previous four calendar years including the present year to the date of the most recent balance sheet;

- (VII) a statement describing the type and amount of securities to be issued; the anticipated interest rate or dividend rate; the redemption or sinking fund provisions, if any; and, within ten days of their filing with the Securities and Exchange Commission, the registration statement, related forms, and preliminary prospectus filed with the Securities and Exchange Commission relating to the proposed issuance;
 - (VIII) a statement of proposed uses, including construction, to which the funds will be or have been applied and a concise statement of the need for the funds; and
 - (IX) a statement of the estimated cost of financing.
- (c) For applications for the creation of a lien on the applying utility's property situated within the State of Colorado where the creation of the lien is not related to the issuance or assumption of a security, the application shall also include, in the following order and specifically identified, the following information, either in the application or in appropriately identified attachments:
- (I) a description of the property which will be subject to the lien;
 - (II) the amount of the lien;
 - (III) the proposed use of the funds to be received from the lien;
 - (IV) the estimated cost for the creation of the lien;
 - (V) the anticipated duration of the lien;
 - (VI) the anticipated release date of the lien;
 - (VII) the retirement payment plan to release the lien;
 - (VIII) a description of how the applying utility will ensure that neither the creation of the lien nor the use of the proceeds will violate § 40-3-114, C.R.S.;
 - (IX) a statement that, for the duration of the lien, the applying utility will advise the Commission within ten days of any bankruptcy, foreclosure, or liquidation proceeding; and
 - (X) a statement that the applying utility will advise the Commission within ten days of any deviation from its lien retirement payment plan;
- (d) The Commission shall issue notice of the application, which shall set a ten-day intervention period and a hearing date.

- (e) Customer notice. Within three days after the filing of an application to issue or to assume a security, the applying utility shall publish notice of the filing of the application in a newspaper of general circulation. The notice shall include, in addition to the information required by subparagraphs 4002(d)(I) – (XII), the address of the applicant.
- (f) The applying utility shall file with the Commission the published notice and an affidavit of publication as soon as possible after the filing of the application. The Commission shall not grant the application without the notice and the affidavit of publication.
- (g) The Commission shall give priority to an application made pursuant to this rule and shall grant or deny the application within 30 days after filing, unless the Commission, for good cause shown, enters an order granting an extension and stating fully the facts necessitating the extension. The Commission shall approve or disapprove an application made pursuant to this rule by written order.
- (h) Pursuant to § 40-1-104, C.R.S., a utility may issue, renew, extend or assume liability on securities, other than stocks, with a maturity date of not more than 12 months after the date of issuance, whether secured or unsecured, without application to or order of the Commission provided that no such securities so issued shall be refunded, in whole or in part, by any issue of securities having a maturity of more than 12 months except on application to and approval of the Commission.
- (i) Any security requiring Commission approval, but issued or assumed without such approval, shall be void.

4106. Flexible Regulation to Provide Jurisdictional Service Without Reference to Tariffs.

- (a) A utility seeking authority to provide a jurisdictional service without reference to a tariff shall file an application pursuant to this rule. A utility cannot provide a jurisdictional service without reference to a tariff without authority from the Commission.
- (b) An application for flexible regulation to provide jurisdictional service without reference to tariffs shall include, in the following order and specifically identified, the following information, either in the application or in appropriately identified attachments:
 - (I) all information required in paragraphs 4002(b) and 4002(c);
 - (II) the name of the customer or potential customer;
 - (III) a description of the jurisdictional service or services which the applying utility seeks to provide to a customer or a potential customer;

- (IV) a description of the manner in which the applying utility will provide the jurisdictional service or services if it contracts with a customer or potential customer;
 - (V) the facts (not in conclusory form) which the applying utility believes satisfy the requirements of § 40-3-104.3(1)(a), C.R.S.; and
 - (VI) a statement that the applying utility has provided, or will provide when available, the application and contract as required by paragraph 4106(c) of this rule.
- (c) The contract which is the subject of the application shall be filed when available with the Commission under seal pursuant to rules 1100 through 1102 and § 40-3-104.3(1)(b), C.R.S. The applying utility shall furnish the application and, when it is available, the contract, under seal, to the OCC. Unless the applying utility requests other treatment, the Commission and the OCC shall treat the contract as confidential. If the Commission grants a protective order preserving the confidentiality of the contents of an application, then the applying utility shall also furnish a non-confidential version of the application without the contract to any utility then providing service to the customer or potential customer.
- (d) The direct testimony and attachments to be offered at hearing shall accompany the application unless the applying utility believes that the application will be uncontested and unopposed. If an attachment is large or cumbersome, the applying utility shall file the attachment with the Commission; shall provide, for the benefit of the intervenors, the title of the attachment and a summary of the information contained in the attachment; and shall state the location (other than the Commission) at which parties may inspect the attachment.
- (e) Pre-filed testimony or attachments shall not be modified once filed unless the modification is to correct typographical errors or misstatements of fact or unless all parties to the proceeding agree to the modification. In the event a substantive modification is made without the agreement of all parties, the Commission may allow the modification only upon a showing of good cause. The Commission may consider the effect of the substantive modification as a basis for a motion to continue in order to allow the Commission staff or any other party a reasonable opportunity to investigate and, if necessary, to address the modification.
- (f) The Commission shall provide notice of the application. Any person desiring to intervene in a proceeding initiated pursuant to § 40-3-104.3, C.R.S., and this rule shall move to do so within five days of the date the Commission provides notice.
- (g) Within five days of receiving written notice of an intervention in a proceeding initiated pursuant to § 40-3-104.3, C.R.S., and this rule, the applying utility shall hand-deliver or otherwise provide to the intervenor a non-confidential version of the application and the applying utility's pre-filed testimony and attachments.

- (h) Unless the Commission orders otherwise, the applying utility shall publish notice of the application in a newspaper of general circulation within three days of the filing of the application.
- (i) In addition to the requirements of subparagraphs 4002(d)(I) – (XII), the notice provided by the applying utility shall contain the following information:
 - (I) the address of the applying utility;
 - (II) the name of the customer(s) or potential customer(s) involved;
 - (III) a statement that the identified customer(s) or potential customer(s) may have the ability to provide its/their own service or may have competitive alternatives available to it/them;
 - (IV) a general description of the jurisdictional services to be provided;
 - (V) a statement of where affected customers may call to obtain information concerning the application and;
 - (VI) a statement that anyone desiring to participate as a party must file a petition to intervene within five days from the date of Commission notice of the application and that the intervention must comport with the Commission's Rules Regulating Practice and Procedure.
- (j) Within three days of providing notice, the applying utility shall file with the Commission an affidavit showing proof of publication of notice.
- (k) On a case-by-case basis, the Commission may require the applying utility to provide additional information.
- (l) Should an application be filed which the Commission determines is not complete, the Commission or Commission staff shall notify the applying utility within seven days from the date the application is filed of the need for additional information. The applying utility may then supplement the application so that it is complete. Once the application is complete, the Commission will process the application, with all applicable timelines running from the date the application is completed.
- (m) The Commission shall issue an order approving or disapproving the application within the time permitted under § 40-3-104.3(1)(b), C.R.S.
- (n) At the time of any proceeding in which a utility's overall rate levels are determined, the Commission may require the utility to file a fully distributed cost method which segregates investments, revenues, and expenses associated with jurisdictional utility service provided pursuant to any contract approved under this rule 4106 from other regulated utility operations in order to ensure that jurisdictional utility service provided pursuant to contract is not subsidized by revenues from other regulated utility operations.

- (o) The applying utility shall provide final contract or other description of the price and terms of service as specified in § 40-3-104.3(1)(e), C.R.S.

4107. [Reserved].

4108. Tariffs.

- (a) A utility shall keep on file with the Commission the following documents pertaining to gas sales service and gas transportation service: its current Colorado tariffs, forms of contracts (including gas sales agreements), and those gas transportation service agreements which are not the same as the standard gas transportation service agreement contained in the utility's tariffs. These documents, unless filed under seal, shall be available for public inspection at the Commission and at the principal place of business of the utility.
- (b) All tariffs shall comply with rule 1210 of the Commission's Rules of Practice and Procedure.
- (c) Filing and contents of tariff.
 - (l) In addition to the requirements and contents in rule 1210, the following shall be included in a utility's tariff as applicable:
 - (A) a description of the minimum heating value for gas service as required by paragraph 4202(a);
 - (B) a description of testing methods for gas quality as required by paragraph 4202(f);
 - (C) interruption and curtailment criteria, policies, and implementation priorities, as required by rule 4203;
 - (D) transportation service rates, terms, and conditions, as required by rule 4205;
 - (E) the utility's transportation service request form as required by paragraph 4206(a);
 - (F) information regarding the utility's meter testing equipment and facilities, scheduled meter testing, meter testing records, fees for meter testing upon request, and meter reading, as required by rules 4303, 4304, 4305, 4306, and 4309;
 - (G) information regarding benefit of service transfer policies as required by paragraph 4401(c);
 - (H) information regarding installment payment plans and other plans, as required by rule 4404;

- (I) information regarding collection fees or miscellaneous service charges, as required by subparagraph 4404(c)(VI) and (c)(VIII).
- (J) information regarding any after-hour restoration fees, as required by paragraph 4409(b); and
- (K) all other rules, regulations, and policies covering the relations between the customer and the utility.

4109. New or Changed Tariffs.

- (a) A utility shall file with the Commission any new or changed tariffs. No new or changed tariff shall be effective unless it is filed with the Commission and either is allowed to go into effect by operation of law or is approved by the Commission.
- (b) A utility may use one of the following filing processes to add a new tariff or to change an existing tariff.
 - (I) The utility may file the proposed tariff, including the proposed effective date, accompanied by an advice letter pursuant to rule 1210. The utility shall provide notice in accordance with rule 1207. If the Commission does not suspend the proposed tariff in accordance with rule 1305 prior to the tariff's proposed effective date, the proposed tariff shall take effect on the proposed effective date.

- (II) The utility may file an application to implement a proposed tariff on less than 30-days' notice, accompanied by the proposed tariff, including the proposed effective date. The application shall include the information required in paragraphs 4002(b) and 4002(c); shall explain the details of the proposed tariff, including financial data if applicable; shall state the facts which are the basis for the request that the proposed tariff become effective on less than 30 days' notice; and shall identify any prior Commission action, in any proceeding, pertaining to the present or proposed tariff. If the application is approved by the Commission, the utility shall file a compliance advice letter and tariff which tariff shall be the same in substance as was approved by decision. The advice letter and tariff shall be filed in a new proceeding with the prescribed notice period either in the decision or pursuant to paragraph 1207(g).
- (c) A utility tariff filing, either by an advice letter or an application, that introduces or increases any rate, charge, fee, fare, toll, rental, or classification shall include a rate trend report. The rate trend report shall include:
 - (I) the amount of increase and percentage change in the rate, charge, fee, fare, toll, rental, or classification relative to the amount in effect on the date of the utility's filing;
 - (II) the amount of increase and percentage change in annual revenues collected by the utility as a result of the utility's filing;
 - (III) a chart, graph, or other visualization demonstrating each of the utility's rates, charges, fees, fares, tolls, rentals, or classifications, including base rates and rate adjustment mechanisms, for the ten years prior to the date of the utility filing;
 - (IV) a chart, graph, or other visualization demonstrating all of the utility bill line items, including subtotal summary lines, for the ten years prior to the date of the utility filing for each of the utility's customer classes;
 - (V) a representation in the chart, graph, or other visualization required by subparagraphs 4109(c)(III) and (IV) of the total of the rates, charges, fees, fares, tolls, rentals, or classifications in effect ten years prior to the date of the utility filing, escalated over the ten years using the United States Bureau of Labor Statistics Consumer Price Index –Denver-Aurora-Lakewood; and
 - (VI) for the same rate, charge, fee, fare, toll, rental, or classification as the utility's filing over the ten years prior to the date of the utility's filing:
 - (A) the dates when a previous increase or decrease went into effect;

- (B) the amount of the rate, charge, fee, fare, toll, rental, or classification before a previous increase or decrease went into effect;
 - (C) the amount of increase or decrease relative to the amount before the previous increase or decrease went into effect;
 - (D) the change in annual revenues collected by the utility as a result of the utility's filing; and
 - (E) the proceeding number for the tariff filing where the rate, charge, fee, fare, toll, rental, or classification either was allowed to go into effect by operation of law or was approved by the Commission and, in the event a compliance filing resulted in the tariff going into effect by operation of law, the proceeding number of the original proceeding where the rate, charge, fee, fare, toll, rental, or classification was introduced or where an increase in the existing rate, charge, fee, fare, toll, rental, or classification was proposed.
- (d) If the utility files an application to add a new base rate tariff or to change an existing base rate tariff, the Commission shall deem the application complete pursuant to rule 1303 upon certifying by written decision that the filing includes sufficient information, including a comprehensive cost and revenue requirement analysis based on actual, auditable, historical data, which analysis must be accompanied by appropriate workpapers and other supporting materials, to compare test years and to satisfy other purposes as determined by the Commission.

4110. Advice Letters.

- (a) All advice letter filings shall comply with rule 1210 of the Commission's Rules of Practice and Procedure.
- (b) In addition to the requirements and contents in rule 1210, the advice letter shall include the estimated amounts, if any, by which the utility's revenues will be affected, calculated on an annual basis.
- (c) Customer notice of advice letter. If the utility is required by statute, Commission rule or order to provide notice to its customers of the advice letter, such notice shall include the requirements of subparagraphs 4002(d)(I) – (XII).

4111. – 4199. [Reserved]

FACILITIES

4200. Construction, Installation, Maintenance, and Operation.

The gas plant, equipment, and facilities of a utility shall be constructed, installed, inspected, maintained, and operated in accordance with accepted engineering and gas

industry practices to assure continuity of service, uniformity in the quality of service, and the safety of persons and property.

4201. Instrumentation.

A utility purchasing or receiving gas for transportation services shall install, or shall require the interconnecting pipeline to provide, such instruments or meters as may be necessary to furnish information detailing the quantity and quality of gas received into its system as necessary to maintain measurement accuracy and acceptable gas quality.

4202. Heating Value, Purity, and Pressure.

- (a) A utility shall establish and maintain in its tariffs a minimum heating value for its gas, expressed in British Thermal Units per standard cubic foot. The minimum heating value shall be no less than the monthly average gross heating value of gas supplied by the utility in any given service area. No deviation below this minimum shall be permitted. The utility shall determine the heating value of gas by testing gas taken from such points on the utility's system and at such test frequencies as are reasonably necessary for a proper determination. The utility shall maintain records of tests conducted to determine the heating value of gas. The results of these tests shall be stated in terms of standard conditions.
- (b) A change in minimum heating value shall require an appropriate adjustment, if any, to rates.
- (c) The utility shall ensure that the gas it supplies, if from multiple sources or if the supply from a single source changes in composition, is interchangeable for safe and efficient use. The utility shall ensure that gas from new supply sources or from supply sources which the gas composition has changed is interchangeable with the gas it currently supplies. The utility shall evaluate interchangeability by means of one of the following:
 - (I) use of test results which establish that the gas supplied to the end-user falls within an acceptable range and which take into account the heating value, specific gravity, and composition of the gas;
 - (II) use of actual appliances to determine acceptability; or
 - (III) use of a standard in the natural gas industry.

- (d) A utility shall promptly readjust its customers' appliances and devices as necessary to render proper service if the readjustment is required for safe and efficient use in accordance with paragraph (c) of this rule. Unless otherwise ordered by the Commission, a readjustment made pursuant to this paragraph shall be done at no charge to the customer. If a utility determines that a readjustment pursuant to this paragraph is necessary, the utility shall notify the Commission, in writing, of the readjustment and of the reason for the readjustment.
- (e) A utility whose gas delivery exceeds 20 million cubic feet per annum shall test the heating value of gas at least once each week, unless the utility purchases or receives gas on a heat value basis or unless the interconnecting pipeline provides the utility with a record of the heating value of the gas delivered and the interconnecting pipeline's tests are made at least once each week.
- (f) All gas supplied to customers shall be substantially free of impurities which may cause corrosion of facilities or which may form corrosive or harmful fumes when burned in a properly-designed and properly-adjusted burner.
- (g) A LDC shall deliver gas at a pressure of six inches water column, plus or minus two inches water column, measured at the meter outlet, unless operating conditions require a higher delivery pressure. If a higher pressure is required, the utility shall require the customer to install appropriate pressure regulating equipment in the customer's lines, if necessary.
- (h) A utility shall monitor distribution pressure as follows:
 - (I) In a distribution system serving 100 or fewer customers, the utility shall semi-annually check distribution pressures by indicating gauges at the district regulator station or other appropriate point in the distribution system.
 - (II) In distribution system serving more than 100 and fewer than 500 customers, the utility shall provide at least one recording pressure gauge or telemetering pressure device at the pressure regulating station or at some other appropriate point in the distribution system.
 - (III) In a distribution system serving 500 or more customers, the utility shall maintain one or more additional recording pressure gauges or telemetering pressure devices and shall make frequent 24-hour records of the gas pressure prevailing at appropriate points in the system.
- (i) In its tariff, a utility shall include a description of test methods, equipment, and frequency of testing used to determine the quality and pressure of gas service furnished.

4203. Interruptions and Curtailments of Service.

- (a) A utility shall keep a record of all interruptions and curtailments of service on its entire system or on major divisions of its system, including a statement of the time, duration, and cause of each interruption or curtailment. A utility shall also keep a record of the time of starting up or shutting down of the compressing equipment and the period of operation of all regulators used for the maintenance of constant gas pressure.
- (b) In its tariff a utility shall establish specific terms and conditions for interruptions and curtailments of service. The utility shall establish, and adhere to, interruption and curtailment priorities for sales service and for transportation service by customer class. These priorities shall be consistent with the requirements of this rule.
- (c) A utility shall interrupt service within each class on an equitable basis, consistent with system constraints and its tariff. A utility shall interrupt service within a locale on a fair and reasonable basis, consistent with local conditions.
- (d) A utility shall not make up any shortage by using the transportation customer's supplies without the transportation customer's consent.
- (e) A utility shall curtail standby supply service to transportation customers who have contracted for standby supply service in accordance with the same system of class-by-class priorities as is applicable to sales customers established by the utility's tariffs.
- (f) A utility may provide, under applicable sales tariffs, available supply service to gas transportation customers who have not purchased standby supply service from the utility and are experiencing supply shortages.

4204. [Reserved].

4205. Gas Transportation Service Requirements.

- (a) In its tariffs, a utility shall establish maximum rates for gas transportation service. In addition, a utility which desires price flexibility shall include its minimum rates in its tariffs. The following apply to transportation tariff rates:
 - (I) Maximum rates for transportation shall be based on fully allocated cost methods and shall include an allowance for return on allocated rate base equal to the last rate of return authorized by the Commission for the utility.
 - (II) A utility may, at its discretion, offer natural gas transportation standby capacity service or standby supply service. A utility may require separate charges for:
 - (A) natural gas transportation standby capacity (if offered);

- (B) standby supply (if offered);
 - (C) administration, services and facilities; and
 - (D) a utility's avoidable purchased gas commodity costs based on current market-driven gas prices.
- (b) In its tariffs, a utility shall establish terms and conditions for gas transportation service, including at least the following:
 - (I) all criteria for determining gas transportation capacity;
 - (II) all gas transportation costs;
 - (III) all nomination requirements;
 - (IV) all measurement and facility requirements;
 - (V) as applicable, all gas supply cost provisions;
 - (VI) all gas balancing provisions;
 - (VII) all quality of gas requirements;
 - (VIII) the utility's line extension policy;
 - (IX) the gas transportation request form required by paragraph 4206(a);
 - (X) the utility's gas transportation standard gas transportation service agreement, which shall include the statements required by paragraph 4206(d); and
 - (XI) the utility's standard agency agreement required by paragraph 4206(e).

4206. Gas Transportation Agreements.

- (a) When a customer requests transportation service, a utility shall provide the customer requesting transportation with the utility's gas transportation form. This form shall set out clearly the information necessary for the utility to determine whether it can provide the requested transportation.

- (b) In determining whether capacity is available to provide the requested transportation, a utility shall take into account all conventional methods of delivering gas through its system, including without limitation forward haul, compression, exchange, flow reversal, backhaul, and displacement. The utility is not required to perform exchanges or displacements over segments of its system which are not physically connected.
- (c) A utility shall process, shall approve or reject, and shall provide notification of its decision with respect to a transportation request within 60 days after receiving a written request from a transportation customer. If the utility rejects the request, the utility shall provide, within three business days, written notice of its decision to the customer and shall retain a record of the rejection notice for two years. The notice shall detail the reasons for the rejection and shall explain what changes are necessary to make the request acceptable. If the request is approved, the utility shall provide, within three business days, written notification of approval to the customer.
- (d) A utility shall maintain on file with the Commission a standard gas transportation agreement. All gas transportation agreements shall contain the following provisions.
 - (I) This agreement, and all its rates, terms and conditions as set out in this agreement and as set out in the tariff provisions which are incorporated into this agreement by reference, shall at all times be subject to modification by order of the Commission upon notice and hearing and a finding of good cause therefore. In the event that any party to this agreement requests the Commission to take any action which could cause a modification in the conditions of this agreement, the party shall provide written notice to the other parties at the time of filing the request with the Commission.
 - (II) If the end-use customer uses a marketing broker for nomination, gas purchases, and balancing, the end-use customer shall provide the utility with an agency agreement.
- (e) A utility shall maintain on file with the Commission the standard agency agreement to be used when an end-use transportation customer uses a third party for any services related to nomination, gas purchases, and balancing activities.

- (f) A utility shall maintain logs showing all requests for gas transportation. The log shall contain the following information: the identity of the party making the transportation request, the date of the request, the volume requirements, duration, receipt and delivery points, type of service, and the disposition of the request. The utility shall retain these logs for two years.

4207. Purchases Replaced by Transportation.

- (a) Any reduction of gas purchases by a current sales customer who replaces sales purchases with transportation directly reduces a utility's obligation to provide gas to that customer on both a peak day and on an annual volume basis. If offered by the utility, a customer may retain rights to gas supplies by electing to pay for standby capacity service and standby supply service.
- (b) Any reduction of gas purchases by a current interruptible sales customer who replaces said purchases with transportation gas directly reduces the utility's obligation to provide gas supplies to that customer on an annual volume basis. At the discretion of the utility, a customer may retain rights to interruptible gas supplies by electing to pay for standby supply service.
- (c) If a sales customer converts all, or a portion, of its service to transportation and if it does not elect standby supply service, then the customer must reapply for sales service in the future if it wishes to convert the transportation portion of its service back to sales service.
- (d) The utility shall have no sales service obligation to a transportation customer who is solely responsible for procuring its own gas supply. The customer may retain rights to gas supplies by electing to pay for standby supply service.

4208. Anticompetitive Conduct Prohibited.

- (a) A utility shall apply all transportation rates and policies without undue discrimination or preference to its affiliates. Each contract to transport gas for a marketing or brokering affiliate of a utility shall be an arm's-length agreement containing only terms which are available to other transportation customers.
- (b) A utility is prohibited from engaging in anticompetitive conduct, discriminatory behavior, and preferential treatment in transporting gas, including (without limitation) the following:
 - (I) disclosure to a marketing or brokering affiliate of confidential information provided by nonaffiliated transportation customers;
 - (II) disclosing to any transportation customer the utility's own confidential information unless the same information is communicated contemporaneously to all current transportation customers;

- (III) disclosing to any transportation customer of information filed with a transportation request unless the same information is communicated contemporaneously to all current transportation customers;
- (IV) providing any false or misleading information, or failing to provide information, regarding the availability of capacity for transportation service;
- (V) tying an agreement to release gas to an agreement by the transportation customer to obtain services from a marketing or brokering affiliate of the utility or to an offer by the utility to provide or to expedite transportation service to its affiliate for the released gas;
- (VI) providing any false or misleading information, or failing to provide information, about gas releases;
- (VII) failing to notify all affiliate brokers and marketers and all transportation customers of gas releases at the same time and in the same manner or otherwise allowing marketing or brokering affiliates preferential access to released gas;
- (VIII) lending gas to a marketing or brokering affiliate to meet balancing requirements except under terms available to other transportation customers;
- (IX) directing potential customers to the utility's own marketing or brokering affiliate, but the utility may provide a list of all registered gas marketers and brokers, including its affiliates;
- (X) charging lower rates to a transportation customer conditioned on the purchase of gas from the utility's marketing or brokering affiliate;
- (XI) conditioning the availability of transportation service upon the use of the utility's marketing or brokering affiliate;
- (XII) providing exchange or displacement services to one transportation customer without providing them to others on the same terms and conditions;
- (XIII) giving its marketing affiliate preference over nonaffiliated customers in matters relating to transportation including, but not limited to, scheduling, balancing, transportation, storage, or curtailment priority;
- (XIV) disclosing to its affiliate any information the utility received from a nonaffiliated transportation customer or potential nonaffiliated transportation customer;

- (XV) failing contemporaneously to provide identical gas transportation sales or marketing information it provides to a marketing affiliate to all potential transportation customers, affiliated and nonaffiliated, on its system; and
- (XVI) failing to make available to all similarly-situated nonaffiliated transportation customers discounts which are comparable to those made to an affiliated marketer.

4209. [Reserved].

4210. Line Extension.

- (a) A utility shall have tariffs which set out its line extension policies, procedures, and conditions.
- (b) In its tariff a utility shall include the following provisions for gas main extensions and service lateral extensions from its distribution system:
 - (I) the terms and conditions, by customer class, under which an extension will be made;
 - (II) provisions requiring the utility to provide to a customer or to a potential customer, upon request, service lateral connection information necessary to allow the customer's or potential customer's facilities to be connected to the utility's system;
 - (III) provisions requiring the utility to exercise due diligence in providing the customer or potential customer with an estimate of the anticipated cost of a connection or extension; and
 - (IV) provisions addressing steps to ameliorate the rate and service impact upon existing customers, including stating in the tariff the procedures by which future customers would share costs incurred by the initial or existing customers served by a connection or extension (as, for example, by including the procedures by which a refund of customer connection or extension payments would be made when appropriate).
- (c) Line extension policies, procedures, and conditions shall be based on the principle that the connecting customer pays its share of the estimated full incremental cost of growth, including any costs associated with increases in design peak demand.
- (d) Line extension allowances shall be updated pursuant to paragraph 4210(c) in a base rate proceeding, or in a separately filed application, as required, but should be implemented no later than December 31, 2024. If a utility utilizes standardized costs in calculating one or more portions of its line extension policies, the standardized costs must be updated in a base rate proceeding, utilizing the average actual cost across the applicable customer class and line extension type

for the most recent consecutive 12-month period for which compiled cost data is available at the time it initiates a base rate proceeding. Exemptions from updated line extension allowances and standardized costs shall not extend to applications for line extensions submitted after May 1, 2023, unless otherwise ordered by the Commission.

- (e) Line extension policies, procedures, and conditions shall generally align with the greenhouse gas emission reduction goals established in § 25-7-102(2)(g), C.R.S.

4211. Labor Requirements.

This rule establishes procedures to identify and plan for the use of well-trained and fairly compensated Colorado labor in the context of certificates of public convenience and necessity filed pursuant to § 40-5-101, C.R.S., and in other proceedings as set forth by applicable Commission rules.

- (a) Best Value Employment (BVE) metrics are as follows.
 - (I) Training programs. The ability of the project to provide training programs, including training through apprenticeship program registered with the U.S. Department of Labor's Office of Apprenticeship or by State Apprenticeship Agencies recognized by that office for all apprenticeable trades required to effectively deliver the project to completion. Compliance may be demonstrated by:
 - (A) providing a list of apprenticeable trades for the project; and
 - (B) providing documentation of registration of relevant apprenticeship programs with the State Apprenticeship Agency; or
 - (C) attesting to the entity's ability to comply with the requirements of § 24-92-115(7), C.R.S., regarding apprenticeships.
 - (II) Colorado labor. The ability of the project to employ Colorado labor, as defined by § 24-4-109(2)(b)(II), C.R.S., as compared to importation of out-of-state workers.

- (III) Underserved communities. The ability of the project to employ workers from traditionally underserved communities or disproportionately impacted communities, as defined by § 24-4-109(2)(b)(II), C.R.S. and by Commission rules.
- (IV) Domestic manufacturing. The ability of the project to support domestic manufacturing through the utilization of Colorado and domestically produced materials, including consideration of the potential for domestically manufactured materials being unavailable in the marketplace.
- (V) Long-term career opportunities. The ability of the project to support long-term career opportunities.
- (VI) Wages. The ability of the project to provide industry-standard wages, health care, and pension benefits. Compliance may be demonstrated by:
 - (A) attesting to the entity's ability to comply with the requirements of Part 2 of Article 92, C.R.S., regarding prevailing wages; and further by
 - (B) providing a list of those relevant trades, crafts, or occupations for which craft labor certification will be collected and submitted.
- (b) Energy Sector Public Works (ESPW) projects. All contracts for ESPW projects made with or on behalf of the utility and relevant contractors or subcontractors must include provisions expressly requiring that all work performed under the contract:
 - (I) complies with the requirements of § 24-92-115(7), C.R.S., regarding apprenticeships; and
 - (II) complies with Part 2 of Article 92, C.R.S., regarding prevailing wages.
- (c) A project that is an ESPW project may certify compliance with the material contract terms pursuant to paragraph 4211(b) in lieu of submitting documentation for certain BVE metrics as otherwise required by subparagraphs 4211(a)(I) and (VI).
- (d) Regardless of ownership, all resources and facilities to which rule 4211 applies must provide the required information unless the bidder agrees to use a project labor agreement limited to the scope of the project that meets the requirements of paragraph 4001(ss). If the project is also an ESPW project, the bidder shall also state whether the project labor agreement will meet the requirements of paragraph (b).

- (e) Exemptions for ESPW projects. Regardless of ownership, all resources and facilities to which paragraph 4211(b) applies must provide the required information unless they meet one of the following exemptions:
 - (I) the work will be performed by employees of the utility;
 - (II) the service agreement was entered into prior to March 1, 2023; or
 - (III) the project complies with the applicable requirements of the Inflation Reduction Act pursuant to § 24-92-304(1)(c)(III), C.R.S.

4212. – 4299. [Reserved]

METERS

4300. Service Meters and Related Equipment.

- (a) All meters used in connection with gas metered service for billing purposes shall be furnished, installed, and maintained by the utility.
- (b) All equipment, devices, or facilities (including, without limitation, service meters) furnished by the utility and which the utility maintains and renews shall remain the property of the utility and may be removed by it at any time after discontinuance of service.
- (c) Each service meter shall indicate clearly the cubic feet or other units of service for which the customer is charged for service through each meter. In cases in which the dial reading of a meter, other than an orifice or other chart type meter, must be multiplied by a constant or factor to obtain the units consumed, the factor, factors, or constant shall be clearly marked on the dial or face of the meter, if possible. In the alternative, the constant, constants, or factor, or the method of calculating the constant, constants, or factor, shall be stated clearly on a customer's bill, with step by step instructions to allow customer to convert the unit of measurement from the dial of the meter to the billing unit or billing determinant on the bill.

4301. Location of Service Meters.

- (a) As of the time of installation, meters shall be located in accordance with the pertinent utility tariffs and in accordance with accepted safe practice and gas utility industry standards.
- (b) As of the time of installation, meters shall be located so as to be easily accessible for reading, testing, and servicing in accordance with accepted safe practice and in accordance with gas utility industry standards.

4302. Service Meter Accuracy.

- (a) Before being installed for use by a customer, every gas service meter, whether new, repaired, or removed from service for any cause shall be in good order and, except as provided in paragraph (b) of this rule, shall be adjusted to be correct to within one percent when passing gas at 20 percent of its rated capacity at one-half inch water column differential.
- (b) New rotary displacement type gas service meters in sizes having a rated capacity of more than 5,000 cubic feet per hour at a differential not to exceed two inches water column shall be tested and calibrated at the factory in accordance with recognized and accepted practices. These meters shall also be adjusted to be correct within two percent slow and one percent fast when passing gas at ten percent of its rated capacity and shall be adjusted to be correct within one percent slow and one percent fast when passing gas at 100 percent of its rated capacity. Prior to reuse of a rotary displacement type meter that has been removed from service, the meter shall pass the same testing criteria as a new meter.

4303. Meter Testing Equipment and Facilities.

- (a) A utility shall provide, or shall arrange for a qualified third party to provide, such equipment and facilities as may be necessary to make the tests and to provide the service required. Such equipment and facilities shall be available at all reasonable times for inspection by Commission staff.
- (b) A utility having more than 200 meters in service shall maintain, or shall require the qualified third party that provides meter testing equipment and facilities to maintain, suitable gas meter testing equipment in proper adjustment so as to register the condition of meters tested within one-half of one percent. The utility shall have and shall maintain, for the testing equipment, necessary certificate(s) of calibration showing that the equipment has been tested with a standard certified by the National Institute of Standards and Technology or other laboratory of recognized standing.
- (c) In its tariff, a utility shall include a description of its meter testing equipment and of the methods employed to ascertain and to maintain accuracy of all testing equipment.
- (d) A utility shall keep records of certification and calibrations for all testing equipment required by this rule for the life of the equipment.

4304. Scheduled Meter Testing.

- (a) A utility shall test, or shall arrange for testing of, service meters in accordance with the schedule in this rule or in accordance with a sampling program approved by the Commission.

- (b) If it wishes to use a sampling program, a utility shall file an application to request approval of a sampling program. The application shall include:
 - (I) the information required by paragraphs 4002(b) and 4002(c);
 - (II) a description of the sampling program which the utility wishes to use. This description shall include, at a minimum the following:
 - (A) the type(s) of meters subject to the sampling plan;
 - (B) the frequency of testing;
 - (C) the procedures to be used for the sampling;
 - (D) the meter test method to be used;
 - (E) the accuracy of the testing and of the sampling plan;
 - (F) an explanation of the reason(s) for the requested sampling program; and
 - (G) an analysis which demonstrates that, with respect to assuring the accuracy of the service meters tested, the requested sampling program is at least as effective as the schedule in this rule.
- (c) Revisions to any portion of a sampling program approved pursuant to the procedure in paragraph (b) of this rule shall be accomplished by the filing of, and Commission approval of, a new application.
- (d) Every service meter shall be tested and adjusted before installation to ensure that it registers accurately and conforms with the requirements of rule 4302. In addition, every service meter shall be tested on a periodic basis, as follows:
 - (I) diaphragm type gas service meter in sizes having rated capacity of 800 cubic feet or less per hour at one-half inch water column differential, every six years;
 - (II) diaphragm type gas service meter in sizes having a rated capacity of more than 800 cubic feet per hour at one-half inch water column differential, every five years;
 - (III) rotary displacement type gas service meter in sizes having a rated capacity of 5,000 cubic feet or less per hour at one-half inch water column differential, every five years;
 - (IV) rotary displacement type gas service meters in sizes having a rated capacity of more than 5,000 cubic feet per hour at a differential not to

exceed two inches water column, the frequency of testing stated in the utility's tariff;

- (V) orifice meters, not less than once each year; and
 - (VI) meter types not listed, not less than once each year.
- (e) In its tariff, a utility shall describe the utility's practices concerning the following:
- (I) testing and adjustment of service meters at installation; and
 - (II) periodic testing after installation.

4305. Meter Testing Upon Request.

- (a) If a customer disputes the accuracy of a meter or disputes the billing that implicates the accuracy of a meter, the utility furnishing metered gas service shall inform the customer of their rights to have the meter tested as specified in this rule. Within 30 days of a customer's request, the utility shall test the meter's accuracy using standardized testing equipment. The test shall be conducted free of charge if the meter has not been tested within the previous 12 months; otherwise the utility may charge a fee for performing the test. The utility shall provide a written report of the test results to the customer and shall maintain the report on file for at least two years from the date of the test. If, upon completion of the test, the disputed meter is found to be inaccurate beyond the limits prescribed in rule 4302, it shall be deemed out of compliance.
- (b) Should a customer request and receive a meter test as prescribed in paragraph 4305(a) and continue to dispute the accuracy of the meter, or the billing that implicates the accuracy of the meter, the utility shall give notice to the customer of his or her right to request independent testing of the meter. The customer's right to request independent testing of the meter shall expire on the 30th day after the date of the utility's notice. Upon the customer's request, the utility shall make the disputed meter available for independent testing by a qualified meter testing facility of the customer's choosing. The customer is not entitled to take physical possession of the disputed meter. To be a qualified meter testing facility, the testing facility must be capable of testing the meter to meet all meter standards and requirements required by these rules.

- (c) If, upon completion of an independent test as prescribed in paragraph 4305(b), the disputed meter is found to be accurate within the limits of rule 4302, the customer shall bear all costs associated with conducting the independent test. If, upon completion of an independent test as prescribed in paragraph 4305(b), the disputed meter is found to be inaccurate beyond the limits prescribed in rule 4302, the meter shall be deemed out of compliance and the utility shall bear all costs associated with conducting the independent test.
- (d) In its tariff, a utility shall include any fees associated with customer-requested meter testing conducted within 12 months of a prior test.
- (e) If a meter is deemed out of compliance under this rule, the utility shall either inform the customer of his or her right to request a refund pursuant to rule 4402 or unilaterally issue the refund.

4306. Records of Tests and Meters.

- (a) For each meter owned or installed, a utility shall maintain a record showing the date of purchase, the manufacturer's serial number, the record of the present or previously installed location, and the date and results of the last test performed by the utility. This record shall be retained for the life of the meter plus 30 months.
- (b) Whenever a meter is tested either on request or upon complaint, the test record shall include the information necessary for identifying the meter, the reason for making the test, the reading of the meter if removed from service, the result of the test, and all data taken at the time of the test in a sufficiently complete form to permit the convenient checking of the methods employed and the calculations made. This record shall be retained for at least two years.

4307- 4308. [Reserved].

4309. Meter Reading.

- (a) Upon a customer's request, a utility shall provide written documentation showing the date of the most recent reading of the customer's meter and the total usage expressed in cubic feet or other unit of service recorded. On request, a utility supplying metered service shall explain to a customer in a clear non-technical statement its method of reading the customer's meter.
- (b) A utility shall include in its tariff a clear statement describing when meters will be read by the utility and the circumstances, if any, under which the customer must read the meter and submit the data to the utility. This statement shall specify in detail the procedure that the customer must follow and shall specify all special conditions that apply to each class of service.

- (c) Absent good cause, a utility shall read a meter monthly. For good cause shown, a utility shall read a meter at least once every six months.

4310. – 4349. [Reserved]

RATE PROCEEDINGS

4350. Recovery of Rate Case Expenses.

The Commission may limit the amount of a utility's rate case expenses that are recovered through rates. When limiting recoverable expenses, the Commission shall consider the presented facts and circumstances, including, but not limited to, the associated benefits that accrue to the utility's shareholders and whether the sharing of costs motivates the utility to limit expenses. Limits may apply either to overall expenses or to expenses for outside experts, consultants, and legal resources.

4351. Costs Prohibited from Rates.

- (a) Base rates and rate adjustment mechanisms shall not recover the following costs:
- (I) expenses related to marketing and administration or customer service for unregulated products or services provided or sold by the utility or the utility's affiliates in accordance with the rules addressing unregulated goods and services 4 CCR 723-3-3500, et seq.;
 - (II) entertainment or gift expenses;
 - (III) penalties or fines related to taxes;
 - (IV) investor-relation expenses;
 - (V) expenses associated with lobbying or other activities meant to influence the outcome of any local, state, or federal legislation, ordinance, resolution, or ballot measure. For the purpose of a base rate proceeding and related reporting, lobbying means directly, or through the solicitation of others, communicating with a person that is in a position to make a policy decision in order to influence the outcome of local, state, or federal legislation;
 - (VI) organizational dues, membership dues, or other contributions to any organization, association, institution, corporation, or other entity that engages in lobbying or other similar activities meant to influence the outcome of any local, state, or federal legislation, ordinance, resolution, or ballot measure;
 - (VII) advertising and public relations expenses incurred to promote or improve the utility's brand, to influence public opinion about the utility, to create

good will toward the utility from the general public. Advertising regarding service interruptions, safety measures, emergency conditions, or employment opportunities with the utility may be included in a revenue requirement for any test year as determined by the Commission;

- (VIII) advertising and public relations expenses not directly related to a purpose or program that is required or authorized under statute, rule, or order. Advertising or other consumer education expenses directly related to income-based rates and services, including special rates, pilot programs, energy efficiency, beneficial electrification, renewable energy, and transportation electrification, may be included in a revenue requirement for any test year as determined by the Commission;
 - (IX) charitable giving expenses, including contributions to organizations qualified under Section 501(c)(3) or 501(c)(4) of the federal "Internal Revenue Code of 1986", 26 U.S.C. Sec. 501, as amended;
 - (X) contributions to political candidates, campaign committees, issue committees, or independent expenditure committees or similar political expenses;
 - (XI) travel, lodging, food, and beverage expenses of the utility's officers;
 - (XII) travel, lodging, food, and beverage expenses and no more than 50 percent of all other reimbursed expenses of the utility's board of directors;
 - (XIII) expenses related to any owned, leased, or chartered aircraft for the utility's board of directors and officers, where aircraft has the meaning set forth in § 41-23-101(1), C.R.S.; and
 - (XIV) more than 50 percent of compensation to the utility's board of directors.
- (b) Required data in base rate case.
- (I) A utility shall provide in any base rate case where the Commission has suspended the proposed tariff and ordered a hearing, at minimum, the following information to enable a determination by the Commission that the utility is not seeking to recover from its customers any of the prohibited costs identified in subparagraphs (a)(I) through (a)(XIV) of this rule:

- (A) disaggregated data that identifies the portion of total annual compensation excluded from cost recovery for each individual employee (identified at least by position and title) who conducted activities during the applicable test year period that are prohibited for recovery; and
 - (B) disaggregated data that identifies all amounts paid by the investor-owned utility to outside vendors (including but not limited to consultants and legal counsel) to conduct activities during the applicable test year period that are prohibited for recovery.
- (II) This information shall be filed by the utility into the administrative record for the proceeding no later than 30 days after the issued date of the Commission decision setting the matter for hearing and shall be updated, as applicable, at the time of filing rebuttal testimony.
- (c) Reporting. For the purpose of demonstrating compliance with § 40-3-114, C.R.S., on or before April 30th of each year, each utility shall file with the Commission a report that identifies any costs prohibited by paragraph 4351(a) that the utility sought to include in base rates or in a rate adjustment mechanism but the Commission found, in a written decision, are not permitted to be recovered from customers. The report must include, for each prohibited cost required to be reported, the purpose of the expenses corresponding to subparagraphs 4351(a)(I) through (XIV), and the payee and amount of the expenses the Commission found are not permitted to be recovered from customers. The report shall be filed concurrently with and in the same proceeding as the investor-owned utility's annual report filed in accordance with rule 4006.
- (d) Penalties. If the Commission determines that an investor-owned utility improperly recovered through rates any of the prohibited costs or expenditures listed in paragraph 4353(a), the Commission may assess a civil penalty against the utility pursuant to rules 4009 and 4010.
- (e) Refunds. If the Commission assesses a civil penalty against the utility in accordance with paragraph 4351(d), the Commission shall also order the utility to submit for approval a refund plan pursuant to rule 4410. The utility shall refund the amount of prohibited costs or expenditures improperly recovered through rates, plus interest, to customers.

4352. – 4399. [Reserved].

BILLING AND SERVICE

4400. Applicability.

Rules 4400 through 4412 apply to residential customers, small commercial customers and agricultural customers served pursuant to a LDC's rates or tariffs. Rules 4400

through 4405 and rules 4407 through 4412 shall not apply to customers served under a LDC's transportation rates or tariffs. In its tariffs, a LDC shall define "residential," "small commercial" and "agricultural" customers to which these rules apply. The LDC may elect to apply the same or different terms and conditions of service to other customers.

4401. Billing Information and Procedures.

- (a) All bills issued to customers for metered service furnished shall show:
 - (I) the dates and meter readings beginning and ending the period during which service was rendered;
 - (II) an appropriate rate or rate code identification for each separate rate component charged to the bill. Each component shall be designated on the bill in a manner such that the rate or charge can be identified clearly when referencing approved rates found in the utility's tariff;
 - (III) the net amount due for regulated charges;
 - (IV) the date by which payment is due, which shall not be earlier than 15 days after the mailing or the hand-delivery of the bill;
 - (V) a distinct marking to identify an estimated bill;
 - (VI) the total amount of all payments or other credits made to the customer's account during the billing period;
 - (VII) any past due amount. Unless otherwise stated in a tariff or Commission rule, an account becomes "past due" on the 31st day following the due date of current charges;
 - (VIII) the identification of, and amount due for, unregulated charges, if applicable;
 - (IX) any transferred amount or balance from any account other than the customer's current account; and
 - (X) all other essential facts upon which the bill is based, including factors and constants, as applicable.
- (b) A utility that bills for unregulated services or goods shall allocate partial payments first to regulated charges and then to unregulated charges or non-tariff charges and to the oldest balance due separately within each category.
- (c) A utility that transfers to a customer a balance from the account of a person other than that customer shall have in its tariffs the utility's benefit of service transfer policies and criteria. The tariffs shall contain an explanation of the process by

which the utility will verify, prior to billing a customer under the benefit of service tariff, that the person to be billed in fact received the benefit of service.

- (d) A utility may transfer a prior unpaid debt to a customer's bill if the prior bill was in the name of the customer and the utility has informed the customer of the transferred amount and of the source of the unpaid debt (for example, and without limitation, the address of the premises to which service was provided and the period during which service was provided).
- (e) If it is offered in a tariff, upon request from a customer and where it is technically feasible, a utility may have the option to provide electronic billing (e-billing), in lieu of a printed bill, to the requesting customer. If a utility offers the option of e-billing, the following shall apply:
 - (I) the utility shall obtain the affirmative consent of a customer to accept such a method of billing in lieu of printed bills;
 - (II) the utility shall not charge a fee for billing through the e-billing option;
 - (III) the utility shall not charge a fee based on customer payment options that is different from the fee charged for the use of the same customer payment options by customers who receive printed bills; and
 - (IV) a bill issued electronically shall contain the same disclosures and Commission-required information as those contained in the printed bill provided to other customers.

4402. Adjustments for Meter and Billing Errors.

- (a) A utility shall adjust a customer's bill(s) for gas incorrectly metered or billed as follows.
 - (I) When, upon any meter accuracy test, a meter is found to be running slow in excess of error tolerance levels allowed under rule 4302, the utility may charge for one-half of the under-billed amount for the period dating from the discovery of the meter error back to the previous meter test, with such period not to exceed six months.

- (II) When, upon any meter accuracy test, a meter is found to be running fast in excess of error tolerance levels allowed under rule 4302, the utility shall refund one-half of the excess charge for the period dating from the discovery of the meter error back to the previous meter test, with such period not to exceed two years.
- (III) When a meter does not register, registers intermittently, or partially registers for any period, the utility may estimate, using the method stated in its tariff, a charge for the gas used based on amounts metered to the customer over a similar period in previous years. The period for which the utility charges the estimated amount shall not exceed six months.
- (IV) In the event of under-billings not provided for in subparagraph (a)(I) or (III) of this rule (such as, but not limited to, an incorrect multiplier, an incorrect register, or a billing error), the utility may charge for the period during which the under-billing occurred, with such period not to exceed six months.
- (V) In the event of over-billings not provided for in subparagraph (a)(II) of this rule, the utility shall refund for the period during which the over-billing occurred, with such period not to exceed two years.
- (b) The periods set out in paragraph (a) of this rule shall commence on the earliest date on which either the customer notifies the utility or the utility notifies the customer of a meter or billing error, the customer informs the utility of a billing or metering error, or a dispute based on a billing or metering error, or the customer submits an informal complaint to the Consumer Assistance Unit of the Commission. <http://www.colorado.gov/pacific/dora/file-consumer-complaint>.
- (c) In the event of an over-billing, the customer may elect to receive the refund as a credit to future billings or as a one-time payment. If the customer elects a one-time payment, the utility shall make the refund within 30 days. Such over-billings shall not be subject to interest.
- (d) In the event of under-billing, the customer shall be eligible and may elect to enter into a payment arrangement on the under-billed amount. The payment arrangement shall be equal in length to the length of time during which the under-billing occurred. Such under-billings shall not be subject to interest.

4403. Applications for Service, Customer Deposits, and Third-Party Guarantee Arrangements.

- (a) A utility shall process an application for utility service that is made either orally or in writing and shall apply nondiscriminatory criteria with respect to the requirement of a deposit prior to commencement of service. Nondiscriminatory criteria means that no deposit or guarantee, or additional deposit or guarantee, shall be required by a utility because of race, sex, creed, national origin, marital status, age, number of dependents, source of income, disability, or geographical area of residence.
- (b) All utilities requiring deposits shall offer customers at least one payment alternative that does not require the use of the customer's social security number.
- (c) If billing records are available for a customer who has received past service from the utility, the utility shall not require that person to make new or additional deposits to guarantee payment of current bills unless the records indicate recent or substantial delinquencies.
- (d) A utility shall not require a deposit from an applicant for service who provides written documentation of a 12 consecutive month good payment history from the utility from which that person received similar service. For purposes of this paragraph, the 12 consecutive months must have ended no earlier than 60 days prior to the date of the application for service.
- (e) A utility shall not require a deposit from an applicant for service or restoration of service who is or was within the last 12 months, a participant in the Low-Income Energy Assistance Program or in an income qualified program consistent with rule 4412, or who received energy bill assistance from Energy Outreach Colorado within the last 12 months.
- (f) If a utility uses credit scoring to determine whether to require a deposit from an applicant for service or a customer, the utility shall have a tariff that describes, for each scoring model that it uses, the credit scoring evaluation criteria and the credit score limit that triggers a deposit requirement.
- (g) If a utility uses credit scoring, prior payment history with the utility, or customer-provided prior payment history with a like utility as a criterion for establishing the need for a deposit, the utility shall include in its tariff the specific evaluation criteria that trigger the need for a deposit.

- (h) If a utility denies an application for service or requires a deposit as a condition of providing service, the utility immediately shall inform the applicant for service of the decision and shall provide, within three business days, a written explanation to the applicant for service stating the specific reasons why the application for service has been denied or a deposit is required.
- (i) No utility shall require any surety other than either a deposit to secure payment for utility services or a third-party guarantee of payment in lieu of a deposit. In no event shall the furnishing of utility services or extension of utility facilities, or any indebtedness in connection therewith, result in a lien, mortgage, or other interest in any real or personal property of the customer unless such indebtedness has been reduced to a judgment. Should the guarantor terminate service or terminate the third party guarantee before the customer has established a satisfactory payment record for 12 consecutive months, the utility, applying the criteria contained in its tariffs, may require a deposit or a new third party guarantor.
- (j) The total deposit a utility may require or hold at any one time shall not exceed an amount equal to an estimated 90 days' bill of the customer, except in the case of a customer whose bills are payable in advance of service, in which case the deposit shall not exceed an estimated 60 days' bill of the customer. The deposit may be in addition to any advance, contribution in aid of construction or guarantee required by the utility tariff in connection with construction of lines or facilities, as provided in the extension policy in the utility's tariffs. A deposit may be paid in installments.
- (k) A utility receiving deposits shall maintain records showing:
 - (I) the name of each customer making a deposit;
 - (II) the amount and date of the deposit;
 - (III) each transaction, such as the payment of interest or interest credited, concerning the deposit;
 - (IV) each premise where the customer receives service from the utility while the deposit is retained by the utility;
 - (V) if the deposit was returned to the customer, the date on which the deposit was returned to the customer; and
 - (VI) if the unclaimed deposit was paid to the energy assistance organization, the date on which the deposit was paid to the energy assistance organization.
- (l) Each utility shall state in its tariff its customer deposit policy for establishing or maintaining service. The tariff shall state the circumstances under which a deposit will be required and the circumstances under which it will be returned. A

utility shall return any deposit paid by a customer who has made no more than two late payments in 12 consecutive months.

- (m) Each utility shall issue a receipt to every customer from whom a deposit is received. No utility shall refuse to return a deposit or any balance to which a customer may be entitled solely on the basis that the customer is unable to produce a receipt.
- (n) The payment of a deposit shall not relieve any customer from the obligation to pay current bills as they become due. A utility is not required to apply any deposit to any indebtedness of the customer to the utility, except for utility services due or past due after service is terminated.
- (o) A utility shall pay simple interest on a deposit at the percentage rate per annum as calculated by the Commission staff and in the manner provided in this paragraph.
 - (I) At the request of the customer, the interest shall be paid to the customer either on the return of the deposit or annually. The simple interest on a deposit shall be earned from the date the deposit is received by the utility to the date the customer is paid. At the option of the utility, interest payments may be paid directly to the customer or credited to the customer's account.
 - (II) The simple interest to be paid on a deposit during any calendar year shall be at a rate equal to the average for the period October 1 through September 30 (of the immediately preceding year) of the 12 monthly average rates of interest expressed in percent per annum, as quoted for one-year United States Treasury constant maturities, as published on the website or publication of the Board of Governors of the Federal Reserve System. Each year, the Commission staff shall compute the interest rate to be paid. If the difference between the existing customer deposit interest rate and the newly calculated customer deposit interest rate is less than 25 basis points, the existing customer deposit interest rate shall continue for the next calendar year. If the difference between the existing customer deposit interest rate and the newly calculated customer deposit interest rate is 25 basis points or more, the newly calculated customer deposit interest rate shall be used. The Commission shall send a letter to each utility stating the rate of interest to be paid on deposits during the next calendar year. Annually following receipt of Commission staff's letter, if necessary, a utility shall file by advice letter or application, as appropriate, a revised tariff, effective the first day of January of the following year, or on an alternative date set by the Commission, containing the new rate of interest to be paid upon customers' deposits, except when there is no change in the rate of interest to be paid on such deposits.

- (p) A utility shall have tariffs concerning third-party guarantee arrangements and, pursuant to those tariffs, shall offer the option of a third party guarantee arrangement for use in lieu of a deposit. The following shall apply to third-party guarantee arrangements:
 - (I) an applicant for service or a customer may elect to use a third-party guarantor in lieu of paying a deposit;
 - (II) the third-party guarantee form, signed by both the third-party guarantor and the applicant for service or the customer, shall be provided to the utility;
 - (III) the utility may refuse to accept a third-party guarantee if the guarantor is not a customer in good standing at the time of the presentation of the guarantee to the utility;
 - (IV) the amount guaranteed shall not exceed the amount which the applicant for service or the customer would have been required to provide as a deposit;
 - (V) the guarantee shall remain in effect until the earlier of the following occurs:
 - (A) the guarantee is terminated in writing by the guarantor;
 - (B) if the guarantor was a customer at the time of undertaking the guarantee, the guarantor ceases to be a customer of the utility; or
 - (C) the customer has established a satisfactory payment record, as defined in the utility's tariffs, for 12 consecutive months.
 - (VI) Should the guarantor terminate service or terminate the third party guarantee before the customer has established a satisfactory payment record for 12 consecutive months, the utility, applying the criteria contained in its tariffs, may require a deposit or a new third party guarantor.

- (q) A utility shall pay all unclaimed monies, as defined in § 40-8.5-103(5), C.R.S., that remain unclaimed for more than two years to the energy assistance organization. "Unclaimed monies" shall not include: undistributed refunds for overcharges subject to other statutory provisions and rules and credits to existing customers from cost adjustment mechanisms.
- (I) Monies shall be deemed unclaimed and presumed abandoned when left with the utility for more than two years after termination of the services for which the deposit or the construction advance was made or when left with the utility for more than two years after the deposit or the construction advance becomes payable to the customer pursuant to a final Commission order establishing the terms and conditions for the return of such deposit or advance and the utility has made reasonable efforts to locate the customer.
 - (II) Interest on a deposit shall accrue at the rate established pursuant to paragraph (o) of this rule commencing on the date on which the utility receives the deposit and ending on the date on which the deposit is paid to the energy assistance organization. If the utility does not pay the unclaimed deposit to the energy assistance organization within four months of the date on which the unclaimed deposition is deemed to be unclaimed or abandoned pursuant to subparagraph (q)(I) of this rule, then at the conclusion of the four-month period, interest shall accrue on the unclaimed deposit at the rate established pursuant to paragraph (o) of this rule plus six percent.
 - (III) If payable under the utility's line extension tariff provisions, interest on a construction advance shall accrue at the rate established pursuant to paragraph (o) of this rule commencing on the date on which the construction advance is deemed to be owed to the customer pursuant to the utility's extension policy and ending on the date on which the construction advance is paid to the energy assistance organization. If the utility does not pay the unclaimed construction advance to the energy assistance organization within four months of the date on which the unclaimed construction advance is deemed to be unclaimed or abandoned pursuant to subparagraph (q)(I) of this rule, then at the conclusion of the four-month period, interest shall accrue on the unclaimed construction advance at the rate established pursuant to paragraph (o) of this rule plus six percent.
- (r) A utility shall resolve all inquiries regarding a customer's unclaimed monies and shall not refer such inquiries to the energy assistance organization.
- (s) If a utility has paid unclaimed monies to the energy assistance organization, a customer later makes an inquiry claiming those monies, and the utility resolves the inquiry by paying those monies to the customer, the utility may deduct the

amount paid to the customer from future funds submitted to the energy assistance organization.

4404. Charges, Fees, and Payment Plans.

- (a) In its tariffs, a utility shall provide a description of all charges or fees that the utility assesses resulting from regulated charges that are past due and service discontinuance and restoration. A utility may assess the following charges or fees at no higher than cost, as stated in its tariff:
 - (I) a late payment charge for regulated charges that are past due and exceed \$50;
 - (II) a fee for discontinuance of service;
 - (III) a fee for restoration of service;
 - (IV) collection fees; and
 - (V) any other regulated charges or fees provided in the utility's tariff.
- (b) In its tariffs, a utility shall have the following payment plans available for its customers:
 - (I) an installment payment plan; and
 - (II) a budget or level payment plan.
- (c) A utility shall have in its tariff an installment payment plan which permits a customer to make installment payments if one of the following applies.
 - (I) The plan is to pay regulated charges from past billing periods and the past due amount arises solely from events under the utility's control (such as, without limitation, meter malfunctions, billing errors, utility meter reading errors, or failures to read the meter, except where the customer refuses to read the meter and it is not readily accessible to the utility). A utility shall advise a customer who is eligible for this type of plan of the customer's eligibility. At the request of the customer and at the customer's discretion, an installment payment plan under this subparagraph shall extend over a period equal in length to that during which the errors were accumulated and shall not include interest.

- (II) The customer pays at least ten percent of the amount shown on the notice of discontinuance for regulated charges and enters into an installment payment plan on or before the expiration date of the notice of discontinuance.
 - (III) The customer pays at least ten percent of any regulated charges amount more than 30 days past due and enters into an installment payment plan on or before the last day covered by a medical certificate. A customer who has entered into and failed to abide by an installment payment plan prior to receiving a medical certificate shall pay all amounts that were due for regulated charges up to the date on which the customer presented a medical certificate which meets the requirements of subparagraph 4407(e)(IV) and then may resume the installment payment plan.
 - (IV) If service has been disconnected, the customer pays at least any collection and reconnection charges and enters into an installment payment plan. This subparagraph shall not apply if service was discontinued because the customer breached a prior payment arrangement.
- (d) Installment payment plans shall include the following amounts that are applicable at the time the customer requests a payment arrangement:
- (I) the unpaid remainder of amounts due for regulated charges shown on the notice of discontinuance;
 - (II) any amounts due for regulated charges not included in the amount shown on the notice of discontinuance which have since become more than 30 days past due;
 - (III) all current regulated charges contained in any bill which is past due but is less than 30 days past the due date;
 - (IV) any new regulated charges contained in any bill which has been issued but is not past due;
 - (V) any regulated charges which the customer has incurred since the issuance of the most recent monthly bill;
 - (VI) any other regulated charges and fees as described in paragraph (a) of this rule, except fees relating to service diversion, whether or not such fees have appeared on a regular monthly bill; and
 - (VII) any applicable deposit, consistent with rule 4403.

- (e) A customer entering into a payment arrangement as described in paragraph (b) may modify their bill due date if the utility's billing system allows for such a change.
- (f) Within seven calendar days of entering into a payment arrangement with a customer, a utility shall provide the customer with this rule and a statement describing the payment arrangement. The statement describing the payment arrangement shall include the following:
 - (I) the terms of the payment plan; and
 - (II) a description of the steps which the utility will take if the customer does not abide by payment plan.
- (g) Except as provided in subparagraph (c)(I) of this rule, an installment payment plan shall consist, at a minimum, of equal monthly installments for a term selected by the customer but not to exceed 12 months. Notwithstanding the foregoing, a utility may enter into an installment payment plan with a customer for a term up to 24 months if it determines that this is warranted by extraordinary circumstances. In the alternative, the customer may choose a modified budget or level payment plan, or similar tariff payment arrangement in which the total due shall be added to the preceding year's total billing to the customer's premises, modified for any base rate or cost adjustment changes. The resulting amount shall be divided and billed in 11 equal monthly budget billing payments, followed by a settlement billing in the twelfth month, or shall follow other payment-setting practices consistent with the tariff plan available. Utilities may not require a customer to participate in a budget or level payment plan or automated billing as a prerequisite for entering into an installment payment plan.
- (h) For an installment payment plan entered into pursuant to this rule, the first monthly installment payment, and with the new charges (unless the new charges have been made part of the arrangement amount) shall be due on a date which is not earlier than the next regularly-scheduled due date of the customer who is entering into the installment payment plan. Succeeding installment payments, together with the new charges, shall be due in accordance with the due date established in the installment payment plan. Any payment not made on the due date established in the installment payment plan shall be considered in default. Any new charges that are not paid by the due date shall be considered past due, excluding those circumstances covered in subparagraph (c)(I) of this rule.

- (i) This rule shall not be construed to prevent a utility from offering any other installment payment plan terms to avoid discontinuance or terms for restoration of service, provided the terms are at least as favorable to the customer as the terms set out in this rule.

4405. Service, Rate, and Usage Information.

- (a) In addition to the requirement found in rule 1206, a utility shall inform its customers of any change proposed or made in any term or condition of its service if that change or proposed change will affect the quality of the service provided.
- (b) A utility shall transmit information provided pursuant to this rule through the use of a method (such as, without limitation, bill inserts or periodic direct mail) that will assure receipt by each customer.
- (c) Upon request, a utility shall provide the following information to a customer.
 - (I) A clear and concise explanation of the existing rate schedule applicable to the customer, the rate components for that rate schedule, and an explanation of how those components are calculated and applicable to the customer. This shall be provided within ten days of a customer's request or, in the case of a new customer, within 60 days of the commencement of service.
 - (II) A clear and concise statement of the customer's actual consumption or degree-day adjusted consumption of gas for each billing period during the prior year, unless such consumption data are not reasonably ascertainable by the utility.
 - (III) A clear and concise explanation of the terms and conditions of service applicable to the customer.
- (d) A utility shall post and keep current on its website the data required to be submitted pursuant to paragraph 4109(c), including the charts, graphs, or other visualizations demonstrating ten-year historical trends.

4406. Itemized Billing Components.

- (a) A utility shall provide itemized gas cost information to all customers commencing with the first complete billing cycle in which the new rates are in effect. The information may be provided in the form of a bill insert or a separate mailing.
- (b) The information provided pursuant to this rule shall include the following:
 - (I) the per-unit and fixed service rates to be billed to the customer;

- II) the per-unit and monthly gas commodity costs for that customer;
- (III) the per-unit and monthly costs of upstream services for that customer; and
- (IV) the monthly gas demand side management costs for that customer.

4407. Discontinuance of Service.

- (a) A utility shall not discontinue the service of a customer for any reason other than the following:
 - (I) nonpayment of regulated charges;
 - (II) fraud or subterfuge;
 - (III) service diversion;
 - (IV) equipment tampering;
 - (V) safety concerns;
 - (VI) exigent circumstances;
 - (VII) discontinuance ordered by any appropriate governmental authority; or
 - (VIII) properly discontinued service being restored by someone other than the utility when the original cause for proper discontinuance has not been cured.
- (b) A utility shall apply nondiscriminatory criteria when determining whether to discontinue service for nonpayment. A utility shall not discontinue service for nonpayment of any of the following:
 - (I) any amount which has not appeared on a regular monthly bill or which is not past due. Unless otherwise stated in a tariff or Commission rule, an account becomes "past due" on the 31st day following the due date of current charges;
 - (II) any past due amount that is less than \$50;
 - (III) any amount due on another account now or previously held or guaranteed by the customer, or with respect to which the customer received service, unless the amount has first been transferred either to an account which is for the same class of service or to an account which the customer has agreed will secure the other account. Any amount so transferred shall be considered due on the regular due date of the bill on which it first appears and shall be subject to notice of discontinuance as if it had been billed for the first time;

- (IV) any amount due on an account on which the customer is or was neither the customer of record nor a guarantor, or any amount due from a previous occupant of the premises. This subparagraph does not apply if the customer is or was obtaining service through fraud or subterfuge or if paragraph 4401(c) applies;
 - (V) any amount due on an account for which the present customer is or was the customer of record, if another person established the account through fraud or subterfuge and without the customer's knowledge or consent;
 - (VI) any delinquent amount, unless the utility can supply billing records from the time the delinquency occurred;
 - (VII) any debt except that incurred for service rendered by the utility in Colorado;
 - (VIII) any unregulated charge; or
 - (IX) any amount which is the subject of a pending dispute or informal complaint under rule 4004.
- (c) If the utility discovers any connection or device installed on the customer's premises, including any energy-consuming device in the proximity of the utility's meter, which would prevent the meter from registering the actual amount of energy used, the utility shall do one of the following.
- (I) Remove or correct such devices or connections. If the utility takes this action, it shall leave at the premises a written notice which advises the customer of the violation, of the steps taken by the utility to correct it, and of the utility's ability to bill the customer for any estimated energy consumption not properly registered. This notice shall be left at the time the removal or correction occurs.
 - (II) Provide the customer with written notice that the device or connection must be removed or corrected within 15 days and that the customer may be billed for any estimated energy consumption not properly registered. If the utility elects to take this action and the device or connection is not removed or corrected within the 15 days permitted, then within seven calendar days from the expiration of the 15 days, the utility shall remove or correct the device or connection pursuant to subparagraph (c)(I) of this rule.
- (d) If a utility discovers evidence that any utility-owned equipment has been tampered with or that service has been diverted, the utility shall provide the customer with written notice of the discovery. The written notice shall inform the customer of the steps the utility will take to determine whether non-registration of

energy consumption has or will occur and shall inform the customer that the customer may be billed for any estimated energy consumption not properly registered. The utility shall mail or hand-deliver the written notice within three calendar days of making the discovery of tampering or service diversion.

- (e) A utility shall not discontinue service, other than to address safety concerns or in exigent circumstances, if one of the following is met.
 - (I) A customer at any time tenders full payment in accordance with the terms and conditions of the notice of discontinuance to a utility employee authorized to receive payment. Payment of a charge for a service call shall not be required to avoid discontinuance.
 - (II) If a customer pays, on or before the expiration date of the notice of discontinuance, at least one-tenth of the amount shown on the notice and enters into an installment payment plan with the utility, as provided in rule 4404.
 - (III) Outside the hours of 8:00 a.m. and 4:00 p.m., Monday through Thursday.
 - (IV) Between the hours of 12:00 Noon on the day prior to and 8:00 a.m. on the day following any state or federal holiday or day during which the utility's local office is closed.
 - (V) To the greatest extent practicable, a utility shall not disconnect a customer after 11:59 a.m. on a Monday through Thursday.
 - (VI) Medical emergencies.
 - (A) A utility shall postpone service discontinuance to a residential customer for 90 days from the date of a medical certificate issued by a Colorado-licensed physician, health care practitioner acting under a physician's authority, or health care practitioner licensed to prescribe and treat patients which evidences that service discontinuance will aggravate an existing medical emergency or create a medical emergency for the customer or a permanent resident of the customer's household. A customer may invoke this subparagraph only once in any twelve consecutive months.

- (B) As a condition of obtaining a new installment payment plan on or before the last day covered by a medical certificate, a customer who has already entered into a payment arrangement, but broke the arrangement prior to seeking a medical certificate, may be required to pay all amounts that were due up to the date of the original medical certificate as a condition of obtaining a new payment arrangement. At no time shall a payment from the customer be required as a condition of honoring a medical certificate.
 - (C) The medical certificate must be in writing (which includes electronic certificates and signatures and those provided electronically), sent to the utility from the office of a licensed physician, or health care practitioner licensed to prescribe and treat patients, and clearly show the name of the customer or individual whose illness is at issue; the Colorado medical identification number, phone number, name, and signature of the physician, health care practitioner acting under a physician's authority, or health care practitioner licensed to prescribe and treat patients certifying the medical emergency. Such certificate is not contestable by the utility as to the medical judgment, although the utility may use reasonable means to verify the authenticity of such certificate.
 - (D) A utility may accept notification by telephone from the office of a licensed physician, or health care practitioner licensed to prescribe and treat patients, but a written medical certificate must be sent to the utility within ten days.
- (VII) Weather provisions.
- (A) A utility shall postpone service discontinuance to a residential customer on any day when the National Weather Service local forecast between 6:00 a.m. and 9:00 a.m. predicts that the temperature will be 32 degrees Fahrenheit (32oF) or lower at any time during the following 24 hours, or during any additional period in which utility personnel will not be available to restore utility service in accordance with rule 4409. Nothing prohibits a utility from postponing service discontinuance when temperatures are warmer than these criteria.
 - (B) A utility shall postpone service discontinuance to a customer during an emergency or safety event or circumstance impacting the local area.
- (f) In addition to its tariffs, a utility shall publish information related to its practices around delinquency, disconnection for nonpayment, and reconnection on its

website. This information should be written in a manner that promotes customer understanding and must be produced in English and a specific language or languages other than English where the utility's entire service territory contains a population of at least ten percent who speak a specific language other than English as their primary language as determined by the latest U.S. Census information. A utility must include at least the following information:

- (I) the customer's rights related to service disconnection, including medical and weather-based protections, timing restrictions on service disconnection, and options and hours to contact the utility for support relating to service disconnection;
- (II) a summary of a customer's options to prevent service disconnection for nonpayment, including installment payment plan options, utility energy assistance and affordability programs, and eligibility requirements for such programs;
- (III) referrals to organizations that provide energy payment assistance, including energy efficiency services, such as Energy Outreach Colorado, charities, nonprofits, and governmental entities that provide or administer funds for such assistance;
- (IV) the customer's rights related to service restoration, including restoration timelines, actions customers may take to restore service, and options and hours to contact the utility for support relating to service restoration;
- (V) a summary of charges, fees, and deposits to which a customer may be subject under paragraphs 4403(j) and 4404(a), with a description of how those amounts are calculated, explained in a way that enables a customer to estimate the full costs they may be assessed;
- (VI) a description of the customer's options in the event of a dispute regarding billing or disconnection practices;

- (VII) a description of the options available to an occupant of a service address who is not a customer of record and who has a court-ordered protection order against a customer of record for the service address, relating to past-due balances, service disconnection, restoration, and continuance at the service address, including initiating new service, transferring service, and the utility's practices, policies, and criteria for determining benefit of service for purposes of transferring a customer of record's balance to an occupant; and
 - (VIII) a description of the utility's Demand Side Management programs, including requirements to participate, the benefits of participating, and utility contact information relating to such programs.
- (g) Reporting requirements.
- (I) Annual Report. No later than March 1 of each calendar year, each utility shall file a report covering the prior calendar year in the miscellaneous proceeding for utility disconnection filings, using the form available on the Commission's website. A utility shall provide all required data elements beginning with the first reporting year following the effective date of this rule. The report shall provide data on residential customers by class and census block group, which means a geographic subdivision defined by the United States Census Bureau, and must also break down such data by income qualified customers, defined as customers participating in income qualified programs authorized by rule 4412 and the Low-Income Energy Assistance Program. For data provided in this report, paragraph 4033(b) shall not apply. A utility may rely on existing customer address information and commercially or publicly available geographic mapping tools to associate customers with census block groups and is not required to create new customer-specific data fields solely for compliance with this rule. The report shall contain the following information, displayed by month:
 - (A) total number of residential customer accounts;
 - (B) total dollar amount billed;
 - (C) total number of residential customer accounts assessed a late payment charge;
 - (D) total dollar amount of late payment charges assessed during the month;
 - (E) number of residential customer accounts with an arrearage balance, where "arrearage" means an unpaid balance for regulated utility service that is past due under the utility's tariff, by age of

arrearage (1-30 days, 31-60 days, 61-90 days, 91 days or more), measured as of the end of each reporting month;

- (F) total dollar amount of arrearage balances by age of arrearage (1-30 days, 31-60 days, 61-90 days, 91 days or more), measured as of the end of each reporting month;
- (G) total number of disconnection notices sent;
- (H) total number of disconnections for nonpayment;
- (I) total number of service restorations after disconnections for nonpayment;
- (J) average duration of disconnection for nonpayment in hours, measured from when the customer completes an action in paragraph 4409(b) to when service is restored;
- (K) total number of new installment payment plans entered into;
- (L) average repayment term of new installment payment plans entered into;
- (M) proportion of residential customer accounts that go into arrears, become disconnected, and have balances that are subsequently charged off as bad debt under the utility's standard accounting practices;
- (N) proportion of residential customer accounts that receive a preventative intervention (meaning any utility action or program intended to prevent service disconnection for nonpayment, including, but not limited to, payment arrangements, referrals to assistance programs, or direct bill assistance) before a disconnection;
- (O) number of residential customer accounts associated with a service address that experienced more than one disconnection for nonpayment within a 12-month period;
- (P) number of residential customer accounts, by fuel type, that received a regular LEAP grant for the program year;
- (Q) percentage of disconnections for nonpayment that are followed by service restoration within 24 hours and 72 hours;
- (R) total arrearage amount at time of disconnection; and
- (S) maximum and minimum arrearage amount at time of disconnection.

- (II) Along with the items in subparagraph (g)(I), each utility shall file the following additional items.
 - (A) A narrative containing the utility's analysis of any trends or inconsistencies revealed by the reported data for the prior year including, at minimum, an analysis of:
 - (i) the total number of residential customer accounts that were disconnected for nonpayment in the prior calendar year and percentage of those accounts that were disconnected for nonpayment multiple times; and
 - (ii) the total number of residential installment payment plans entered into in the prior calendar year, the average length of those installment payment plans, the number of residential installment payment plans completed, and the number of residential installment payment plans that were broken.
 - (B) Information about how the utility is working to reduce delinquencies and disconnections, including actions taken to address residential customer accounts experiencing multiple disconnections within a calendar year, and efforts to identify entities to which the utility refers customers for energy bill assistance.
- (h) Receipt of a qualifying communication. For purposes of compliance with § 40-3-103.6(3)(c)(II) and subparagraph 4001(tt)(II)(B), a customer "receives" the text or e-mail if:
 - (I) the utility sends the text or email with customer assistance information to the text address or e-mail address previously provided by the customer to the utility; and
 - (II) the utility does not subsequently receive a "bounce back" or other message indicating the text address is invalid or the e-mail address is invalid.
- (i) Customer education and outreach strategy: A utility shall conduct at least one meeting with stakeholders and interested customers for the purpose of seeking input on its customer education and outreach strategy for conducting disconnections and reconnections during its multi-year strategy reporting period under paragraph 4407(j). The results of these meetings and a detailed summary of the customer education and outreach conducted will be reported as part of its first annual report due no later than March 1, 2024, and each subsequent reporting year. Such education and outreach meetings may be held in conjunction with the income qualified meetings under paragraph 4412(j).
- (j) Customer education and outreach multi-year strategy reporting: As part of its annual report due no later than March 1, 2024, a utility shall file a customer

education and outreach strategy on residential and small commercial customer disconnections and reconnections covering a span of the next five years. As part of this filing, a utility shall provide an overview of its education and outreach efforts, including qualifying communications, disconnection and reconnection data and trends, and the tariffed rates for disconnection and reconnections. Upon filing of an initial multi-year strategy report, each utility shall file an update to its report every five years on March 1 of the relevant year. A utility filing a strategy report required by paragraphs (i)-(j) of this rule is required to file updated reporting if the education and outreach strategy changes in a material and substantial way.

- (k) **Tariff:** A utility shall file language to include in its tariff as cited below a requirement to report on its five-year customer education and outreach strategy, and if applicable, qualifying communications for reconnections. A utility filing a strategy report required by paragraphs (i)-(j) of this rule is required to file updated reporting if the education and outreach strategy changes in a material and substantial way.

4408. Notice of Discontinuance.

- (a) Except as provided in paragraphs (g) and (h) of this rule, prior to discontinuing service, a utility shall provide a customer, and any third party the customer has designated in writing or electronically, with the following forms of notice:
 - (I) upon a bill becoming past due, and at least five business days before issuing a notice of discontinuance, a utility must provide notice of late payment;
 - (II) at least 12 business days before any proposed service discontinuance, written notice of discontinuance as further described in paragraphs (b) and (c), by first class mail or hand delivery;
 - (III) at least 24 hours in advance of any proposed service discontinuance, the utility must make a reasonable attempt to provide notice in person or by telephone; and
 - (IV) if the utility will implement service discontinuance remotely, in addition to subparagraphs (I) through (III), the utility must undertake at least one additional attempt to notify the customer of record at their provided telephone number or in person at least 72 hours before discontinuing service.
- (b) The written notice of discontinuance under subparagraph (a)(II) shall be conspicuous and in easily understood language, and the heading shall contain, in bold font and capital letters, the following warning:

THIS IS A FINAL NOTICE OF DISCONTINUANCE OF UTILITY SERVICE
AND CONTAINS IMPORTANT INFORMATION ABOUT YOUR LEGAL
RIGHTS AND REMEDIES. YOU MUST ACT PROMPTLY TO AVOID
UTILITY SHUT OFF.

- (c) The body of the notice of discontinuance under subparagraph (a)(II) of this rule shall at a minimum advise the customer of the following:
 - (I) the reason for the discontinuance of service;
 - (II) the amount past due for utility service, deposits, or other regulated charges, if any;

- (III) the date by which an installment payment plan must be entered into or full payment must be received in order to avoid discontinuance of service;
- (IV) how and where the customer can pay or enter into an installment payment plan prior to the discontinuance of service;
- (V) that the customer may avoid discontinuance of service by entering into an installment payment plan with the utility pursuant to rule 4404 as described in the utility's applicable tariff;
- (VI) that the customer has certain rights if the customer or a member of the customer's household is seriously ill or has a medical emergency;
- (VII) that the customer has the right to dispute the discontinuance directly with the utility by contacting the utility, and how to contact the utility toll-free from within the utility's service area;
- (VIII) that the customer has the right to make an informal complaint to the Commission in writing, by telephone, or in person, along with the Commission's address and local and toll-free telephone number;
- (IX) that the customer has the right to file a formal complaint, in writing, with the Commission pursuant to rule 1302 and that this formal complaint process may involve a formal hearing;
- (X) that in conjunction with the filing of a formal complaint, the customer has a right to file a motion for a Commission order ordering the utility not to disconnect service pending the outcome of the formal complaint process and that the Commission may grant the motion upon such terms as it deems reasonable, including but not limited to the posting of a deposit or bond with the utility or timely payment of all undisputed regulated charges;
- (XI) that if service is discontinued for non-payment, the customer may be required, as a condition of restoring service, to pay reconnection and collection charges in accordance with the utility's tariff; and
- (XII) that customers may be able to obtain financial assistance to assist with the payment of the utility bill and that more detailed information on that assistance may be obtained by calling the utility toll-free. The utility shall state its toll-free telephone number.

- (d) A notice of discontinuance shall be printed in English and a specific language or languages other than English where the utility's entire service territory contains a population of at least ten percent who speak a specific language other than English as their primary language as determined by the latest U.S. Census information.
- (e) A utility shall explain and shall offer the terms of an installment payment plan to each customer who contacts the utility in response to a notice of discontinuance of service.
- (f) If the utility attempts to notify the customer in person or by telephone but fails to do so, it shall leave written or recorded notice of the attempted contact and its purpose.
- (g) If a customer has entered into an installment payment plan and has defaulted or allowed a new bill to remain unpaid past its due date, a utility shall provide, by first class mail or by hand-delivery, a written notice to the customer. The notice shall contain:
 - (I) a heading as follows: NOTICE OF BROKEN ARRANGEMENT
 - (II) statements that advise the customer:
 - (A) that the utility may discontinue service if it does not receive the monthly installment payment within ten days after the notice is mailed or hand-delivered;
 - (B) that the utility may discontinue service if it does not receive payment for the current bill within 30 days after its due date;
 - (C) that, if service is discontinued, the utility may refuse to restore service until the customer pays all amounts for regulated service more than 30 days past due and any collection or reconnection charges; and
 - (D) that the customer has certain rights if the customer or a member of the customer's household is seriously ill or has a medical emergency.
- (h) A utility is not required to provide notice under this rule if one of the following applies:
 - (I) the situation involves safety concerns;
 - (II) discontinuance is ordered by any appropriate governmental authority;
 - (III) either paragraph 4407(c) or 4407(d) applies; or

- (IV) service, having been already properly discontinued, has been restored by someone other than the utility and the original cause for discontinuance has not been cured.
- (i) Where a utility knows that the service to be discontinued is used by customers in multi-unit dwellings, in places of business, or in a cluster of dwellings or places of business and the utility service is recorded on a single meter used either directly or indirectly by more than one unit, the utility shall issue notice as required in paragraphs (a) and (b) of this rule, except that:
 - (I) the notice period shall be 30 days;
 - (II) such notice may include the current bill;
 - (III) the utility shall provide written notice to each individual unit, stating that a notice of discontinuance has been sent to the party responsible for the payment of utility bills for the unit and that the occupants of the units may avoid discontinuance by paying the next new bill in full within 30 days of its issuance and successive new bills within 30 days of issuance; and
 - (IV) the utility shall post the notice in at least one of the common areas of the affected location.

4409. Restoration of Service.

- (a) Unless prevented from doing so by safety concerns, a utility shall restore, without additional fee or charge, any discontinued service which was not properly discontinued or restored as provided in rules 4407, 4408, and 4409.
- (b) A utility shall restore service if the customer does any of the following:
 - (I) pays in full the amount for regulated charges shown on the notice and any deposit or fees as may be specifically required by the utility's tariff in the event of discontinuance of service;
 - (II) pays any reconnection and collection charges specifically required by the utility's tariff, enters into an installment payment plan, and makes the first installment payment, unless the cause for discontinuance was the customer's breach of such an arrangement;
 - (III) presents a medical certification, as provided in subparagraph 4407(e)(IV);
 - (IV) demonstrates to the utility that the cause for discontinuance, if other than non-payment, has been cured.

- (c) A utility shall reconnect a customer's service on the same day as the customer requests reconnection, if the customer makes a payment or payment arrangement in accordance with the utility's policies, requesting reconnection of service on a Monday through Friday that is not a holiday and one of the following circumstances is met:
 - (I) the customer has advanced metering infrastructure and has requested reconnection of service at least one hour before the close of business for the utility's customer service division; except that the utility may reconnect service on the day following a disconnection of service if there are internet connectivity, technical, or mechanical problems or emergency conditions that reasonably prevent the utility from remotely reconnecting the customer's service; or,
 - (II) the customer is without advanced metering infrastructure or a gas utility customer and has requested reconnection of service on or before 12:59 p.m.; except that, an electric utility or gas utility may reconnect the customer's service on the day following a disconnection if:
 - (A) prior to disconnection of the customer's service, the utility has made a qualifying communication with the customer; or
 - (B) an emergency or safety event or circumstance arises after disconnection of service that renders the utility's staff temporarily unavailable to safely reconnect service. If next-day reconnection of service is not possible due to the continuation of the emergency or safety event or circumstance, the utility shall reconnect the customer's service as soon as possible.
- (d) Unless prevented by an emergency or safety event or circumstance, a utility shall restore service to a customer who has completed an action in paragraph (b) within 24 hours (excluding weekends and holidays) of the time that the customer completes an action in paragraph (b), or within 12 hours of the time that the customer completes an action in paragraph (b) if the customer pays applicable after-hours charges and fees established in tariffs.
- (e) The utility must resolve doubts as to whether a customer has met the requirements for service restoration under paragraph (b) in favor of restoration.

4410. Refunds.

- (a) A utility shall file an application for Commission approval of a refund plan if it seeks to refund monies of an amount that exceeds one half of one percent of the utility's prior year's total gross revenues as reported to the Commission in its most recent annual report. The utility may refund amounts to the appropriate customers or classes of customers of less than one half of one percent of the utility's prior year's gross revenues without Commission approval; however, such refunds are required to be noted in the utility's annual report when filed with the Commission pursuant to paragraph 4006(a).
- (b) The application for approval of a refund plan shall include, in the following order and specifically identified, the following information either in the application or in the appropriately identified attachments:
 - (I) all the information required in paragraphs 4002(b) and 4002(c);
 - (II) the reason for the proposed refund;
 - (III) a detailed description of the proposed refund plan, including the type of utility service involved, the service area involved, the class(es) of customers to which the refund will be made, and the dollar amount (both the total amount and the amount to be paid to each customer class) of the proposed refund. The interest rate on the refund shall be the current interest rate in the applying utility's customer deposits tariff;
 - (IV) the date the applying utility proposes to start making the refund, which shall be no more than 60 days after the filing of the application; the date by which the refund will be completed; and the means by which the refund is proposed to be made;
 - (V) if applicable, a reference (by proceeding number, decision number, and date) to any Commission decision requiring the refund or, the order itself if the refund is to be made because of receipt of monies by the applying utility under the order of a court or of another state or federal agency;
 - (VI) a statement describing in detail the extent to which the applying utility has any financial interest in any other company involved in the refund plan;
 - (VII) a statement showing accounting entries under the Uniform System of Accounts; and
 - (VIII) a statement that, if the application is granted, the applying utility will file an affidavit verifying that the refund has been made in accordance with the Commission's decision.

- (c) A utility shall pay 90 percent of all undistributed balances, plus associated interest, to the energy assistance organization. For purposes of this rule, a refund is deemed undistributed if, after good faith efforts, a utility is unable to find the person entitled to a refund within the period of time fixed by the Commission in its decision approving the refund plan.
- (d) A utility shall pay an undistributed refund to the energy assistance organization within four months after the refund is deemed undistributed. A utility shall pay interest on an undistributed refund from the time it receives the refund until the refund is paid to the energy assistance organization. The interest rate shall be equal to the interest rate set by the Commission pursuant to paragraph 4403(m).
- (e) Whenever a utility makes a refund, it shall provide written notice to those customers that it believes may be master meter operators. The notice shall contain:
 - (I) the definition of master meter operator, as set forth in these rules;
 - (II) a statement regarding a mater meter operator's obligation to do the following:
 - (A) to notify its end users of their right to claim, within 90 days, their proportionate share of the refund; and
 - (B) after 90 days, if the unclaimed balance exceeds \$100, to remit the unclaimed balance to the energy assistance organization.
- (f) A utility shall resolve all inquiries regarding a customer's undistributed refund and shall not refer such inquiries to the energy assistance organization.
- (g) If a utility has paid an undistributed refund to the energy assistance organization, a customer later makes an inquiry claiming that refund, and the utility resolves the inquiry by paying that refund to the customer, the utility may deduct the amount paid to the customer from future funds submitted to the energy assistance organization.

4411. Low-Income Energy Assistance Act.

- (a) Scope and applicability.
 - (I) Rule 4411 is applicable to gas and combined gas and electric utility providers except those exempted under subparagraph (II) or (III) of this rule. Pursuant to §§ 40-8.7-101 through 111, C.R.S., utilities are required to provide an opportunity for their customers to contribute an optional amount through the customers' monthly billing statement.
 - (II) Municipally owned gas or gas and electric utilities are exempt if:

- (A) the utility operates an alternative energy assistance program to support its income qualified customers with their energy needs and self-certifies to the Organization through written statement that its program meets the following criteria:
 - (i) the amount and method for funding of the program has been determined by the utility's governing body; and
 - (ii) the program monies will be collected and distributed in a manner and under eligibility criteria determined by the governing body for the purpose of residential energy assistance to customers who are challenged with paying energy bills for financial reasons, including seniors on fixed incomes, individuals with disabilities, and income qualified individuals, or,
 - (B) the governing body of the utility determines its service area has a limited number of people who qualify for energy assistance and self-certifies to the Organization via written statement such determination.
- (III) A municipally owned gas or gas and electric utility not exempt under subparagraph (a)(II) of this rule, is exempt if:
- (A) the utility designs and implements a procedure to notify all customers at least twice each year of the option to conveniently contribute to the Organization by means of a monthly energy assistance charge. Such procedure shall be approved by the governing utility. The governing body of such utility shall determine the disposition and delivery of the optional energy assistance charge that it collects on the following basis:
 - (i) delivering the collections to the organization for distribution; or
 - (ii) distributing the moneys under criteria developed by the governing body for the purpose set forth in subparagraph (a)(II)(A)(ii) of this rule;

- (B) alternatively, the utility provides funding for energy assistance to the Organization by using a source of funding other than the optional customer contribution on each customer bill that approximates the amount reasonably expected to be collected from an optional charge on customer's bills.
 - (IV) A municipal gas or gas and electric utility that is exempt under subparagraph (a)(III) of this rule shall be entitled to participate in the Organization's low-income assistance program.
 - (V) Gas or gas and electric utilities that desire a change in status must inform the Organization and file a notice to the Commission within 30 days prior to expected changes.
- (b) Definitions. The following definitions apply only in the context of rule 4411. In the event of a conflict between these definitions and a statutory definition, the statutory definition shall apply.
 - (I) "Alternative energy assistance program" means a program operated by a municipally owned electric and gas utility or rural electric cooperative that is not part of the energy assistance program established pursuant to this statute.
 - (II) "Customer" means the named holder of an individually metered account upon which charges for electricity or gas are paid to a utility. "Customer" shall not include a customer who receives electricity or gas for the sole purpose of reselling the electricity or gas to others.
 - (III) "Energy assistance program" or "Program" means the Low Income Energy Assistance Program created by § 40-8.7-104, C.R.S., and designed to provide financial assistance, residential energy efficiency, and energy conservation assistance.
 - (IV) "Organization" means Energy Outreach Colorado, a Colorado nonprofit corporation.
 - (V) "Remittance device" means the section of a customer's utility bill statement that is returned to the utility company for payment. This includes but is not limited to paper payment stubs, web page files used to electronically collect payments, and electronic fund transfers.
 - (VI) "Utility" means a corporation, association, partnership, cooperative electric association, or municipally owned entity that provides retail electric service or retail gas service to customers in Colorado. "Utility" does not mean a propane company.
- (c) Plan implementation and maintenance.

- (I) Except as provided in paragraph 4411(a), each utility shall implement and maintain a customer opt-in contribution mechanism. The utility's opt-in mechanism shall include, at minimum, the following provisions.
 - (A) A description of the procedures the utility will use to notify its customers, including those customers that make payments electronically, about the opt-in provision. Utilities may combine their efforts to notify customers into a single state-wide or region-wide effort consistent with the participating utilities communication programs. Each participating utility shall clearly identify its support of the combined communications program, with its corporate name and/or logo visible to the intended audience.
 - (B) A description of the additional efforts the utility will use to inform its customers about the program to ensure that adequate notice of the opt-in provision is given to all customers. Notification shall include communication to all customers that the donation and related information will be passed through to the Organization.
 - (C) A description of the check-off mechanism that will be displayed on the monthly remittance device to solicit voluntary donations. The remittance device shall include, at minimum, check-off categories of five dollars, ten dollars, twenty dollars, and "other amount". The remittance device must also note the name of the program as the "voluntary energy assistance program," or if the utility is unable to identify the name of the program individually, the utility shall use a general energy assistance identifier approved by the Commission.
 - (D) A description or an example of how the utility will display the voluntary contribution as a separate line item on the customer's monthly billing statement and how the voluntary contribution will be included in the total amount due. The line item must identify the contribution as "voluntary".

- (E) A description of the notification process that the utility will use to ensure that once a utility customer opts into the program, the energy assistance contribution will be assessed on a monthly basis until the customer notifies the utility of the customer's desire to stop contributing. The utility shall describe how it will manage participation in the program when customers miss one or more voluntary payment, or pay less than the pre-selected donation amount.
- (F) Identification of the procedures the utility will use to notify customers of their ability to cancel or discontinue voluntary contributions along with a description of the mechanism the utility will use to allow customers who make electronic payments to discontinue their participation in the opt-in program.
- (G) A description of the procedures the utility will use, where feasible, to notify customers participating in the program about the customer's ability to continue to contribute when the customer changes their address within the utility's service territory.
- (H) A description of the method the utility will use to provide clear, periodic, and cost-effective notice of the opt-in provision to its customers at least twice per year. Acceptable methods include, but are not limited to, bill inserts, statements on the bill or envelope, and other utility communication pieces.
- (I) A description of the start-up costs that the utility incurred in connection with the program along with supporting detailed justification for such costs. The description should include the utility's initial costs of setting up the collection mechanism and reformatting its billing systems to solicit the optional contribution but shall not include the cost of any notification efforts by the utility. Utilities may elect to recover all start-up costs before the remaining moneys generated by the program are distributed to the Organization or over a period of time from the funds generated by the program, subject to Commission review and approval.
- (J) An estimate of the on-going costs that the utility expects to incur in connection with the program along with supporting detailed justification for such costs. This estimate shall not include the cost of any notification efforts by the utility.
- (K) A detailed justification for the costs identified in subparagraphs (I) and (J). As stated in § 40-8.7-104(3), C.R.S., the costs incurred must be reasonable in connection with the program.

- (L) Utilities shall recover the start up cost and on-going cost of administration associated with the program from funds generated from the program. Insert and notification costs shall be considered in the utility's cost of service.
 - (M) A description of the procedures the utility will use to account for and process program donations separately from customer payments for utility services.
 - (II) Each utility shall participate in the energy assistance program consistent with its plan approved by the Commission and shall provide the opportunity for its customers to make an optional energy assistance contribution on the monthly remittance device on their utility bill.
 - (III) The utility may submit an application to the Commission no later than April 1 of each year for approval of reimbursement costs the utility incurred for the program during the previous calendar year. Such application shall include a proposed schedule for the reimbursement of these costs to the utility. The applications shall include detailed supporting justification for approval of these costs. Such detailed justification includes, but is not limited to, copies of invoices and time sheets. Such applications shall not seek reimbursement of costs related to notification efforts. Participating utilities may request reimbursement costs for such notification efforts in base rate filings, subject to Commission review and approval.
 - (IV) A utility may seek modification of its initial plan or subsequent plans by filing an application with the Commission.
- (d) Fund administration.
- (I) At a minimum, each utility shall transfer the funds collected from its customers under the energy assistance program to the organization under the following schedule:
 - (A) for the funds collected during the period of January 1 to March 31 of each year, the utility shall transfer the collected funds to the Organization before May 1 of such year;
 - (B) for the funds collected during the period of April 1 to June 30 of each year, the utility shall transfer the collected funds to the Organization before August 1 of such year;
 - (C) for the funds collected during the period of July 1 to September 30 of each year, the utility shall transfer the collected funds to the Organization before November 1 of such year;

- (D) for the funds collected during the period of October 1 to December 31 of each year, the utility shall transfer the collected funds to the Organization before February 1 of the next year; and
 - (E) each utility shall maintain a separate accounting for all energy assistance program funds received by customers.
 - (II) Each utility shall provide the organization with the following information.
 - (A) How the funds collected for the previous calendar year were generated, including the number of customers participating in the program. Such report shall include a summary of the number of program participants and funds collected by month, and shall be provided by February 1 of each year.
 - (B) At each time funds are remitted, a listing of all program participants including the donor's name, billing address, and monthly donation amount. The participant information provided to the organization shall be used exclusively for complying with the requirements of § 40-8.7-101, C.R.S., et seq. and state and federal laws.
 - (III) The Public Utilities Commission shall submit, as necessary, a bill for payment to the Organization for any administrative costs incurred pursuant to the program.
 - (IV) The organization shall provide the Office of Utility Consumer Advocate and the Public Utilities Commission with a copy of the written report that is described in § 40-8.7-110, C.R.S. This report shall not contain individual participant information.
- (e) Prohibition of disconnection. Utilities shall not disconnect a customer's gas service for non-payment of optional contribution amounts.

4412. Gas Service Affordability Program.

- (a) Scope and applicability.
 - (I) Gas utilities with Colorado retail customers shall provide income qualified energy assistance by offering rates, charges, and services that grant a reasonable preference or advantage to residential income qualified customers, as permitted by § 40-3-106, C.R.S.
 - (II) Rule 4412 is applicable to investor-owned gas utilities subject to rate regulation by the Commission.
- (b) Definitions. The following definitions apply only in the context of rule 4412. In the event of a conflict between these definitions and a statutory definition, the statutory definition shall apply.

- (I) “Administrative cost” means the utility’s direct cost for labor (to include the cost of benefit loadings), materials, and other verifiable expenditures directly related to the administration and operation of the program not to exceed ten percent of the total cost of program credits applied against bills for current usage and pre-existing arrearages or \$10,000, whichever amount is greater.
- (II) “Affordable percentage of income payment” means the amount of the participant’s annual bill deemed affordable under subparagraph 4412(e)(I).
- (III) “Arrearage” means the past-due amount appearing, as of the date on which a participant newly enters the program, on the then most recent prior bill rendered to a participant for which they received the benefit of service.
- (IV) “Colorado Energy Office” (CEO) means the Colorado Energy Office created in § 24-38.5-101, C.R.S.
- (V) “Eligible income qualified customer” means a residential utility customer who meets the household income thresholds pursuant to paragraph 4412(c).
- (VI) “Fixed credit” means an annual bill credit established at the beginning of a participant’s participation in a program each year delivered as a monthly credit on each participant’s bill. The fixed credit is the participant’s full annual bill minus the participant’s affordable percentage of income payment obligation on the full annual bill.
- (VII) “Full annual bill” means the current consumption of a participant billed at standard residential rates. The full annual bill of a participant is comprised of two parts: (1) that portion of the bill that is equal to the affordable percentage of income payment; and (2) that portion of the bill that exceeds the affordable percentage of income payment.
- (VIII) “LEAP” means Low-Income Energy Assistance Program, a county-run, federally-funded, program supervised by the Colorado Department of Human Services, Division of Low-Income Energy Assistance.
- (IX) “LEAP participant” means a utility customer who at the time of applying to participate in a program has been determined to be eligible for LEAP benefits by the Department during either the Department’s current LEAP application period, if that period is open at the time the customer applies for program participation; or (the Department’s most recently closed LEAP application period, if that period is closed at the time the customer applies to participate in the program and the Department’s next LEAP application period has not yet opened, provided, however, that in order to retain status as a LEAP participant under this definition, the utility customer must

apply to the Department during the Department's next LEAP benefit application period and be determined eligible for such benefits.

- (X) "Non-participant" means a utility customer who is not receiving income qualified assistance under rule 4412.
 - (XI) "Participant" means an eligible income qualified residential utility customer who is granted the reasonable preference or advantage through participation in a gas service low-income program.
 - (XII) "Percentage of Income Payment Plan" (PIPP) means a payment plan for participants that does not exceed an affordable percentage of their household income as set forth in subparagraph 4412(e)(I).
 - (XIII) "Program" means a gas service low-income program approved under rule 4412.
 - (XIV) "Program credits" means the amount of benefits provided to participants to offset the unaffordable portion of a participant's utility bill and /or dollar amounts credited to participants for arrearage forgiveness.
 - (XV) "Unaffordable portion" means the amount of the estimated full annual bill that exceeds the affordable percentage of income payment.
- (c) Participant eligibility.
- (I) Eligible participants are limited to those who meet one or more of the following criteria:
 - (A) household income less than or equal to 200 percent of the federal poverty guideline;
 - (B) household income less than or equal to 80 percent of the area median income, as published annually by the United States Department of Housing and Urban Development; or
 - (C) qualification under income guidelines adopted by the Department of Human Services pursuant to § 40-8.5-105, C.R.S.
 - (II) The utility shall obtain the determination of a participant's eligibility from the Department of Human Services, Energy Outreach Colorado, or the Colorado Energy Office.
 - (III) If a participant's household income is \$0, the utility may establish a process that verifies income on a more frequent basis.
 - (IV) Program participants shall not be required to make payment on their utility account as a condition of entering into the program.

- (d) Enrollment. Utilities shall be responsible for the methods by which participant enrollment in their approved low-income program is obtained and sustained, however the utility should engage in enrollment processes that are efficient and attempt to maximize the potential benefits of participation in the low-income program by low-income customers.
- (e) Payment plan.
 - (I) Participant payments for gas bills rendered to participants shall not exceed an affordable percentage of income payment. For accounts for which gas is the primary heating fuel, participant payments shall be no lower than two percent and not greater than three percent of the participant's household income. For accounts for which electricity is the primary heating fuel but the participant also has gas service, utility participant payments for gas service shall not be greater than one percent of the participant's household income.
 - (II) In the event that a primary heating fuel for any particular participant has been identified by LEAP, that determination shall be final.
 - (III) Notwithstanding the percentage of income limits established in subparagraph 4412(e)(I), a utility may establish minimum monthly payment amounts for participants with household income of \$0, provided that the participant's minimum payment for a gas account shall be no more than \$10.00 a month.
 - (IV) Full annual bill calculation. The utility shall be responsible for estimating a participant's full annual bill for the purpose of determining the unaffordable portion of the participant's full annual bill delivered as a fixed credit on the participant's monthly billing statement.
 - (V) Fixed credit benefit. The fixed credit shall be adjusted during a program year in the event that standard residential rates, including commodity or fuel charges change to the extent that the full annual bill at the new rates would differ from the full annual bill upon which the fixed credits are currently based by 25 percent or more.
 - (VI) Levelized budget billing participation. A utility may enroll participants in its levelized budget billing program as a condition of participation in the program, though the utility shall also allow participants the option to opt out of levelized budget billing if they so choose without losing PIPP benefits, which option shall be available to the participants where the utility's automated billing system is capable. Utilities without automated billing systems capable of permitting opt out of levelized budget billing shall reasonably and prudently modify their systems to facilitate opt out of levelized budget billing. Should a participant fail to meet monthly bill obligations and be placed by a utility in its regular delinquent collection

cycle, the utility may remove the participant from levelized budget billing in accordance with the utility's levelized budget billing tariff.

(VII) Arrearage credits.

- (A) Arrearage credits shall be applied to pre-existing arrearages.
- (B) Arrearage credits shall be sufficient to reduce, when combined with participant copayments, if any, the pre-existing arrearages to \$0.00 over a period not less than one month and not more than twenty-four months.
- (C) Application of an arrearage credit to a participant account may be conditioned by the utility on one or more of the following:
 - (i) the receipt of regular participant payments toward bills for current usage; or
 - (ii) the payment of a participant copayment toward the arrearages so long as the participant's copayment total dollar amount does not exceed one percent of gross household income.
- (D) Should the participant exit the program prior to the full forgiveness of all pre-existing arrearages, the amount of remaining pre-existing arrearages shall become due in accordance with the utility's tariff filed under rules 4401, 4407, and 4408.
- (E) Pre-existing arrears under this subparagraph shall not serve as the basis for the termination of service for nonpayment or as the basis for any other utility collection activity while the customer is participating in the program.
- (F) A participant may receive arrearage credits under this section even if that participant does not receive a credit toward current bills.

(VIII) Portability of benefits. A participant may continue to participate without reapplication should the participant change service addresses but remain within the service territory of the utility providing the benefit, provided that the utility may make necessary adjustments in the billing amount to reflect the changed circumstances. A participant who changes service addresses and does not remain within the service territory of the utility providing the benefit must reapply to become a participant at the participant's new service address.

(IX) Payment default provisions. Failure of a participant to make his or her monthly bill payments may result in a utility placing the participant in its

regular collection cycle. Partial or late payments shall not result in the removal of a participant from the program.

(f) Program implementation.

Each utility shall maintain effective terms and conditions in its tariffs on file with the Commission describing its low-income program.

(g) Cost recovery.

(I) Each utility shall include in its income qualified tariff terms and conditions how costs of the program will be recovered.

(II) Program cost recovery.

(A) Program cost recovery shall be based on a fixed monthly fee.

(B) The maximum impact on residential rates shall be no more than \$1.00 per month.

- (C) In order to determine monthly rates applicable to rate classes other than residential, program costs shall be allocated to each retail rate based on each rate class's share of the test year revenue requirement established in the utility's last Phase II rate case, or under another reasonable methodology supported by quantifiable information. The monthly rate per this subparagraph to be charged each rate schedule customer shall be clearly stated on a tariff sheet.
- (D) Utilities shall separately account for the program year's program cost recovery and program and administrative costs to determine if the net of program cost recovery and program and administrative cost are in balance during the program year.
 - (i) No later than December 31 of each year, the utility shall file a report with the Commission in the most recent miscellaneous proceeding for annual low-income filings detailing the net difference between program cost recovery and program costs as of October 31 of each year.
 - (1) Should the net difference of program cost recovery over program and administrative costs be greater than 50 percent derived in D) above, either positive or negative, and the utility is not currently at the maximum impact for non-participants, the utility shall file with the Commission an advice letter and tariff pages seeking approval for the rates determined in subparagraph 4412(g)(II)(D) in order to bring the projected recovery in balance for the ensuing 12 month period. The revised Residential charge shall not exceed the maximum impact for non-participants in subparagraph 4412(g)(II)(C).
- (III) The following costs are eligible for recovery by a utility as program costs:
 - (A) program credits or discounts applied against bills for current usage;
 - (B) program credits applied against pre-existing arrearages;
 - (C) program administrative costs; and
 - (D) Commission-sponsored program evaluation costs required under paragraph 4412(k).
- (IV) The utility shall apply, as an offset to cost recovery, all program expenses attributable to the program. Program expenses include utility operating costs; changes in the return requirement on cash working capital for

carrying arrearages; changes in the cost of credit and collection activities directly related to income qualified participants; and changes in uncollectable account costs for these participants.

- (V) LEAP grants.
 - (A) The utility may apply energy assistance grants provided to the participant by the LEAP program to the dollar value of credits granted to individual program participants.
 - (B) If applying LEAP grants first, a utility shall apply any energy assistance benefit granted to the participant by LEAP to that portion of the program participant's full annual bill that exceeds the participant's affordable percentage of income payment.
 - (C) If the dollar value of the energy assistance grant is greater than the dollar value of the difference between the program participant's full annual bill and the participant's affordable percentage of income payment, the dollar amount by which the energy assistance grant exceeds the difference will be applied:
 - (i) first, to any pre-existing arrearages that at the time of the energy assistance grant continues to be outstanding; and
 - (ii) second, to the account of the program participant as a benefit to the participant.
 - (D) No portion of an energy assistance or LEAP grant provided to a program participant may be applied to the account of a participant other than the participant to whom the energy assistance grant was rendered.
- (h) Other programs. In addition to the utility's low-income program, with Commission approval, a utility may offer other rate relief options to eligible households.
 - (I) Other programs offered by the utility under rule 4412 must be intended to reach income qualified households that do not substantially benefit from the provisions of the low-income program. Such programs may take the form of discount rates, tiered discount rates or other direct bill relief methods where the income qualified household benefitting from the program is granted a reasonable preference in tariffed rates assessed to all residential utility customers.
 - (II) Cost recovery for other programs combined with the Percentage of Income Payment Plan shall not exceed the maximum impact on residential rates described in subparagraph 4412(g)(II)(C).
- (i) Energy efficiency and weatherization.

- (I) The utility shall provide all program participants with information on energy efficiency programs offered by the utility or other entities and existing weatherization programs offered by the State of Colorado or other entities.
- (II) The utility shall provide the Colorado Energy Office with the name and service address of participant households for which annual gas usage exceeds 600 therms annually.
- (j) Stakeholder engagement. A utility shall conduct annual meetings with income qualified stakeholders for the purpose of seeking solutions to issues of mutual concern and aligning program practices with the needs of customers and other stakeholders.
- (k) Program evaluation. A triennial evaluation of the program provisions under rule 4412 beginning in 2019 shall be undertaken in order to review best practices in similar low-income assistance programs in existence in other regulatory jurisdictions, as well as evaluate operation of each utility's program for effectiveness in achieving optimum support being provided to income qualified participants. The evaluation shall also recommend modifications if available that improve the delivery of benefits to participants and increase the efficiency and effectiveness of each program as they exist at the point of evaluation. The program evaluation shall include a customer needs assessment provided that adequate funds are available.
 - (I) Procurement of the third-party vendor that will perform the evaluation will be undertaken by the Colorado Energy Office. The CEO shall seek the involvement of interested stakeholders including, but not limited to, Commission staff, all Commission regulated electric and gas utilities, LEAP, the Office of Consumer Counsel, and Energy Outreach Colorado in the design of the requirements regarding study focus and final reporting.
 - (II) Approval of the third-party vendor shall be the responsibility of the Commission. The CEO shall file with the Commission in the most recent annual report proceeding, a request for approval of the contract of the vendor selected. The Commission shall review and act on the request within 30 days.
 - (III) \$00.0013 per customer per month shall be set aside by the utility in order to cover the cost of the program evaluation described in paragraph 4412(k).
 - (IV) The dollars resulting from the \$00.0013 charge shall be recovered as a program cost under subparagraph 4412(g)(III).
 - (V) The evaluation will be filed by Commission staff in the most recent miscellaneous proceeding for annual low-income filings.

- (VI) Staff and the CEO will assess the individual utilities' deferred balances set aside for the program evaluation starting in 2019 at the conclusion of the third program year and each three years thereafter and will determine the amounts each utility is to remit to the third party evaluator based on the contractual terms approved by the Commission for the evaluation.
- (I) Annual report. No later than December 31 of each year, each utility shall file a report in the most recent miscellaneous proceeding established by the Commission to receive annual low-income filings using the form available on the Commission's website, based on the 12-month period ending October 31 and containing the following information below:
 - (I) monthly information on the program including number of participants, amount of benefit disbursement, type of benefit disbursement, LEAP benefits applied to the unaffordable portion of participant's bills, administrative costs, and revenue collection;
 - (II) the number of applicants for the program;
 - (III) the number of applicants qualified for the program;
 - (IV) the number of participants;
 - (V) the average assistance provided, both mean and median;
 - (VI) the maximum assistance provided to an individual participant;
 - (VII) the minimum assistance provided to an individual participant;
 - (VIII) total cost of the program and the average rate impact on non-participants by rate class, including impact based on typical monthly consumption of both its residential and small business customers;
 - (IX) the number of participants that had service discontinued as a result of late payment or non-payment, and the amount of uncollectable revenue from participants;
 - (X) an estimate of utility savings as a result of the implementation of the program (e.g., reduction in trips related to discontinuance of service, reduction in uncollectable revenue, etc.);
 - (XI) the average monthly and annual total gas consumption in PIPP participants' homes;
 - (XII) the average monthly and annual total gas consumption in the utility's residential customer's homes;

- (XIII) the number of program participants referred to the weatherization program;
- (XIV) the total dollar value of participant arrearages forgiven, the number of customers who had arrearage balances forgiven, and the maximum and minimum dollar value of arrears forgiven;
- (XV) a description of the ways in which the program is being integrated with existing energy efficiency, DSM, or behavioral programs offered by the utility;
- (XVI) a description of the ways in which the program is being integrated with existing weatherization programs offered by the state of Colorado;
- (XVII) a description of program outreach strategies and metrics that illustrate the effectiveness of each outreach strategy;
- (XVIII) a description of participant outreach, education, and engagement efforts, including descriptions of communications and materials, and key findings from those efforts;
- (XIX) the number of participants at the start of the program year that the utility removed for any reason, the number of participants who opted out of the program after enrollment, the number of potential participants rejected because of the existence of a cap on the program, the period of arrearage time from date participants became eligible and were granted arrearage forgiveness, and the number of participants who came back as eligible participants in the program year after being eligible in a prior program year and were provided arrearage credits in the program year;
- (XX) a narrative summary of the utility's recommended program modifications based on report findings; and

- (XXI) a statement regarding whether the utility is accommodating PIPP participants' requests to opt out of levelized budget billing pursuant to subparagraph 4412(e)(VI) and, if not, an explanation of why the utility believes it is not reasonable and prudent to modify its automated billing system to accommodate such requests. If the utility plans to accommodate such requests at any point in the upcoming year, a description of the plan, including the anticipated cost of the plan and the date that the functionality in its automated billing system will go online, must be included.
- (m) Energy Assistance System Benefit Charge. Beginning October 1, 2021, each utility shall include on its monthly bills a flat energy assistance system benefit charge of 50 cents, with this amount rising to 75 cents on October 1, 2022, and being adjusted for inflation in accordance with changes in the United States Department of Labor's Bureau of Labor Statistics Consumer Price Index for Denver-Aurora-Lakewood beginning on October 1, 2023. The disposition of money collected by the Energy Assistance System Benefit Charge is determined by § 40-8.7-108, C.R.S.
- (l) Prior to October 1, 2023, and each year following, Commission staff shall compute the charge adjusted by the index and shall send a letter to each utility stating the charge to be paid by customers during the next calendar year.

4413. – 4499. [Reserved].

UNREGULATED GOODS AND SERVICES

4500. Overview and Purpose.

The purpose of these rules is to establish cost assignment and allocation principles to assist the Commission in setting just and reasonable rates and to ensure that utilities do not use ratepayer funds to subsidize non-regulated activities, in accordance with § 40-3-114, C.R.S. In order to promote these purposes, these rules also specify information that utilities must provide to the Commission. In providing for review of a utility's specific cost allocations in other states and jurisdictions, the rules merely contemplate a methodology to allow interested parties to obtain complete information regarding cost allocations. These rules do not expressly or implicitly allow this Commission to order a utility to revise its cost allocations in other jurisdictions or states.

4501. Definitions.

The following special definitions apply only to rules 4501 through 4505. In the event of a conflict between these definitions and a statutory definition, the statutory definition shall apply.

- (a) “Activity” means a business activity, product or service whether offered by a Colorado utility, a division of a Colorado utility, or an affiliate of a Colorado utility.
- (b) “Allocate” or “Allocated” or “Cost Allocation” means to distribute a joint or common cost to or from more than one activity or jurisdiction.
- (c) “Assigned Costs” or “Cost Assignment” means a cost that is specifically identified with a particular activity or jurisdiction and charged directly to that activity or jurisdiction. At no point in the process of making the cost assignment is an allocation applied.
- (d) “Cost Assignment and Allocation Manual” (CAAM) means the indexed document filed by a utility with the Commission that describes and explains the cost assignment and allocation methods the utility uses to segregate and account for revenues, expenses, assets, liabilities, and rate base cost components assigned or allocated to Colorado jurisdictional activities. It includes the cost assignment and allocation methods to segregate and account for costs between and among jurisdictions, between regulated and non-regulated activities, and between and among utility divisions.
- (e) “Division” means an activity conducted by a Colorado utility but not through a legal entity separate from the Colorado utility. It includes the electric, gas, or thermal activities of a Colorado utility and any non-regulated activities provided by the Colorado utility.
- (f) “Fully Distributed Cost” (FDC) means the process of segregating, assigning, and allocating the revenues, expenses, assets, liabilities and rate base amounts recorded in the utility’s accounting books and records using cost accounting, engineering, and economic concepts, methods and standards. Fully distributed cost includes a return on investment in cases where assets are used.
- (g) “Fully Distributed Cost Study” is a cost study that reflects the result of the fully distributed revenues, expenses, assets, liabilities and rate base amounts for the Colorado utility to and from the different activities, jurisdictions, divisions, and affiliates using cost accounting, engineering, and economic concepts, methods, and standards.
- (h) “Incidental Services” means non-tariff or non-regulated services that have traditionally been offered incidentally to the provisions of tariff services where the revenues for all such services do not exceed:
 - (I) The greater of \$100,000 or one percent of the provider’s total annual Colorado operating revenues for regulated services; or,
 - (II) Such amount established by the Commission considering the nature and frequency of the particular service.

- (i) “Jurisdictional” means having regulatory rate authority over a utility. Jurisdiction can be at a state or federal level.
- (j) “Regulated activity” means any activity that is offered as a public utility service as defined in Title 40, Articles 1 to 7 C.R.S., and is regulated by the Commission or regulated by another state utility commission or the FERC, or any non-regulated activity which meets the criteria specified in rules 4502(g).
- (k) “Non-regulated activity” means any activity that is not offered as a public utility service as defined in Title 40, Articles 1 to 7, C.R.S., and is not regulated by this Commission or another state utility commission or the FERC.
- (l) “Transaction” means the activity that results in the provision of products, services, or assets by one division or an affiliate to another division or an affiliate.

4502. Cost Assignment and Allocation Principles.

In determining fully distributed cost, the utility shall apply the following principles (listed in descending order of required application in paragraphs 4502 (a), (b) and (c) below).

- (a) Tariff services provided to an activity will be charged to the activity at the tariff rates.
- (b) If only one activity or jurisdiction causes a cost to be incurred, that cost shall be directly assigned to that activity or jurisdiction.
- (c) Costs that cannot be directly assigned to either regulated or non-regulated activities or jurisdictions will be described as common costs. Common costs shall be grouped into homogeneous cost categories designed to facilitate the proper allocation of costs between regulated and non-regulated activities or jurisdictions. Each cost category shall be fairly and equitably allocated between regulated and non-regulated activities or jurisdictions in accordance with the following principles.
 - (I) Cost causation. All activities or jurisdictions that cause a cost to be incurred shall be allocated a portion of that cost. Direct assignment of a cost is preferred to the extent that the cost can easily be traced to the specific activity or jurisdiction.
 - (II) Variability. If the fully distributed cost study indicates a direct correlation exists between a change in the incurrence of a cost and cost causation, that cost shall be allocated based upon that relationship.
 - (III) Traceability. A cost may be allocated using a measure that has a logical or observable correlation to all the activities or jurisdictions that cause the cost to be incurred.

- (IV) Benefit. All activities or jurisdictions that benefit from a cost shall be allocated a portion of that cost.
- (V) Residual. The residual of costs left after either direct or indirect assignment or allocation shall be allocated based upon an appropriate general allocator to be defined in the utility's CAAM.
- (d) For cost assignment and allocation purposes, the value of all transactions from the Colorado utility to a non-regulated activity shall be determined as follows:
 - (I) if the transaction involves a product or service provided by the utility pursuant to tariff, the value of the transaction shall be at the tariff rate;
 - (II) if the transaction involves a product or service that is not provided pursuant to a tariff, the value of the transaction shall be the higher of the utility's fully distributed cost or market price. Market price shall be either the price charged by the utility, or if this condition cannot be met, the lowest price charged by another person for a comparable product or service; or
 - (III) if the transaction involves the sale of an asset, the value of the transaction shall be the higher of net-book cost or market price. If the transaction involves the use of an asset, the value of the transaction shall be the higher of fully distributed cost or market price. Market price shall be either the price charged by the utility or if this condition cannot be met, the lowest price charged by another person in the market for the sale or use of a comparable asset, when such prices are publicly available.
- (e) For cost assignment and allocation purposes, the value of all transactions from a non-regulated activity to the utility shall be determined as follows:

- (I) if the transaction involves a product or service that is not provided pursuant to a tariff, the value of the transaction shall be the lower of the fully distributed cost or the market price except if the transaction results from a competitive solicitation process then the value of the transaction shall be the winning bid price. Fully distributed cost in this circumstance, shall be the cost that would be incurred by the utility to provide the service internally. Market price shall be either the price charged by the supplying non-regulated activity or if that condition is not met, the lowest price charged by other persons in the market for a comparable product or service, when such prices are publicly available; or
 - (II) if the transaction involves the sale of an asset, the value of the transaction shall be the lower of net-book cost or market price. If the transaction involves the use of an asset, the value of the transaction shall be at the lower of fully distributed cost or market price. Market price shall be either the price charged by the non-regulated activity or, if this condition cannot be met, the lowest price charged by another person in the market for the sale or use of a comparable asset, where such prices are publicly available.
- (f) If it is impracticable for the utility to establish a market price pursuant to paragraphs (d) or (e), the utility shall provide a statement to that effect, including its reasons in its' fully distributed cost study as well as its proposed method and amount for valuing the transaction. Parties in a Commission proceeding retain the right to advocate alternative market prices pursuant to paragraphs (d) and (e).
- (g) A utility may classify non-jurisdictional services as regulated if the services are rate-regulated by another agency (i.e., another state utility commission or the FERC) and where there are agency-accepted principles or methods for the development of rates associated with such services. This rule may apply, for example, to a provider's wholesale sales of electric power and energy. For such services, the utility shall identify the services in its manual, and account for the revenues, expenses, assets, liabilities, and rate base associated with these services as if these services are regulated.
- (h) For cost assignment and allocation purposes, the value of all transactions between regulated divisions within a utility shall be determined as follows:
 - (I) if the transaction involves a service provided by the utility pursuant to tariff, the value of the transaction shall be at the tariff rate, or
 - (II) if the transaction involves a service or function that is not provided pursuant to a tariff, the value of the transaction shall be at cost.

- (i) If the utility offers a service that is a combination of regulated and non-regulated activities (i.e., a bundled service), the utility shall assign and/or allocate costs to the regulated and non-regulated activities separately.
- (j) A utility may classify incidental activities as regulated activities. If an incidental activity is classified as a regulated activity, the utility shall clearly identify the activity as an incidental activity, and account for the revenues, expenses, assets, liabilities and rate base items as if that activity were a regulated activity.
- (k) To the extent possible, all assigned and allocated costs between regulated and non-regulated activities should have an audit trail which is traceable on the books and records of the applicable regulated utility to the applicable accounts pursuant to the Federal Energy Regulatory Commission Uniform System of Accounts.
- (l) In a rate proceeding involving the calculation of revenue requirements, a complaint proceeding where cost assignments or allocations are at issue, or a proceeding where CAAM approval is sought, the utility or any party may advocate a cost allocation principle other than that already in use, if the Commission has already approved the principle for that cost. The party requesting the alternative approach shall have the burden of proving the need for an alternative principle and why the particular principle is appropriate for the particular cost.

4503. Cost Assignment and Allocation Manuals.

- (a) Each utility shall maintain on file with the Commission an approved indexed cost assignment and allocation manual which describes and explains the calculation methods the utility uses to segregate and account for revenues, expenses, assets, liabilities, and rate base cost components assigned or allocated to Colorado jurisdictional activities. It includes the calculation methods to segregate and account for costs between and among jurisdictions, between regulated and non-regulated activities, and between and among utility divisions.
- (b) Each utility shall include the following information in its CAAM.
 - (I) A listing of all regulated or non-regulated divisions of the Colorado utility together with an identification of the regulated or non-regulated activities conducted by each.
 - (II) A listing of all regulated or non-regulated affiliates of the Colorado utility together with an identification of which affiliates allocate or assign costs to and from the Colorado utility.
 - (III) A listing and description of each regulated and non-regulated activity offered by the Colorado utility. The Colorado utility shall provide a description in sufficient detail to identify the types of costs associated with the activity and shall identify how the activity is offered to the public and identify whether the Colorado utility provides the activity in more than one

state. If an activity is offered subject to tariff, the Colorado utility may identify the tariff and the tariff section that describes the service offering in lieu of providing a service description.

- (IV) A listing of the revenues, expenses, assets, liabilities and rate base items by Uniform System of Accounts account number that the utility proposes to include in its revenue requirement for Colorado jurisdictional activities including those items that are partially allocated to Colorado as well as those items that are exclusively assigned to Colorado.
 - (V) A detailed description showing how the revenues, expenses, assets, liabilities and rate base items by account and sub-account are assigned and/or allocated to the Colorado utility's non-regulated activities, along with a description of the methods used to perform the assignment and allocations.
 - (VI) A description of each transaction between the Colorado utility and a non-regulated activity which occurred since the Colorado utility's prior CAAM was filed and, for each transaction, a statement as to whether, for this Commission's jurisdictional cost assignment and allocation purposes, the value of the transactions is at cost or market as applicable.
 - (VII) A description of the basis for how the assignment or allocation is made.
 - (VIII) If the utility believes that specific cost assignments or allocations are under the jurisdiction of another authority, the utility shall so state in its CAAM and give a written description of the prescribed methods. Nothing herein shall be construed to be a delegation of this Commission's ratemaking authority related to those assignments or allocations.
 - (IX) Any additional information specifically required by Commission order.
- (c) A utility may treat certain transactions as confidential pursuant to the Commission rules on confidentiality.
 - (d) Following the initial approval of its CAAM, the utility shall file an updated CAAM in each rate case proceeding where revenue requirements are determined or every five years following approval of the CAAM then in effect, whichever is earlier.
 - (e) The utility may, at its discretion, file an application seeking Commission approval of updates to its CAAM at any time.
 - (f) Whenever a utility files for approval of an update to its CAAM as a result of paragraph (d) or (e) above, the utility shall also simultaneously file a FDC study reflecting the results of the cost allocation methods in its updated manual.

- (g) Each utility shall maintain all records and supporting documentation concerning its CAAMs for so long as such manual is in effect or are subject to a complaint or any active proceeding involving cost allocation before the Commission for as long as such proceeding may be open.

4504. Fully Distributed Cost Study.

- (a) The utility shall submit its fully distributed cost study in both electronic and paper format simultaneously with filing its CAAM for all Colorado divisions and activities.
- (b) The utility shall prepare a FDC study that identifies all the non-regulated activities provided by each division in Colorado. The FDC study shall show the revenues, expenses assets, liabilities and rate base items assigned and allocated to each non-regulated activity. If the utility has more than one division (e.g., gas, electric, thermal or non-utility) in Colorado, the FDC study shall include a summary of all assigned and allocated costs by division.
- (c) In preparation of its FDC study, the utility shall complete an analysis of each non-regulated activity to identify the costs that are associated with and/or should be charged to each non-regulated activity to ensure each non-regulated activity is assigned and allocated the appropriate amount of revenues, expenses, assets, liabilities and rate base items.
- (d) If the CAAM is filed in connection with a rate case, the FDC study shall be based on the same test year used in the utility's rate case filing. The utility's FDC study shall include revenues, expenses, assets, liabilities and rate base items in order for the Commission to determine if all appropriate revenues, expenses, assets, liabilities and rate base items have been appropriately assigned and allocated, and to determine the utility's compliance with the principles established in rule 4502. For each assignment and allocation the utility shall:
 - (l) identify the revenues, expenses, assets, liabilities and rate base items by account number, sub-account number and account description; and

- (II) for each account in (I) above, identify the assignment and allocation method used to assign and allocate costs in sufficient detail to verify the assignment and allocation method used to assign and allocate costs to Colorado divisions and activities is accurate and consistent with the utility's CAAM methodology and reference the CAAM section that describes the allocation; and
 - (III) provide the test year dollar itemized amounts of revenues, expenses, assets, liabilities, and rate base assigned and allocated to each Colorado division and non-regulated activity; the itemized amounts assigned and allocated to the Colorado utility for regulated activities; the itemized amounts assigned and allocated to the Colorado utility for Colorado non-regulated activities; and the itemized amounts assigned and allocated to other jurisdictions.
- (e) Each utility shall maintain all records and supporting documentation concerning its FDC study for so long as such study is in effect or are subject to a complaint or a proceeding before the Commission.

4505. Disclosure of Non-regulated Goods and Services.

Whenever a Colorado utility engages in the provision or marketing of non-regulated goods or services in Colorado that are not subject to Commission regulation, and the Colorado utility's name or logo is used in connection with the provision of such non-regulated goods and services in Colorado, there must be conspicuous, clear, and concise disclosure to prospective customers that such non-regulated goods and services are not regulated by the Commission. Such disclosure to prospective customers in Colorado shall be included in all Colorado advertising or marketing materials, proposals, contracts, and bills for non-regulated goods and services, regardless of whether the Colorado utility provides such non-regulated goods or services in Colorado directly or through a division or affiliate.

4506. – 4524. [Reserved].

GREENHOUSE GAS EMISSIONS

4525. Overview and Purpose.

These rules implement §§ 40-3.2-106, 40-3.2-107, 40-3.2-108, C.R.S., for the purpose of evaluating greenhouse gas emissions in utility demand side management, gas infrastructure plan, and clean heat plan proceedings.

4526. Definitions.

- (a) "Federal technical support document" shall mean the 2016 technical support document of the Federal Interagency Working Group on Social Cost of Greenhouse Gases, entitled "Technical Update of the Social Cost of Carbon for

Regulatory Impact Analysis Under Executive Order 12866” or the most recently available successor of the 2016 federal technical support document, where the recommended discount rate and the starting values are consistent with §§ 40-3.2-106(4) and 40-3.2-107(2)(a), C.R.S. The addendum to the federal technical support document is entitled “Addendum to Technical Support Document on Social Cost of Carbon for Regulatory Impact Analysis under Executive Order 12866: Application of the Methodology to Estimate the Social Cost of Methane and the Social Cost of Nitrous Oxide.”

4527. Measurement and Accounting.

- (a) Greenhouse gas emissions shall include methane and carbon dioxide emissions measured separately in metric tons and presented in carbon dioxide equivalent. Baseline emissions, system-wide emissions, and reductions in emissions shall be based on the most recent clean heat workbook published by the Air Pollution Control Division, and approved by the Commission through rule or order, to guide the proper calculation and reporting of both carbon dioxide and methane emissions.
 - (l) For any utility that establishes its baseline emissions using default emission rate factors, the utility may petition the Commission as part of its application to approve a clean heat plan, filed pursuant to rule 4729 or 4734, to adjust its baseline emissions based on empirical data of distribution system methane leakage emissions, provided that:
 - (A) the measured leakage data utilizes advanced leak detection technologies and approaches, consistent with directives from the Air Pollution Control Division or the Commission; and
 - (B) the utility continues to use advanced leak detection technologies and approaches for all future measurement years.
- (b) The utility shall calculate greenhouse gas emission projections and baselines to include the following components:
 - (l) methane leaked from the transportation and delivery of gas from the gas distribution and service pipelines from the city gate to its customer’s end-use;

- (II) carbon dioxide emissions resulting from the combustion of gas by residential, commercial, and industrial customers who themselves are not otherwise subject to federal greenhouse gas emission reporting and excluding all transportation customers; and
- (III) emissions of methane resulting from leakage from delivery of gas to other LDCs.

4528. Social Cost of Carbon and Social Cost of Methane.

- (a) The cost of carbon dioxide emissions shall be established by the Commission based on the most recent social cost of carbon dioxide developed by the federal government, in accordance with the following:
 - (I) the cost of carbon dioxide emissions starting in 2020, shall not be less than the base cost of \$68.00 per metric ton in 2020 dollars;
 - (II) the Commission shall update the social cost of carbon values to the present dollar year for each year after 2020 by applying an escalation rate equal to or greater than the escalation rates established in the federal technical support document.
- (b) For net present value calculations of the social cost of carbon dioxide emissions, the utility shall use a discount rate equal to the lesser of 2.5 percent or the discount rate established by the federal technical support document.
- (c) The cost of methane emissions shall be established by the Commission based on the values set forth in the federal technical support document or on the federal government's most recent assessment of the global cost of methane as updated to reflect the latest available values derived from peer-reviewed, published studies, in accordance with the following:
 - (I) the social cost of methane emissions, starting in 2020, shall not be less than the base cost of \$1,756 per metric ton in 2020 dollars;
 - (II) the Commission shall update the annual social cost of methane emissions values to the present dollar year for each year after 2020 by applying an escalation rate equal to or greater than the escalation rates established in the federal technical support document or the addendum to the 2016 federal technical support document if the social cost of methane is not included in the federal technical support document; and

- (III) the social cost of methane emissions shall use the best available leakage rates to determine the methane emissions from fossil gas extraction and processing, in addition to the greenhouse gas emissions identified in rule 4527, and consistent with § 40-3.2-107(2)(b), C.R.S.
- (d) For net present value calculations of the social cost of methane emissions, the utility shall use a discount rate equal to the lesser of 2.5 percent or the discount rate established in the federal technical support document.
- (e) For net present value calculations of portfolios of resources presented pursuant to rules governing clean heat plans or any type of DSM plan, the utility shall also present net present value calculations using the utility's weighted average cost of capital universally on all costs included within the relevant portfolio.

4529. – 4549. [Reserved].

GAS INFRASTRUCTURE PLANNING

4550. Overview and Purpose.

These rules foster the examination of capital investment of gas distribution utilities that are subject to the Commission's regulatory authority through the development and approval of gas infrastructure plans, planned projects, and alternatives to planned projects. The purpose of these rules is to establish a process to determine the need for, and potential alternatives to, capital investment, consistent with the objectives of maintaining just and reasonable rates, ensuring system safety, reliability, and resiliency, protecting income-qualified utility customers and disproportionately impacted communities, and supporting utility efforts to meet applicable clean heat targets pursuant to rule 4728, as established in § 40-3.2-108, C.R.S.

4551. Definitions.

- (a) "Customer-owned yard line" means any customer-owned gas line running underground from the utility meter to a customer's home, business, or other customer end use.
- (b) "Defined programmatic expense" means a programmatic expense that, in the aggregate, falls within the oversight of a utility's application for issuance of a certificate of public convenience and necessity or approval of a gas infrastructure plan. Defined programmatic expense means company-wide programmatic investment in activities related to relocation or replacement of meters and customer-owned yard lines, or as otherwise ordered by the Commission.
- (c) "Gas infrastructure plan action period" means a three-year period beginning January 1st of the year in which the gas infrastructure plan application filing is made.

- (d) “Gas infrastructure plan informational period” means the three-year period following the gas infrastructure plan action period.
- (e) “Gas infrastructure plan total period” means the gas infrastructure plan action period and the gas infrastructure plan informational period.
- (f) “Planned project” means any planned facility or an extension of an existing facility, or a defined programmatic expense with a defined scope of work and associated cost estimate that exceeds \$3 million in utility capital investment in 2020 dollars, or \$2 million in utility capital investment in 2020 dollars for gas utilities with less than 50,000 full-service customers, as adjusted annually for inflation.
 - (I) The dollar thresholds in paragraph (f) shall be adjusted for inflation annually on March 1 of each year, based upon the annual percentage change in the United States Bureau of Labor Statistics Consumer Price Index – Denver-Aurora-Lakewood as published by the Colorado Department of Local Affairs for the immediately preceding calendar year. These adjustments shall be compounded annually. For reference, the Commission will post a notice on its website, <https://puc.colorado.gov/>, by March 15 of each year reporting the annual inflation adjustments applicable pursuant to this rule.

4552. Filing Form and Schedule.

- (a) The utility shall file a gas infrastructure plan every two years unless otherwise required by the Commission through rule or order.
 - (I) The largest gas distribution utility in Colorado, as determined by the volume of gas sold in Colorado, shall file a gas infrastructure plan by May 1, 2023.
 - (II) All other utilities shall file a gas infrastructure plan by March 1, 2024.
- (b) The utility shall file a gas infrastructure plan pursuant to this paragraph 4552(b) in accordance with paragraph 4552(c), for which the following requirements shall apply:

- (I) The filing shall include the elements required by rule 4553, except the utility shall be allowed to present an analysis of alternatives pursuant to subparagraph 4553(c)(I)(P) for the following number of new business and capacity expansion projects unless that number exceeds the total number of planned new business and capacity expansion projects presented in the gas infrastructure plan.
 - (A) For utilities with 500,000 customers or more, the utility shall provide an analysis of alternatives for at least five projects classified as either new business or capacity expansion projects.
 - (B) For utilities with more than 50,000 full-service customers and less than 500,000 customers, the utility shall provide an analysis of alternatives for at least two projects classified as either new business or capacity expansion projects.
 - (C) For utilities with less than 50,000 full-service customers, the utility shall provide an analysis of alternatives for at least one project classified as either new business or capacity expansion project.
- (II) Upon receipt of the filing, the Commission will open a proceeding, notice the filing, and establish an intervention period for the purpose of establishing parties and set a calendar for written comments from parties to the proceeding. Parties may conduct discovery on the filing and on any prefiled testimony submitted with the filing.
- (III) The Commission will establish procedures for the proceeding that shall include one or more public comment hearings.
- (IV) The Commission, on its own motion or at the request of others, may request additional supporting information from the utility or the parties to the proceeding.
- (V) The Commission will issue a written decision, within 150 days of filing if practicable, regarding the adequacy of the utility's filed gas infrastructure plan and the methods and processes the utility used in formulating the gas infrastructure plan and providing guidance to be used in the preparation of the biennial filings required pursuant to paragraph 4552(d).

- (c) For utilities with 500,000 full-service customers or more, a utility's first gas infrastructure plan shall be eligible to be filed pursuant to paragraph 4552(b) in a miscellaneous proceeding to be opened by the Commission for each utility. For utilities with less than 500,000 customers, a utility's first two gas infrastructure plans shall be eligible to be filed pursuant to paragraph 4552(b). All subsequent gas infrastructure plans shall be filed pursuant to paragraph 4552(d). A utility, at its own discretion, may voluntarily file a gas infrastructure plan it is eligible to file under paragraph 4552(b) instead as an application under paragraph 4552(d).
- (d) Pursuant to the schedule in paragraph 4552(a), and subject to the eligibility requirements in paragraph 4552(c), the utility shall file its gas infrastructure plan as an application administered pursuant to the Commission's Rules of Practice and Procedure, 4 CCR 723-1.
 - (I) A utility's gas infrastructure plan shall meet the requirements of rules 4002 and 4553.
 - (II) The utility shall identify in the application any planned projects within the gas infrastructure plan action period for which it seeks a certificate of public convenience and necessity pursuant to rule 4102, a declaratory order that the planned project is in the ordinary course of business, or other relief to be addressed by the Commission in its decision rendered pursuant to rule 4555. For planned projects exceeding the cost thresholds in rule 4102 for which the utility seeks relief pursuant to this subparagraph (d)(II), the utility may include the requirements of rule 4102 in an application submitted pursuant to the Gas Infrastructure Planning Rules.
 - (III) The Commission may hold a hearing for the purpose of reviewing and rendering a decision regarding the contents of the utility's gas infrastructure plan.
 - (IV) Prior to the filing of the application, the utility shall hold one or more public workshops to educate, and facilitate feedback from, stakeholders and potential intervenors on the projects selected, the utility's approach to alternatives analyses for the projects selected, and the results of the utility's alternatives analyses, pursuant to subparagraph 4553(c)(I)(P) with the goal of facilitating a robust and broadly supported set of alternatives analyses upon the filing of the application. Following each public workshop, the utility shall accept written comments for up to fourteen days from stakeholders and potential intervenors.

4553. Contents of a Gas Infrastructure Plan.

- (a) General.
 - (I) The utility shall describe in each gas infrastructure plan the methodology, criteria, and assumptions used to develop the gas infrastructure plan. The

utility shall specifically describe its system planning and infrastructure modeling process including the assumptions and variables that are inputs into the process.

- (II) The utility shall describe its budget planning processes and the expected level of accuracy in its cost projections.
- (III) The utility shall categorize planned projects, or explain any deviation of project categorization, based on the categories set forth below. A planned project may be included in more than one category or subcategory. The utility shall also explain the inter-relationship of planned projects, to the extent applicable.
 - (A) “System safety and integrity projects” shall include but are not limited to pipeline and storage integrity management programs; exposed pipe inspection and remediation; pipe or compressor station upgrades; projects undertaken to meet U.S. Department of Transportation Pipeline and Hazardous Materials Safety Administration requirements; and Supervisory Control and Data Acquisition (SCADA) upgrades.
 - (B) “New business projects” shall include utility investment and spending needed to provide gas service to new customers or customers requiring new gas service.
 - (C) “Capacity expansion projects” shall include both individual projects and sets of inter-related facilities needed to maintain system reliability and meet a specified capacity expansion need. Within the category of capacity expansion projects, the utility shall further separate appropriate projects into the following sub-categories:
 - (i) capacity expansion projects needed for reliability or growth in sales by existing customers, structures, and facilities; and
 - (ii) capacity expansion projects needed for growth in sales due to new customers, structures, and facilities, that are not otherwise new business planned projects.
 - (D) “Mandatory relocation projects” as defined in paragraph 4001(gg).
 - (E) “Defined programmatic expenses” as defined in paragraph 4551(b), means the following, or as otherwise ordered by the Commission:
 - (i) “relocation or replacement of meters” shall include the utility’s investment and expenditure to replace or relocate customer meters, including at-risk meters, not otherwise covered by other projects; and

- (ii) “replacement of customer-owned yard lines” shall include the investment and expenditure to replace customer-owned yard lines and associated infrastructure with utility-owned pipelines and associated infrastructure.
- (IV) The utility shall provide, for each year of the gas infrastructure plan total period, and for each project category defined above in subparagraph 4553(a)(III), the following information:
 - (A) the total number of projects; and
 - (B) the total annual capital investment.
- (V) The utility shall provide one or more maps indicating locations of individual planned projects, pressure district or geographic area served by the individual planned projects or that would otherwise lead to a foreseeable lack of system reliability, if applicable, and other distinct zones identified for planning purposes in the utility’s most recently approved clean heat plan pursuant to subparagraph 4731(a)(I)(B) with sufficient geographical detail such that the Commission can evaluate and fully comprehend the extent and purpose of the overall gas infrastructure plan. The utility shall also indicate whether the planned projects are located within disproportionately impacted communities.
- (VI) The utility shall provide a copy of its prior year’s United States Department of Transportation Gas Distribution Annual Report, Form F7100.
- (VII) The utility shall provide a summary of stakeholder participation and input and explain how this input was incorporated into the gas infrastructure plan. For each recommendation received by the utility prior to filing its plan, a utility shall summarize the recommendation and respond to it. If a project or projects are located in a disproportionately impacted community, the utility shall further provide a description of outreach to members of that community, including a description of the nature of the outreach as appropriate to the filing, including descriptions of communications and materials, and findings from those efforts. The utility shall also provide a summary of the public workshops on alternatives analyses as required by subparagraph 4552(d)(IV).
- (VIII) The utility shall provide project-level information consistent with the requirements in paragraph 4553(c) for all projects with an expected construction start date during the gas infrastructure plan action period and the gas infrastructure plan informational period, where available. For planned projects in the gas infrastructure plan informational period where project-level information is not available, category-level specificity consistent with subparagraph 4553(a)(III) is acceptable.

- (IX) The utility shall provide the then-current peak design temperature assigned to unique segments of the utility system used for capacity planning, and data to support such design temperature(s).
- (b) Forecast requirements.
 - (I) The utility shall present reference, low, and high forecasts of design peak demand, customer count, sales and capacity requirements, gas content including expected mixtures by volume of hydrogen and recovered methane, and system-wide greenhouse gas emissions, consistent with the utility's approved portfolio of clean heat resources and in accordance with subparagraph 4731(b)(I), or any appropriate interim-year update to such forecasts in accordance with subparagraph 4733(a)(VI).
 - (II) If a utility filed a small utility clean heat plan in accordance with rule 4734, the utility shall justify and document the data, assumptions, models, and other inputs upon which it relied to develop this gas infrastructure plan. A utility filing under this rule shall indicate how its forecast incorporates, to the extent practicable, relevant external factors including, but not limited to:
 - (A) the effect of current or enacted state and local building codes;
 - (B) changes in the utility's line extension policies, and the associated impact on gas customer growth;
 - (C) building electrification programs or incentives offered by the local electric utility or local or federal entities that overlap with the utility's gas service territory; and
 - (D) the price elasticity of demand (e.g., the impact of reduced throughput and rate increases on sales and peak demand requirements and impacts of commodity prices).
- (c) Planned project information.
 - (I) The utility shall present the following project-specific information for all planned projects in the gas infrastructure plan total period, with information provided to the extent practicable for projects in the gas infrastructure plan informational period:
 - (A) project name;
 - (B) project category, consistent with the categories defined in subparagraph 4553(a)(III), or otherwise identified and justified by the utility;

- (C) general scope of work and explanation of need for the project, including any applicable U.S. Department of Transportation Pipeline and Hazardous Materials Safety Administration code requirements for the project;
- (D) projected life of the project;
- (E) if the project is presented as a gas infrastructure plan action period project or a gas infrastructure plan informational period project;
- (F) anticipated construction start date, construction period, with any phases indicated, and expected in-service date;
- (G) the cost estimate classification using the utility's or an industry-accepted cost estimate classification index, and support of the methodology;
- (H) project technical details, such as physical equipment characteristics of proposed facilities, pipeline length, pipeline diameter, project material(s), and maximum allowable operating pressure;
- (I) total project cost estimate and a presentation of the associated annual revenue requirements for the project during the gas infrastructure plan total period, assuming both conventional depreciation and accelerated depreciation in accordance with the forecasts submitted or developed pursuant to paragraph 4553(b);
- (J) the project location and an illustrative map of the facilities (subject to necessary and appropriate confidentiality provisions) including:
 - (i) the pressure district or geographic area that requires the proposed facilities;
 - (ii) the existing and proposed regulator stations and existing and proposed distribution piping and higher capacity pipelines served by or representing the proposed facilities;
 - (iii) the locations of any disproportionately impacted community;
 - (iv) identification of the electric utility service provider(s) at that location; and
 - (v) any other information necessary to allow the Commission to make a thorough evaluation.
- (K) to the extent practicable, the number of customers, annual sales, and design peak demand requirements, by customer class, directly impacted or served by the project;

- (L) permit(s) required to begin work, if any;
- (M) environmental requirements associated with completion of project, if any;
- (N) the change in projected greenhouse gas emissions due to the planned project;
- (O) the status of the planned projects as addressed in previous plans, as well as changes, additions or deletions in the current plan when compared with prior plans; and
- (P) for a quantity of new business and capacity expansion projects, given the criteria established by the Commission in accordance with subparagraph 4552(b)(1)(A) through (C), the utility shall present an analysis of alternatives, including non-pipeline alternatives, costs for those alternatives, and criteria used to rank or eliminate such alternatives.
 - (i) An analysis of alternatives shall consider, at a minimum:
 - (1) one or more applicable clean heat resources consistent with the utility's most recently approved clean heat plan, pursuant to rule 4732, demand side management plan, pursuant to rule 4753, or beneficial electrification plan, as applicable;

- (2) a cost-benefit analysis including the costs of direct investment and the social costs of carbon and methane for emissions due to or avoided by the alternative, and other costs determined appropriate by the Commission; and
 - (3) available Best Value Employment metrics associated with each alternative, as defined in paragraph 4211(a), including a projection of gas distribution jobs affected by the alternative and jobs made available through the alternative, opportunities to transition any affected gas distribution jobs to the alternative, pay and benefit levels of the affected gas distribution jobs and the jobs available through a transition opportunity, and how employment impacts associated with each alternative could affect disproportionately impacted communities.
- (ii) An analysis of alternatives shall include, at a minimum:
 - (1) the technologies or approaches evaluated;
 - (2) the technologies or approaches proposed, if applicable;
 - (3) the projected timeline and annual implementation rate for the technology or approaches evaluated;
 - (4) the technical feasibility of the alternative assuming full adoption of the technologies and approaches evaluated;
 - (5) the utility's strategy to facilitate the technologies or approaches evaluated; and
 - (6) an explanation of the methodology used to select which projects are presented with an alternative analysis, including discussion of the public review process required pursuant to subparagraph 4552(d)(IV).

- (Q) For new business and capacity expansion projects, a utility shall provide an alternative analysis as set forth in subparagraph (c)(I)(P) above or justify why the new business and capacity expansion project is not suitable for an alternative analysis for which the utility seeks a certificate of public convenience and necessity or other relief, in accordance with subparagraph 4552(d)(II).
 - (R) For system safety and integrity projects, the utility shall provide the applicable federal regulation, the planned project's risk ranking and the utility's risk ranking methodology including but not limited to the material, age, maximum allowable operating pressure, density of surrounding residences and businesses, and any other physical and operating characteristics relevant to the risk ranking of the planned project and the risk ranking methodology. The utility should also identify, discuss in detail, and provide the output to any risk-related models developed or employed by the utility in conducting risk analyses to support planned system safety and integrity projects or other projects.
- (II) With respect to the reference, low and high forecasts conducted pursuant to subparagraph 4553(b)(I):
 - (A) the total incremental investment that may be needed over the gas infrastructure plan action period and gas infrastructure plan informational period; and
 - (B) an identification of the primary individual new projects avoided in the low design peak demand forecast and an identification of the primary individual new projects and capital spend added in the high design peak demand forecast.
- (d) Existing infrastructure assessment reporting. The utility shall report on the following in the gas infrastructure plan.
 - (I) The utility shall report the following information regarding customer-owned yard lines attached to its distribution system, if applicable:
 - (A) an estimate of the number of customer-owned yard lines by municipality served;
 - (B) the number of customer-owned yard lines replaced by the utility to date and capital investment incurred to do so; and
 - (C) the estimated gross and net rate-based investment needed to replace all customer-owned yard lines in present dollars through year 2030, through year 2040, and through year 2050.

- (II) The utility shall report the following information regarding hydrogen compatibility throughout its distribution system, to the extent known:
 - (A) estimate the percentage of distribution system components known to be compatible with safely carrying varying concentrations of hydrogen, including but not limited to:
 - (i) piping;
 - (ii) fittings; and
 - (iii) non-pipe system components.
 - (B) The utility shall identify any areas of the system with unknown materials or materials known to be not compatible with hydrogen mixtures up to 20 percent by volume.
- (III) The utility shall report the following information regarding advanced leak detection:
 - (A) identification of equipment, survey method, percentage of system surveyed in each year, and interval in which additional advanced leak detection occurred on the same areas of the system;
 - (B) any updates to anticipated system-wide methane emissions based on most recent advanced leak detection surveys; and
 - (C) extent to which leakage sources identified are within disproportionately impacted communities.

4554. Interim Gas Infrastructure Plan Reporting.

- (a) In calendar years when no gas infrastructure plan is submitted, no later than May 1 in the year after the filing of the utility's last gas infrastructure plan proceeding, as applicable under paragraph 4552(a), the utility shall file an interim gas infrastructure plan report addressing the status of planned projects and approved alternatives from previous gas infrastructure plans.
- (b) The utility shall provide the best available information on the status of each planned project consistent with the information listed in subparagraph 4553(c)(I). The utility will explain in detail the reasons for variances in project costs, the scope of work, and implementation timeline.
- (c) The utility shall provide information on the defined programmatic expense work completed since its last gas infrastructure plan filing.

4555. Approval of a Gas Infrastructure Plan.

- (a) Based upon the evidence of record, the Commission shall issue a written decision approving, denying, or ordering modifications, in whole or in part, to the utility's gas infrastructure plan application filed in accordance with paragraph 4552(d).
- (b) The Commission's decision regarding the gas infrastructure plan application shall consider the adequacy of the utility's filed information and the methods and processes the utility used in formulating the gas infrastructure plan. The Commission may require refinements regarding the planning methods and processes to be incorporated in the utility's subsequent gas infrastructure plan application filing.
- (c) In accordance with subparagraph 4552(d)(II), the Commission's decision regarding the relief sought by the utility regarding specific planned projects or their alternatives shall consider the adequacy of the utility's filed information and the methods and processes the utility used in evaluating those projects and alternatives to those projects, as applicable. The Commission may also grant a presumption of prudence of the cost estimate for a planned project if the Commission determines the record supports the reasonableness and maturity of the cost estimate and evaluation of alternatives, as applicable.
- (d) If the Commission declines to approve a utility's gas plan filed in accordance with paragraph 4552 (d), either in whole or in part, the utility shall make changes to the plan in response to the Commission's decision. Within 60 days of the issuance of a Commission decision disapproving a plan, the utility shall file an amended plan with the Commission and shall provide the amended plan to all parties who participated in the application proceeding concerning the utility's plan. All such parties may participate in any hearings regarding the amended plan.

4556. – 4599. [Reserved].

GAS COST ADJUSTMENT, PRUDENCE REVIEW, AND PERFORMANCE INCENTIVE

4600. Overview and Purpose.

Rules 4601 through 4610 are used by utilities to revise gas rates on an expedited basis, to reduce the volatility of gas costs for customers, and to improve their management of gas costs. These rules provide instructions for the filing of: gas cost adjustment filings; annual gas purchase plan submittals; annual gas purchase and deferred balance reports; gas price risk mitigation plans; and gas performance incentive mechanisms. The purpose of the Gas Cost Adjustment is to enable utilities, on an expedited basis, to reflect in their rates for gas sales and gas transportation services, as applicable, the increases or decreases in gas costs, including (but not limited to) gas commodity costs and upstream services costs. The purpose of the Gas Purchase Plan is to describe the utility's plan for purchases of gas commodity and upstream services in order to meet the forecasted demand for sales gas service during each month of the gas purchase year. The purpose of the Gas Purchase and Deferred Balance Report is to present the utility's actual purchases of gas commodity and upstream services during each month of the gas purchase year. The combined purpose of the Gas Price Risk Management Plan and the Gas Performance Incentive Mechanism is to address the volatility of gas commodity costs recovered from the utility's customers and to align the utility's financial incentives with the financial interests of its customers regarding incurred gas commodity costs.

4601. Definitions.

The following definitions apply to rules 4600 through 4610 unless a specific statute or rule provides otherwise. In the event of a conflict between these definitions and a statutory definition, the statutory definition shall apply.

- (a) "Account No. 191" means an account under the Federal Energy Regulatory Commission Uniform System of Accounts (USOA) used to account for the difference between purchased gas costs and revenues collected by a utility's gas cost adjustment.
- (b) "Base gas cost" means a rate component which is expressed in at least the accuracy of one mil (\$0.001) per Mcf or Dth which reflects the cost of gas commodity and upstream services, when applicable, included in the utility's base rates for sales gas and gas transportation service.
- (c) "Base rates" means the utility's currently effective rates for sales gas and gas transportation service as authorized by the Commission in the utility's last general rate case.
- (d) "Current gas cost" means a rate component of the GCA which is expressed in at least the accuracy of one mil (\$0.001) per Mcf or Dth and which reflects the cost

of gas commodity and upstream service projected to be incurred by the utility during the GCA effective period.

- (e) “Deferred gas cost” means a rate component of the GCA which is expressed in at least the accuracy of one mil (\$0.001) per Mcf or Dth and which is designed to amortize over the GCA effective period the under- or over-recovered gas costs reflected in the utility’s Account No. 191 or other appropriate costs for a defined period such as a gas purchase year.
- (f) “Forecasted design peak day quantity” means the total quantity of gas commodity anticipated to be required to meet firm sales and firm gas transportation service demand on the utility’s system on a design or historical peak day.
- (g) “Forecasted gas commodity cost” means the cost of gas commodity, including appropriate adjustments for storage gas injections and withdrawals, approved hedging program costs, and for exchange gas imbalances, which is projected to be incurred by the utility during the GCA effective period and which is determined by using forecasted gas purchase quantity and forecasted purchase prices.
- (h) “Forecasted gas purchase quantity” means the quantity of gas commodity the utility anticipates it will purchase during the GCA effective period, based upon the forecasted sales gas quantity, adjusted for system gas loss, use, or other anticipated variances.
- (i) “Forecasted purchase prices” means index prices, fixed prices, or other gas contracting price options used in the calculation of the forecasted gas commodity cost.
- (j) “Forecasted sales gas quantity” means the quantity of gas commodity projected to be sold by the utility during the GCA effective period, based upon the normalized quantity of gas commodity sales, adjusted for anticipated changes.
- (k) “Forecasted upstream service cost” means the total cost of upstream services projected to be incurred by the utility during the GCA effective period.
- (l) “Gas commodity throughput” means the amount of gas commodity flowing through the utility’s jurisdictional gas facilities during a defined period of time.
- (m) “Gas cost adjustment” or “GCA” means the tariff mechanism by which a gas rate is adjusted to reflect increases or decreases in gas costs.
- (n) “GCA effective period” means the period of time that the GCA rate change is intended to be in effect before being superseded on the effective date of the next scheduled GCA.
- (o) “GCA filing” means an application or advice letter filing to adjust the GCA rate.

- (p) "GCA rate area" means the geographic portion of the utility's service area in which a GCA rate is calculated and billed to customers. A utility may have a single GCA rate area that covers its entire service area or multiple GCA rate areas as established by the Commission.
- (q) "Gas performance incentive mechanism" (GPIM) means an incentive mechanism implemented in conjunction with a GPRMP that aligns the utility's financial incentives with the financial interests of its customers regarding incurred gas commodity costs.
- (r) "GPIM total gas costs" means the utility's incurred expenditures on gas commodity for applicable sales gas rate schedules in each past calendar quarter calculated in accordance with the utility's GCA tariff sheets on file with the Commission.
- (s) "GPIM total gas quantity" means the quantity of gas commodity purchased (Mcf or Dth) for applicable sales gas rate schedules for each past calendar quarter calculated in accordance with the utility's GCA tariff sheets on file with the Commission.
- (t) "Gas price risk management plan" (GPRMP) means a plan governing the calculation of the GCA subject to a maximum cap and a minimum threshold pursuant to paragraph 4603(g).
- (u) "Gas purchase and deferred balance report" (GPDBR) means a report pursuant to rule 4608 which is filed with the Commission and which describes the utility's actual purchases of gas commodity and upstream services in order to meet sales gas demand during the gas purchase year.
- (v) "Gas purchase plan" (GPP) means a submittal pursuant to rule 4605 that describes the utility's planned purchases of gas commodity and upstream services to be used to meet sales gas demand during the gas purchase year.
- (w) "Gas purchase year" means a 12-month period from July 1 through June 30.
- (x) "Gas transportation service" means the delivery of gas commodity on the utility's pipeline system (either transmission or distribution) pursuant to any of the utility's gas transportation rate schedules on file with the Commission.
- (y) "Index price" means a published figure identifying a representative price of natural gas commodity available in a geographic area or at specific gas purchasing points during a specified time interval (i.e., daily, weekly, or monthly).
- (z) "Long-term contract" means a firm, fixed-price supply contract with an initial term of 12 months or more in duration.
- (aa) "Mil" means one-tenth of one cent (\$0.001).

- (bb) "Normalized" means the process of adjusting gas quantities to reflect normal historic temperature based on National Oceanic and Atmospheric Administration data or other data as appropriate.
- (cc) "Peak day" means a defined period (such as a 24 hour period or a three consecutive coincidental or non-coincidental day average), not less than 24 hours, during which gas commodity throughput is at its maximum level on the utility's system.
- (dd) "Propane utility" means a public utility as defined in § 40-1-103, C.R.S., that operates for the purpose of supplying the public propane but does not supply natural gas or other fuels.
- (ee) "Receipt point/area" means the point or group of points in a discrete geographic area, such as a supply basin, hub, or market area, at which the utility acquires title to the gas commodity purchased.
- (ff) "Sales gas service" means the regulated sale of gas commodity by the utility to customers on the utility's jurisdictional gas system.
- (gg) "Service level" means the type or level (whether base, swing, or peak) of gas supply service contracted for by the utility based upon the respective obligations of the supplier to deliver and sell, and the utility to take and purchase, gas commodity.
- (hh) "Upstream services" means all transmission, gathering, compression, balancing, treating, processing, storage, and like services performed by others under contract with the utility for the purpose of effectuating delivery of gas commodity to the utility's jurisdictional gas facilities.

4602. Schedule for Filings by Utilities.

Utilities subject to rules 4600 through 4609 shall make the required filings in accordance with the following schedule.

- (a) Utilities with more than 50,000 full service customers shall file with the Commission quarterly GCA filings. Additional GCA filings may also be filed as necessary pursuant to paragraph 4603(b).
- (b) Utilities with fewer than 50,000 full service customers shall file with the Commission either quarterly GCA filings or two GCA filings per year with effective dates for GCA rates of November 1 and April 1. Additional GCA filings may also be filed as necessary pursuant to paragraph 4603(b).
- (c) Propane utilities shall file an annual GCA filing with an effective date of November 1. Additional GCA filings may also be filed as necessary pursuant to paragraph 4603(b).

- (d) All utilities shall file their GPP submittal annually on or before June 1 for the next gas purchase year beginning July 1.
- (e) The GPDBR for the preceding gas purchase year in which a GPP was filed shall be filed annually by October 1.
- (f) All utilities, except for propane utilities, shall implement a GPRMP through their GCA filings. Modifications to a GPRMP shall be accomplished through an application filing separate from a GCA filing.
- (g) Utilities with fewer than 50,000 full service customers and propane utilities are not required to include a GPIM in their GCA tariff sheets pursuant to rule 4607.
- (h) Utilities with more than 50,000 full service customers shall file an application to include a GPIM within their GCA tariff sheets pursuant to rule 4607 within 60 days of the effective date of these rules. The initial GPIM for utilities with more than 50,000 but less than 500,000 full service customers shall be established in accordance with paragraph 4607(a). The initial GPIM for utilities with more than 500,000 full service customers shall be established in accordance with paragraph 4607(b). Once established by application, the utility shall implement a GPIM through their GCA filings. Modifications to a GPIM shall be accomplished through an application filing separate from a GCA filing.

- (i) No later than 90 days after the conclusion of a full heating season covered by the utility's initial GPIM, the utility shall file an application for the renewal of the GPIM. Implementation of the initial GPIM shall continue until the renewed GPIM goes into effect. For the utilities with an initial GPIM based on the framework set forth in paragraph 4607(a), the renewal application shall present an analysis of the implementation of the utility's initial GPIM as approved by the Commission and an analysis of GPIM benchmark gas rate and GPIM sharing amount in paragraph 4607(b) as if they had instead been implemented over the same period as the initial GPIM. The utility may propose to implement a modified GPIM provided that the Commission determines the modified GPIM comports with the requirements of § 40-3-120, C.R.S.

4603. Gas Cost Adjustments.

- (a) Scheduled filings. A utility shall submit a GCA filing to adjust its GCA. The GCA filing shall be filed pursuant to the schedule provided in rule 4602. The GCA filing shall be submitted not less than two weeks in advance of the proposed effective date.
- (b) Additional filings. If the projected gas costs have changed from those used to calculate the currently effective gas cost or if a utility's deferred gas cost balance increases or decreases sufficiently, the utility may submit a GCA filing to revise its currently effective GCA to reflect such changes, provided that the resulting change to the GCA equates to at least one cent (\$0.01) per Mcf or Dth.
- (c) Applicability of the GCA. The GCA shall be applied to all utility sales gas rate schedules. A utility engaged in the provision of gas transportation service may calculate a GCA that may be applied to transportation gas rate schedules in order to reflect appropriate costs. Absent a Commission decision, a utility engaged in the provision of gas transportation service shall not be required to calculate a transportation GCA factor.
- (d) Interest on under- or over-recovery. The amount of net interest accrued on the average monthly balance in Account No. 191 (whether positive or negative), is determined by multiplying the monthly balance by an interest rate equal to the Commission-authorized customer deposit rate for gas utilities. If net interest is positive, it will be excluded from the calculation of the deferred gas cost.
- (e) Financial gas commodity hedging. Costs related to gas price volatility risk management through financial hedging for jurisdictional gas supply may be included for recovery through the GCA, if allowed by tariffs or by Commission decision. Such costs are subject to the prudence review and standard provided in rule 4608.
- (f) Calculation of the GCA. The GCA shall be calculated to at least the accuracy of one mil per Mcf or Dth pursuant to the following formula, subject to individual GCA rule variances granted by the Commission:

GCA = (current gas cost + deferred gas cost) - (base gas cost).

- (g) Gas price risk management plan. The calculation of the GCA shall be subject to a maximum cap based on a set percentage of an average of the utility's historical GCAs and to a minimum threshold based on a set percentage of an average of the utility's historical GCAs in accordance with the utility's gas price risk management plan as approved by the Commission. Prudently incurred costs above the maximum cap shall be recorded in a deferred balance that is recoverable and amortized over an appropriate timeline of no more than five years with financing costs, as determined by the Commission. Collections at the minimum threshold shall be recorded in a reserve fund, not to exceed an amount established by the Commission, and shall be used to offset any deferred balance of prudently incurred costs above the maximum cap.

4604. Contents of GCA Filings.

- (a) A GCA filing shall meet the following requirements.
- (I) Every GCA filing shall contain attachments 1 through 9. The attachments shall meet the requirements set out in this rule.
 - (II) The attachments shall be organized in a manner that specifically references, and responds to, the requirements contained in each subparagraph of this rule.
 - (III) Attachments 2, 3, 5, and 6 shall be provided in executable format with all cell formulas intact, using spreadsheet software that is compatible with software used by Commission staff.
 - (IV) Cross-referenced and footnoted work-papers fully explaining the amounts shown in each attachment shall be submitted and provided to Commission staff at the same time as the application. Work-papers shall be provided in executable format with all cell formulas intact, using spreadsheet software that is compatible with software used by Commission staff.
 - (V) The filing shall cross-reference the proceeding numbers of the associated GPP submittals.
 - (VI) An explanation of all pro forma adjustments shall be provided, if applicable.
- (b) GCA attachment No. 1 - GCA summary. This attachment shall clearly illustrate all of the following principles.
- (I) The impact the utility's currently effective GCA has on each sales gas customer class and, when applicable, the gas transportation rate class on a total dollar and mil (\$0.001, minimum) per Mcf or Dth basis.

- (II) The impact the utility's proposed GCA has on each sales gas customer class and, when applicable, gas transportation rate class on a total dollar and mil (\$0.001, minimum) per Mcf or Dth basis; and
 - (III) The percent change in total bill for a customer of average usage for each sales gas customer class. This percent change in total bill calculation shall include an itemization of the monthly service and facility charge, base rates and GCA commodity components, and all other tariff charges on the customer bill.
- (c) GCA attachment No. 2 - Current Gas Cost Calculation. This attachment shall contain the calculation of the current gas cost and shall provide month-by-month information with respect to the forecasted gas commodity cost, forecasted gas purchase quantity, forecasted market prices, forecasted upstream service cost, and forecasted sales gas quantity. The utility shall present all such information in a format comparable with, and corresponding to, the information forecasted in the utility's GPP, as required pursuant to rule 4606.
 - (I) The utility shall calculate current gas cost at least to the accuracy of the nearest mil (\$0.001) per Mcf or Dth according to the following formula, subject to individual GCA rule variances granted by the Commission:

$$\text{current gas cost} = (\text{forecasted gas commodity cost} + \text{forecasted upstream service cost}) / \text{forecasted sales gas quantity}.$$
 - (II) The utility shall present all such information in a format comparable with, and corresponding to, the information forecasted in the utility's GPP submittal for each month of the GCA effective period, as required pursuant to rule 4606.

- (d) GCA attachment No. 3 - Deferred Gas Cost Calculation. This attachment shall contain the details of the utility's actual gas purchase costs, the calculation of deferred gas cost, the implementation of the utility's GPRMP, and the calculation of the GPIM symmetric sharing amounts, as approved by the Commission. In addition, this attachment shall provide month-by-month information detailing the activity in USOA Account No. 191 by subaccount and period as applicable, interest on under- or over-recovery, GPIM sharing amounts, and all other included gas costs authorized for recovery in the GCA. The utility shall calculate deferred gas cost as the aggregate total of the under- or over-recovered gas costs reflected in its Account No. 191, or other approved gas costs, recorded at the close of business for each month of the period at issue (such as the previous gas purchase year), plus interest on under- or over-recovery (if net amount is negative), divided by forecasted sales gas quantity for the next 12-month period. The utility shall calculate deferred gas cost at least to the accuracy of the nearest mil per Mcf or Dth. Each cost a utility includes in the deferred gas cost calculation shall be itemized and clearly identified and itemized for applicability to the period at issue. In its GCA filings, the utility shall reflect actual deferred costs for the most recent period, or as otherwise approved by the Commission.
- (e) GCA attachment No. 4 - Current Tariff. This attachment shall contain the tariff pages which illustrate the gas cost components of the utility's currently effective rates for sales gas service and, where applicable, gas transportation service.
- (f) GCA attachment No. 5 - Forecasted Gas Transportation Demand. This attachment applies only to utilities that have a GCA component within their authorized rates for gas transportation service. This attachment shall provide the following information, with all demand forecast information provided on a Mcf or Dth basis:
 - (I) a forecast of gas commodity throughput attributable to gas transportation service for each month of the GCA effective period; and
 - (II) a forecast of firm backup supply demand quantities (to the extent the utility has such service) under the utility's firm gas transportation service agreements for each month of the GCA effective period.
- (g) GCA attachment No. 6 - current gas cost allocations. This attachment shall fully explain and justify the method(s) used to do each of the following:
 - (I) allocate the costs associated with the gas commodity and upstream services to each specific sales gas customer class and, where applicable, gas transportation customer rate class; and
 - (II) derive the amount of the GCA applied to each specific sales gas customer class, subject to the utility's GPRMP and GPIM, and, where applicable, gas transportation customer rate classes.

- (h) GCA attachment No. 7 - Customer Notice. This attachment shall provide the form of notice to customers and the public concerning the utility's proposed GCA change. In its customer notice for each sales gas customer class, the utility shall include the following:
 - (I) current and proposed GCA rates and percentage change;
 - (II) comparison of the previous gas purchase year's last average annual bill under prior rates and the projected average annual bill under the proposed GCA rates and percentage change in the total bill amount using an average usage amount for each customer class;
 - (III) comparison of the prior year's peak winter month bill under prior rates and the projected peak winter month bill under the proposed GCA rates and percentage change using an average peak winter month usage amount for each customer class; and
 - (IV) a statement that the utility made a separate gas purchase report filing in accordance with rule 4608 to begin the initial prudence review evaluation process for the prior gas purchase year.
- (i) GCA attachment No. 8 - components of delivered gas cost. This attachment shall detail the itemized rate components of delivered gas cost to the customer (rate), per rule 4406.
- (j) GCA attachment No. 9 - proposed tariff. This attachment shall contain the tariff sheets proposed by the utility to reflect the proposed GCA change.
- (k) GCA attachment No. 10 - GPIM sharing amounts. As applicable, this attachment shall detail the calculation of GPIM sharing amounts per rule 4607 and any sharing amounts included in the deferred gas cost calculation presented in attachment No. 3. The calculation of the sharing amounts shall be provided in executable format with all cell formulas intact, using spreadsheet software that is compatible with software used by Commission staff.

4605. Gas Purchase Plans.

- (a) GPP filing requirements. The utility shall file its GPP as a "Submittal for Determination of Completeness of GPP." This submittal shall include the following proceeding caption: "In the matter of Gas Purchase Plans and Gas Purchase Reports for [utility] for the Gas Purchase Year from July 1, [year] through June 30, [year]."
- (b) Contents of GPP filing. In the GPP, the utility shall submit to the Commission the following:
 - (I) the information required by rule 4606;
 - (II) the utility's forecasted quantity of gas to be purchased over the ensuing gas purchase year for each service level;
 - (III) the utility's forecasted pricing for each receipt point/area; and
 - (IV) the utility's portfolio management plan.
- (c) Commission procedures for processing filings. Upon receipt of a GPP submittal, the Commission shall assign a proceeding number and shall review the submittal solely for completeness (i.e., compliance with the information requirements of these rules). The Commission shall not: hold a hearing on the substance of the GPP, entertain interventions by interested parties, require the filing of testimony or permit discovery. The Commission shall not render a decision approving or disapproving the substantive information contained in the submittal.
- (d) Review timelines. Commission staff shall review the submittal and, within 15 calendar days of the filing, shall provide written notification to the utility of any deficiencies in the submittal. The utility shall file the requested information, or a written statement indicating that the utility believes the additional information is not required, within 15 calendar days after the date of the Commission staff notification. Upon receipt of final information or the written statement, Commission staff shall place the submittal on the agenda for consideration at the next available Commissioners' weekly meeting. If the Commission fails to mail its determination on completeness of the submittal within 15 calendar days of receipt of final information or the written statement, the submittal shall be deemed complete.
- (e) Utilities with multiple GCA rate areas. A utility with more than one approved GCA rate area in Colorado shall file a separate GPP for each GCA rate area. These GPPs may be filed in a single submittal.
- (f) Modified GPP. A utility shall file a new GPP within 30 days of its determination that the currently effective GPP no longer substantively reflects active purchasing conditions or the utility's planned purchasing practices.

4606. Contents of the GPP.

A GPP submittal shall contain the following attachments. The utility shall organize attachments in a manner that specifically references, and responds to, the requirements of paragraphs (a) through (d) of this rule. With its submittal, the utility shall provide cross-referenced and footnoted work-papers fully explaining the amounts shown in each attachment.

- (a) GPP attachment No. 1 - gas purchase schedule. This attachment shall provide a forecast of the specific gas commodity supplies, segregated by receipt point/area, which the utility plans to purchase in order to meet forecasted sales gas demand during each month of the applicable gas purchase year.
- (b) GPP attachment No. 2 - gas purchasing pricing description. For each specific receipt point/area, this attachment shall provide an estimate of applicable ranges of forecast index prices expected to be incurred, short-term fixed prices (one-year or other appropriate term), and other relevant pricing options, as applicable to the portfolio management plan described in GPP attachment 3.
- (c) GPP attachment No. 3 - portfolio management plan. This attachment shall provide a plan stating how the utility plans to manage its gas supply portfolio for the gas purchase year. This attachment shall also include a description and analysis of the options the utility considered, or will consider, and the steps the utility has taken, or will take, to reduce customers' risk of gas price volatility for the gas purchase year. To the extent a utility proposes to use gas price volatility risk management tools, this attachment shall include a description of the utility's policy for implementing such risk management tools, including a projection of such costs and the assumptions underlying all cost estimates.
- (d) GPP attachment No. 4 - forecasted upstream service costs. This attachment shall include the following information for each month of the applicable gas purchase year:
 - (l) An itemized list of all upstream services, by provider and service level or rate schedule, and associated costs, that the utility expects to purchase in the upcoming gas purchase year in order to meet sales gas and gas transportation demand.

- (II) A comparison of forecasted design peak day delivery quantity with all sources of capacity available to the utility, including forecasted upstream services, forecasted gas commodity to be purchased directly into the utility's distribution system (i.e., city gate purchases) on a firm basis, and the utility's own gas storage facilities or purchased gas storage capacity.
- (III) A comprehensive explanation of the utility's forecasted level of planned upstream service purchases.
- (IV) Forecasted capacity release volumes and revenues for release of upstream capacity by the utility.

4607. Gas Performance Incentive Mechanism.

In conjunction with its GPRMP, the utility shall implement a GPIM in accordance with this rule and the specific terms set forth in its GCA tariff sheets. The utility shall implement a GPIM for each GCA rate area with more than 50,000 full service customers or each purchasing region as specified in the utility's GPP.

- (a) An application to establish a GPIM for a utility with more than 50,000 but less than 500,000 full service customers shall contain the following elements. The utility shall specifically reference and respond to the requirements of subparagraphs (I) through (IV) of this rule and shall provide cross-references and footnoted work-papers in executable format with all cell formulas intact, using spreadsheet software that is compatible with software used by Commission staff.
 - (I) GPIM benchmark. Methodology to establish the GPIM benchmark for commodity gas purchases based on verifiable, reported market indices, with a reasonable adjustment, and for appropriate locations.
 - (II) GPIM commodity gas volumes. Description and explanation of all gas volumes to be included in the GPIM.
 - (A) The volumes and costs associated with fixed-price, long-term supply contracts may be excluded from the GPIM and risk sharing calculation.
 - (B) The volumes and costs associated with storage injections and withdrawals, including both physical and contract storage, may be excluded from the GPIM and risk sharing calculation. Utilities shall provide a description of storage assets to be either included or excluded from the GPIM.
 - (C) The volumes and costs associated with associated with financial hedging shall be excluded from the GPIM and risk sharing calculation.

- (D) All other actual gas volumes and costs shall be subject to the GPIM with consideration of reasonable adjustments as determined by the Commission.
- (III) Upstream supply costs. Description and explanation of upstream costs included in the GPIM risk sharing mechanism, including the methodology for developing an appropriate benchmark for such costs, if appropriate.
- (IV) Risk sharing amount. Methodology for calculating the risk sharing amount.
 - (A) A formula will calculate a percentage of the difference between the actual gas costs and the benchmark formula for applicable gas volumes, either positive or negative, borne or retained by the utility, subject to applicable limitations.
 - (B) The utility shall explain:
 - (i) any proposed deadband around the GPIM benchmark whereby price variation within the deadband is excluded from risk sharing formula;
 - (ii) any proposed cap or floor on the results of the risk sharing; and
 - (iii) any proposed methodology for applying force majeure or similar provisions to the risk sharing mechanism.
 - (C) Backcasting analysis, based on a minimum of the most recent three years of historical data, will demonstrate how the proposed GPIM benchmark would have been calculated and how the proposed risk sharing mechanism would have performed over the historical period. This analysis shall assume the utility made no changes to its actions in response to the mechanism and ignore any force majeure or similar events. The utility may, in its discretion, present additional analysis.

- (b) An application to establish a GPIM for a utility with more than 500,000 full service customers shall contain the following elements. The utility shall specifically reference and respond to the requirements of subparagraphs (I) through (IV) of this rule and shall provide cross-references and footnoted work-papers in executable format with all cell formulas intact, using spreadsheet software that is compatible with software used by Commission staff.
 - (I) GPIM benchmark gas rate. The GPIM benchmark gas rate for the completed calendar quarter preceding the GCA filing will be calculated as the average of the GPIM total gas cost for that same quarter in the previous three years divided by the GPIM total gas quantity for the same quarters in the previous three years.
 - (II) GPIM actual gas rate. The GPIM actual gas rate for the completed calendar quarter preceding the GCA filing will be calculated as the GPIM total gas cost for that quarter divided by the GPIM total gas quantity for that same quarter.
 - (III) GPIM sharing amount. The GPIM sharing amount will be calculated as four percent of the difference between the GPIM benchmark gas rate and the GPIM actual gas rate, either positive or negative, multiplied by the GPIM total gas quantity for the completed calendar quarter preceding the GCA filing, subject to the following limitations:
 - (A) the GPIM sharing amount for a quarter shall be zero if the difference between the GPIM benchmark gas rate and the GPIM actual gas rate is less than \$0.50 per Mcf or Dth;
 - (B) the GPIM sharing amount for a quarter shall be the difference between the GPIM benchmark gas rate and the GPIM actual gas rate that is above or below the \$0.50 per Mcf or Dth threshold in subparagraph 4607(b)(III)(A); and
 - (C) the utility's cumulative quarterly GPIM sharing amounts summed across all GCA rate areas or purchasing regions, positive or negative, shall be capped over a rolling twelve-month period at an amount equal to a 30 basis point return on the utility's rate base as established by the Commission in the utility's most recent base rate proceeding, set solely on the equity share of the utility's capital structure.

- (IV) The utility may request, and the Commission may grant, a force majeure exception upon good cause shown after such an event has occurred. The force majeure exception may allow the utility to exclude costs from the GPIM that are deemed to be either associated with the force majeure event as defined by the utility's tariffs on file with the Commission or associated with force majeure events as defined in the utility's upstream gas supply, storage, and transportation agreements and tariffs.
- (c) Unless subject to the limitations in subparagraph 4607(a)(IV)(B)(ii) or subparagraph 4607(b)(III)(C), the GPIM sharing amount shall be accounted for in the utility's deferred gas cost calculation for the quarterly GCA filing.
 - (I) To the extent a GCA calculation is subject to a maximum cap specified in a utility's GPRMP, any new positive GPIM sharing amount will not be accounted for in the deferred gas cost calculation but instead be subject to a carryforward into subsequent GCA quarterly filings. The carried forward GPIM amount shall be eligible to offset incurred negative GPIM sharing amounts.
 - (II) To the extent a GCA calculation is subject to a minimum threshold specified in a utility's GPRMP, any new negative GPIM sharing amount will not be accounted for in the deferred gas cost calculation but instead be accounted for in the deferred gas cost calculation in subsequent quarterly GCA filings in which the GCA calculation is above the minimum threshold.

4608. Gas Purchase and Deferred Balance Reports and Prudence Reviews.

- (a) GPDBR filing requirements. The utility shall file a GPDBR in accordance with paragraph 4602(e) for the review and approval of the calculation of the deferred GCA balance including the implementation of the utility's GPIM, as applicable, for the previous four quarters ending June 30. The GPDBR shall be filed under the previous year's GPP proceeding number (filed approximately 15 months previously). Specific attachments or other information may be filed under seal; however, an explanation of the confidential nature of the attachments or information must be included in the GPDBR filing.
- (b) Prudence review process. Based on the initial evaluation of the GPDBR, including the results of the GPIM, the Commission may initiate a prudence review hearing. The Commission shall initiate this hearing by written order within 120 days of the filing of the GDBPR. The prudence review may result in tariff or rate changes that could affect different classifications of customers.
- (c) Prudence review standard. For purposes of GCA recovery, the standard of review to be used in assessing the utility's action (or lack of action) in a specific gas purchase year is: whether the action (or lack of action) of a utility was reasonable in light of the information known, or which should have been known,

at the time of the action (or lack of action). The Commission may consider, as appropriate, whether the utility employed carefulness, precaution, attentiveness, and good judgment.

- (d) Burden of proof. If the Commission elects to hold a hearing, the utility shall have the burden of proof and the burden of going forward to establish the reasonableness of actual gas commodity and demand costs paid by the utility, actual costs incurred in volatility management, and actual upstream service costs of any nature incurred during the review period.
- (e) Utility testimony and attachments. If the Commission sets a hearing, the utility shall file its testimony supporting gas cost recovery for the gas purchase year at issue. The testimony shall be filed in question-and-answer format. The utility shall file its testimony not later than 45 days after the Commission sets the matter for hearing.

4609. Contents of the GPDBR.

A GPDBR shall contain the following attachments. The utility shall organize the attachments in a manner that specifically references, and responds to, paragraphs (a) through (d) of this rule. The utility shall also present all such information in a format comparable with, and corresponding to, the information forecasted in the utility's GPP submittal as required pursuant to rule 4606 and GCA filing pursuant to rule 4604. The utility shall provide an explanation of, and justification for, any material deviations from its GPP. All underlying support documentation and work-papers shall be made available. With its filing, the utility shall provide cross-referenced and footnoted work-papers fully explaining the amounts shown in each attachment.

- (a) GPDBR attachment No. 1 - actual gas commodity purchases. This attachment shall provide, in a format comparable to the information provided in GPP attachment 1, the quantities of, and actual invoice costs of, specific gas commodity supplies, segregated by receipt point/area that the utility purchased in order to meet actual sales gas and gas transportation demand during the peak day and for each month of the gas purchase year. Each gas utility shall provide a description and explanation of the following:
 - (I) the volumes and costs associated with fixed-price, long-term supply contracts;
 - (II) the volumes and costs associated with storage injections and withdrawals, including both physical and contract storage; and
 - (III) the volumes and costs associated with financial hedging.
- (b) GPDBR attachment No. 2 - description of actual market prices. This attachment shall provide, in a format comparable to the information provided in GPP attachment 2, actual index prices, short-term fixed prices (one-year, or other appropriate term), and other relevant pricing options for each specific receipt

point area, as applicable to the portfolio management plan described in GPP and GPR attachments 3.

- (c) GPDBR attachment No. 3 - actual portfolio purchases. This attachment shall provide, in a format comparable to the information provided in GPP exhibit 3, a comparison of the utility's portfolio management plan and the results actually achieved through the implementation of this plan (or modification thereto), in order to demonstrate, using the standard of review specified in paragraph 4608(c), the prudence of actual portfolio purchases. This attachment shall include a detailed itemization of gas price volatility risk management costs if applicable.
- (d) GPDBR attachment No. 4 - actual upstream service costs. This attachment shall provide, in a format comparable to the information provided in GPP attachment 4, the following information for each month of the gas purchase year:
 - (I) an itemized list of the upstream services the utility actually purchased in order to meet sales gas and gas transportation demand;
 - (II) an itemized listing of the specific costs the utility incurred to purchase upstream services;
 - (III) actual peak day demand experienced by the utility during the gas purchase year; and
 - (IV) an itemized list of capacity release volumes and revenues.
- (e) GPDBR attachment No. 5 - deferred balances. This attachment shall provide monthly deferred balances for the 12 months ending June 30.
- (f) GPDBR attachment No. 6 - GPIM results. This attachment shall provide, for the 12 months ending June 30:
 - (I) the quarterly GPIM benchmark gas rates and GPIM actual gas rates;
 - (II) the quarterly and twelve-month cumulative GPIM sharing amounts; and
 - (III) the calculation of the applicable cap on GPIM sharing amounts.

4610. Confidentiality.

- (a) For each attachment filed by the utility as confidential under rules 4600 through 4610, the utility shall provide, at a minimum, a version of the attachment with publicly available information.
- (b) The Office of the Utility Consumer Advocate (UCA) may provide each utility annually, on or before January 1 of each year, an executed generic nondisclosure agreement with the utility so that the utility shall provide such

confidential information to the UCA when any utility filings are made pursuant to rules 4600 through 4609 for the subsequent year.

4611. – 4699. [Reserved].

APPEALS OF LOCAL GOVERNMENT LAND USE DECISIONS

4700. Scope and Applicability.

Rules 4700 through 4707 apply to all utilities or power authorities which seek to appeal a local government action concerning a major natural gas facility.

4701. Definitions.

The following definitions apply to rules 4700 through 4707, unless a specific statute or rule provides otherwise. In the event of a conflict between these definitions and a statutory definition, the statutory definition shall apply.

- (a) “Local government” means a county, a home rule or statutory city, a town, a territorial charter city, or a city and county.
- (b) “Local government action” means (1) any decision, in whole or in part, by a local government which has the effect or result of denying a permit or application of a utility that relates to the location, construction, or improvement of a major natural gas facility or (2) a decision imposing requirements or conditions upon such permit or application that will unreasonably impair the ability of the utility to provide safe, reliable, and economical service to the public.
- (c) “Local land use decision” means the decision of a local government within its jurisdiction to plan for and regulate the use of land.
- (d) “Major natural gas facility” is defined by § 29-20-108(3)(e), C.R.S., or by any other applicable statute.
- (e) “Power authority” means an authority created pursuant to § 29-1-204, C.R.S.

4702. Precondition to Application.

In order for a utility or power authority to appeal a local government action to the Commission pursuant to this rule and pursuant to § 29-20-108, C.R.S., one or more of the following conditions must be met:

- (a) the utility or power authority has applied for or has obtained a certificate of public convenience and necessity from the Commission pursuant to § 40-5-101, C.R.S., to construct the major natural gas facility that is the subject of the local government action;

- (b) a certificate of public convenience and necessity is not required for the utility or power authority to construct the major natural gas facility that is the subject of the local government action; and
- (c) the Commission has previously entered an order pursuant to § 40-4-102, C.R.S., that conflicts with the local government action.

4703. Applications.

- (a) To commence an appeal of a local government land use decision, a utility or power authority shall file with the Commission an application pursuant to this rule.
- (b) An application filed in accordance with §§ 29-20-108, C.R.S., and this rule shall include, in the following order and specifically identified, the following information, either in the application or in appropriately identified attachments:
 - (I) all of information required in paragraphs 4002(b) and 4002(c);
 - (II) a showing that one of the preconditions set out in rule 4702 has been met;
 - (III) identification of the major natural gas facility;
 - (IV) identification of the local government action and its impact on the major natural gas facility;
 - (V) a statement of the reasons the applying utility or power authority believes that the local government action would unreasonably impair its ability to provide safe, reliable, and economical service to the public;
 - (VI) the demonstrated need for the major natural gas facility or reference to the application made to the Commission with respect to the major natural gas facility and the resulting decision of the Commission regarding such facility;
 - (VII) the extent to which the proposed facility is inconsistent with existing applicable local or regional land use ordinances, resolutions, or master or comprehensive plans;
 - (VIII) whether the proposed facility would exacerbate a natural hazard;
 - (IX) applicable utility engineering standards, including supply adequacy, system reliability, and public safety standards;
 - (X) the relative merit, as determined through use of the normal system planning evaluation techniques of the utility or power authority, of any reasonably available and economically feasible alternatives proposed by the utility, the power authority, or the local government;

- (XI) the impact that the local government action would have on the customers of the utility or power authority who reside within and without the boundaries of the jurisdiction of the local government;
- (XII) the basis for the local government action. If available, the utility or power authority shall attach a copy of the local government action;
- (XIII) the impact the proposed facility would have on residents within the local government's jurisdiction including, in the case of a right-of-way in which facilities have been placed underground, whether those residents have already paid to place such facilities underground. If the residents have already paid to place facilities underground, the Commission will give strong consideration to that fact;
- (XIV) information concerning how the proposed major natural gas facility will affect the safety of residents within and without the boundaries of the jurisdiction of the local government; and
- (XV) an attestation that the utility or power authority will, upon filing the application with the Commission, simultaneously send the application to the local government body which took the local government action which is the subject of the appeal.

4704. Public Hearing.

In addition to the formal evidentiary hearing on the appeal, and pursuant to § 29-20-108(5)(b), C.R.S., the Commission shall take statements from the public concerning the appealed local government action at a public hearing held at a location specified by the local government.

4705. Prehearing Conference, Parties, and Public Notice.

- (a) In order to assist the parties in scheduling the public hearing, determining the scheduling of the evidentiary hearing, developing the list of persons to receive notice of these hearings, and addressing other pertinent issues, the Commission will hold a prehearing conference.
- (b) The Commission shall conduct a prehearing conference within 15 days after the application is deemed complete by the Commission.
- (c) The Commission shall join as an indispensable party the local government which took the contested local government action.
- (d) Ten days before the commencement of the prehearing conference, the local government shall submit to the parties and the Commission its preference for the location of the public hearing to be held in accordance with § 29-20-108(5)(b), C.R.S., and rule 4704.

- (e) The Commission will decide the date and time of the public hearing after receiving comments from the parties at the prehearing conference.
- (f) By the date of the prehearing conference, each party shall provide to the utility a list of individuals and groups to receive notice of the public hearing.
- (g) The utility or power authority shall give notice of the public hearing to the identified individuals and groups in a manner specified by the Commission. Notice may be accomplished by newspaper publication, bill insert, first class mail, or any other manner deemed appropriate by the Commission.
- (h) If the local government is unable to provide meeting space for the public hearing, and space needs to be acquired, then the utility or power authority shall bear any cost associated with the rental of such space for the public hearing.
- (i) The parties are encouraged to confer prior to the prehearing conference to develop a schedule for the filing of testimony and the dates for the formal evidentiary hearing.

4706. Denial of Appeal.

In accordance with § 29-20-108(5)(e), C.R.S., the Commission shall deny an appeal of a local government action if the utility or power authority has failed to comply with the following notification and consultation requirements:

- (a) A utility or power authority shall notify the affected local government of its plans to site a major natural gas facility within the jurisdiction of the local government prior to submitting the preliminary or final permit application, but in no event later than filing a request for a certificate of public convenience and necessity pursuant to Article 5 of Title 40, C.R.S., or the filing of any annual filing with the Commission that proposes or recognizes the need for construction of a new major natural gas facility or the extension of an existing facility. If a utility or power authority is not required to obtain a certificate of public convenience and necessity pursuant to Article 5 of Title 40, C.R.S., or to file annually with the Commission to notify the Commission of proposed construction of a new major natural gas facility or the extension of an existing facility, then the utility or power authority shall notify any affected local governments of its intention to site a new major natural gas facility within the jurisdiction of the local government when such utility or power authority determines that it intends to proceed to permit and to construct the facility. Following such notification, the utility or power authority shall consult with the affected local governments in order to identify the specific routes or geographic locations under consideration for the site of the major natural gas facility and to attempt to resolve land use issues that may arise from the contemplated permit application.
- (b) In addition to its preferred alternative within its permit application, the utility or power authority shall consider and present reasonable siting and design alternatives to the local government or shall explain why no reasonable alternatives are available.

4707. Procedural Rules.

Pursuant to § 29-20-108(5)(b), C.R.S., any appeal brought by a utility or power authority under this section shall be conducted in accordance with the procedural requirements of Article 6, Title 40, C.R.S., including § 40-6-109.5, C.R.S. Evidentiary hearings on any such appeals shall be conducted in accordance with § 40-6-109, C.R.S.

4708. – 4724. [Reserved].

CLEAN HEAT PLANS

4725. Overview and Purpose.

These rules implement § 40-3.2-108, C.R.S., for gas distribution utilities and small gas distribution utilities. Consistent with statutory requirements including the statewide greenhouse gas pollution goals set forth in § 25-7-102(2)(g), C.R.S., the purpose of

these clean heat plan rules is to maximize methane and carbon dioxide emissions reductions from the distribution and end-use consumption of gas while also maintaining just and reasonable rates, maintaining system safety, reliability and resiliency, and prioritizing investments in disproportionately impacted communities. The utility must utilize clean heat resources to the maximum extent practicable and count greenhouse gas emission reductions resulting from the use of those resources.

4726. Applicability.

- (a) A gas distribution utility shall file clean heat plans to meet clean heat targets and implement clean heat resources during the clean heat plan action period pursuant to these rules.
- (b) A small gas distribution utility may file clean heat plans to meet clean heat targets and implement clean heat resources during the clean heat plan action period pursuant to rule 4734.

4727. Definitions.

- (a) “Clean heat plan total period” means the period from the date the clean heat plan application is filed through year 2050, or 20 calendar years, whichever is greater.
- (b) “Clean heat plan action period” means the period beginning the date the plan is filed and extending until December 31st of the fifth year from the filing date.
- (c) “Clean heat plan informational period” means the period from the end of the clean heat plan action period through the end of the clean heat plan total period.
- (d) “Gas distribution utility” means a public utility providing gas service to more than ninety thousand retail customers. “Gas distribution utility” does not include a municipal gas distribution utility.
- (e) “Green hydrogen” means hydrogen derived from water and a clean energy resource as defined in § 40-2-125.5(2)(b), C.R.S.

- (f) “Recovered methane credit” means a tradable instrument that represents a greenhouse gas emission reduction or greenhouse gas removal enhancement of one metric ton of carbon dioxide equivalent. The greenhouse gas emission reduction or greenhouse gas removal enhancement must be real, additional, quantifiable, permanent, verifiable, and enforceable. No recovered methane credit may be issued if the greenhouse gas emission reduction or greenhouse gas removal enhancement that the credit would represent is required or accounted for by a proposed or final federal, state, or local rule or regulation.
- (g) “Recovered methane protocol” means a set of procedures and requirements established by the Air Quality Control Commission to quantify ongoing greenhouse gas emission reductions or greenhouse gas removal enhancements achieved by a recovered methane project and to calculate and track the project outcomes.
- (h) “Small gas distribution utility” means a public utility providing gas service to ninety thousand retail customers or fewer. “Small gas distribution utility” does not include a municipal gas distribution utility.

4728. Clean Heat Targets.

- (a) Clean heat targets shall align with the statewide greenhouse gas emission reduction goals set forth in § 25-7-102(2)(g), C.R.S., and shall be consistent with § 40-3.2-108, C.R.S., et seq.
- (b) Baseline emissions, system-wide emissions, and reductions in emissions shall be calculated in accordance with rules 4525 through 4528.
- (c) Baseline.
 - (I) The utility shall calculate a baseline level of emissions for calendar year 2015, calculated in accordance with rule 4527.
 - (II) The utility shall exclude the emissions of customers, and to the extent practicable identify those customers and their associated load, that report their own greenhouse gas emissions to the United States Environmental Protection Agency under applicable federal law.
- (d) Targets.
 - (I) The following clean heat targets apply for a gas distribution utility:
 - (A) four percent reduction in greenhouse gas emissions in calendar year 2025 as compared to a 2015 baseline, of which not more than one percent (one-fourth of the emission reductions required to meet the 2025 target) can be from recovered methane;

- (B) 22 percent reduction in greenhouse gas emissions in calendar year 2030 as compared to a 2015 baseline, of which not more than five percent (five-twenty seconds of the emission reductions required to meet the 2030 target) can be from recovered methane;
 - (C) 41 percent reduction in greenhouse gas emissions in calendar year 2035 as compared to a 2015 baseline; and
 - (D) a jurisdictional gas utility's clean heat plan may exceed the recovered methane caps set forth above in subparagraphs (A) and (B) if the Commission finds that the utility otherwise could not cost-effectively meet the clean heat targets and that exceeding the recovered methane caps is in the public interest.
- (II) No later than December 1, 2032, the Commission, in consultation with the Air Pollution Control Division, shall determine the mass-based clean heat targets for years 2040, 2045, and 2050 using the 2015 baseline pursuant to § 40-3.2-108(11), C.R.S.
- (e) For clean heat targets beginning in year 2035, the maximum amount, if any, of each target reduction in greenhouse gas emissions that may be from recovered methane shall be determined by the Commission if such maximum levels promote investment in Colorado communities, reduce greenhouse gas emissions, are cost-effective, and are in the public interest.

4729. Filing Form and Schedule.

- (a) The utility's clean heat plan shall be filed as an application administered pursuant to the Commission's Rules of Practice and Procedure, 4 CCR 723-1, as well as rules 4002 and 4731 of these rules. The Commission may hold a hearing for the purpose of reviewing, and rendering a decision regarding, the contents of the utility's clean heat plan.
- (b) The utility's clean heat plan application shall:
 - (I) present a plan to implement clean heat resources throughout the clean heat plan action period;
 - (II) demonstrate that the clean heat plan will result in greenhouse gas emissions reductions necessary to meet the applicable clean heat targets that occur during the clean heat plan action period or show compliance with the cost cap; and
 - (III) demonstrate that the activities contemplated in the clean heat plan facilitates the utility's ability to meet future greenhouse gas emission reduction targets.

- (c) No later than August 1, 2023, the largest gas distribution utility in Colorado, as determined by the volume of gas sold in Colorado, shall file its first application for approval of a clean heat plan.
- (d) No later than January 1, 2024, all gas distribution utilities other than the largest gas distribution utility in Colorado, as determined by the volume of gas sold in Colorado shall file their first applications for approval of a clean heat plan.
- (e) All gas distribution utilities shall file subsequent clean heat plans not less often than every four years, unless otherwise directed by the Commission.
- (f) After a utility's clean heat plan is filed and prior to any evidentiary hearing, the Commission shall schedule a public hearing that specifically solicits, among other applicable topics, public comment on the labor impacts and benefits of the proposed clean heat plan.

4730. Clean Heat Resources.

- (a) Clean heat resources include any one or a combination of the following resources:
 - (I) demand side management programs in accordance with the demand side management provisions in these rules and as defined in § 40-1-102(6), C.R.S.;
 - (A) the Commission shall collaborate with the Air Pollution Control Division to ensure that any emissions reductions achieved through gas demand side management programs are appropriately accounted for in accordance with § 25-7-102(2)(g), C.R.S.
 - (II) recovered methane;
 - (A) All recovered methane shall be represented by a recovered methane credit, issued subject to a recovered methane protocol approved by the Air Quality Control Commission.
 - (B) All recovered methane projects shall be located in Colorado and shall be delivered within Colorado through a dedicated recovered methane pipeline or through a common carrier pipeline.

- (C) Any recovered methane credit or other tradable and severable mechanism representing the emission reduction attributes of a clean heat resource shall be retired in the year generated and may not be sold by the utility or the utility's customer.
 - (D) A utility may count emissions reductions represented by the retirement of a recovered methane credit only if the credit was retired in its clean heat target year. A utility may only count emissions reductions represented by a methane credit one time toward achieving any clean heat target.
 - (E) Repairs to the utility's distribution system shall be reviewed in accordance with the gas infrastructure planning rules 4550 through 4555. In order to qualify as a clean heat resource, recovered methane from such repairs must meet a recovered methane protocol approved by the Air Quality Control Commission and be determined cost-effective by the Commission based on actual reductions in methane achieved.
- (III) green hydrogen;
 - (IV) beneficial electrification programs, as defined in § 40-1-102(1.2), C.R.S.;
 - (V) pyrolysis of tires that meets a recovered methane protocol approved by Air Quality Control Commission; and
 - (VI) any other technology approved by the Commission that the Commission finds is cost-effective and that the Air Pollution Control Division finds results in a reduction in carbon emissions from the combustion of gas in customer end uses or meets a recovered methane protocol approved by the Air Quality Control Commission.
- (b) A clean heat resource shall not include a change in service by a customer from sales service to transportation service. The Commission shall address changes from sales service to transportation service by the utility's customers as such changes relate to baseline emissions, projected emissions, and clean heat targets in evaluating whether a clean heat plan is in the public interest.

4731. Clean Heat Plan Application Requirements.

- (a) Initial forecasts.

- (I) A utility shall present reference (base), low and high forecasts of sales, customer counts, system-wide capacity (design peak demand) requirements, throughput by Btus and volumes of green hydrogen, recovered methane, and total gas, and system-wide greenhouse gas emissions.
 - (A) All forecast elements shall be provided for the total utility and by customer class, for each year of the clean heat plan action period and in five-year increments during the clean heat plan informational period.
 - (B) Forecasts should be disaggregated by pressure district, unique planning zones requiring a distinct design peak demand condition, or other geographical segmentation, as appropriate.
 - (C) The utility shall fully explain, justify, and document the data, assumptions, methodologies, models, determinants, and any other inputs upon which it relied to develop forecasts pursuant to this rule.
 - (D) The greenhouse gas emissions forecast should be based on the latest Commission-approved workbook developed by the Air Pollution Control Division, consistent with paragraph 4527(a), updated for the most recent calendar year of data, and include the factors identified in below in subparagraph (E).
 - (E) Forecast(s) shall include consideration of the following factors, to the extent practicable and applicable:
 - (i) the effect of current and enacted state and local building codes;
 - (ii) changes in line extension policies, and the associated potential impact on gas customer growth, in the aggregate;
 - (iii) building electrification programs or incentives offered by the local electric utility or local or federal entities that overlap with a utility's gas service territory;
 - (iv) the price elasticity of demand; and
 - (v) other known factors affecting sales and gas supply capacity needs.

- (F) Low and high forecasts shall incorporate alternative projections of customer growth and sales, and any underlying supporting assumptions, to assess a reasonable range of variation surrounding the reference (base) forecast.

(b) Portfolios.

- (I) A utility shall present the following portfolios of clean heat resources:

- (A) at least one portfolio shall use the maximum amount of clean heat resources practicable and also comply with a 2.5 percent annual retail cost impact cap; This portfolio may or may not meet the clean heat target in the applicable plan period, but must demonstrate reductions in methane emissions;
- (B) at least one portfolio shall meet the clean heat target regardless of the annual retail cost impact of such portfolio;
- (C) the utility may present other alternative portfolios;
- (D) the Commission may direct the utility to present additional alternative portfolios; and
- (E) the utility shall identify a preferred portfolio that best balances, given the information available, the goals of maintaining just and reasonable rates, maintaining system safety, reliability and resiliency, protecting disproportionately impacted communities, the labor standards identified below in subparagraph (d)(II)(F), and contribution to statewide progress on meeting the greenhouse gas emission reduction goals established in § 25-7-102(2)(g), C.R.S., and the associated clean heat targets in rule 4728.

- (II) If a utility is unable to present portfolios that show compliance with the cost cap or compliance with the clean heat target, as described above, the utility must show that it has fully investigated all available categories of clean heat resources.

(c) Portfolio forecasts.

- (I) For each portfolio presented, the utility shall provide the forecasts identified above in subparagraph (a)(I), updated to include the set of actions proposed in the respective portfolio for each year of the clean heat plan action period and every fifth year during the clean heat plan informational period.

(d) Components of a portfolio.

- (I) For each portfolio presented, the utility shall provide, on a portfolio basis:
 - (A) identification of the proposed clean heat resources;
 - (B) the annual and total cost for implementing the portfolio;
 - (C) the annual and total cost for implementing the portfolio in income-qualified or disproportionately impacted communities;
 - (D) the annual and cumulative projected greenhouse gas emissions and reduction in emissions from the baseline emission level calculated pursuant to rules 4525 through 4528;
 - (E) an analysis of the projected costs and benefits of the portfolio:
 - (i) the cost-benefit analysis shall include but not be limited to:
 - (1) fuel costs;
 - (2) non-fuel direct investment associated with the clean heat plan;
 - (3) gas infrastructure costs;
 - (4) gas system operations costs; and
 - (5) the social cost of carbon and the social cost of methane, consistent with rule 4528.
 - (F) an analysis of the annual retail cost impact, which shall be calculated:
 - (i) net of the utility's approved gas demand side management program budgets, except for the costs of any incentive adopted or approved by the Commission associated with the utility's demand side management programs; and
 - (ii) net of the utility's approved beneficial electrification plan program budget if the clean heat plan application includes a request for approval of a beneficial electrification plan.
 - (G) a description of the effects of the proposed actions and investments in the portfolio on the safety, reliability, and resilience of the utility's gas service.
- (II) For each portfolio presented, the utility shall provide and shall quantify, as practicable, on a clean heat resource category basis:
 - (A) the annual and total cost for each clean heat resource category;

- (B) identification of any additional air quality, environmental, and health benefits of each clean heat resource category in addition to the greenhouse gas emission reductions;
 - (C) the proportion of projects or programs that benefit disproportionately impacted communities, or customers who meet the requirements for income-qualified programs;
 - (D) a reasonable estimate of the labor costs associated with development of the clean heat resources in each category that reflect compliance with all applicable labor standards set forth in § 40-3.2-105.5, C.R.S., net of avoided capital infrastructure costs; and
 - (F) an explanation of whether the portfolio incorporates projects addressed by § 40-3.2-108(8)(d), C.R.S., and how it satisfies the labor standards under § 40-3.2-105.5, C.R.S., to the extent applicable. The utility shall also develop and provide an estimate of the number of gas distribution jobs that may be affected by each clean heat plan portfolio and the pay and benefit levels of those jobs.
- (e) Green hydrogen.
 - (I) If one or more proposed portfolios include green hydrogen as a clean heat resource, the utility shall present an analysis demonstrating its distribution system can safely carry the expected concentrations and volumes of hydrogen, including the age and material of pipe, fittings, and other relevant infrastructure, in the locations of the system where the green hydrogen is intended to be introduced and transported. The utility should also present a plan to monitor and verify the impact of injecting and transporting hydrogen over time to ensure the continued safety and reliability of the system.
- (f) Project-based information.
 - (I) It is the Commission's policy that utilities should acquire clean heat resources in the most cost-effective manner. To this end, the utility shall use competitive solicitations to the maximum extent practical.
 - (A) If a utility's clean heat plan includes the purchase or development of green hydrogen, the utility must include the gross quantity of green hydrogen transported by a common carrier or dedicated pipeline on an annual basis and the corresponding Btu content.
 - (B) With the exception of a green hydrogen project proposed in coordination with the State of Colorado, to secure benefits under a federal law, or as part of a State of Colorado application for a

hydrogen hub, a proposal for a green hydrogen project shall include a competitive solicitation proposal, which shall include, at minimum, the following information:

- (1) a copy of the request for proposals to be offered in the competitive solicitation;
 - (2) an explanation of required milestones and development-related penalties;
 - (3) the timing of the competitive solicitation and review and negotiation processes;
 - (4) a copy of the proposed contract to be signed by the utility and any third-party entity;
 - (5) the utility's standards for interconnection, including purity standards and metering methods; and
 - (6) an explanation of how Best Value Employment metrics, as defined in paragraph 4211(a), will be evaluated in the utility's review of bids.
- (II) For all proposed projects, the utility shall identify any developer or operator, if not the utility, and any customers on whose property the investment will be placed.
- (III) The utility shall provide a map of disproportionately impacted communities located within the utility's service territory. The map must show the location of any anticipated green hydrogen or recovered methane projects and identify any portions of the project that are located in disproportionately impacted communities.
- (g) Cost recovery proposals.
- (I) The utility may propose a rate adjustment clause or structure that provides for recovery of the utility's clean heat plan costs, or any costs incurred to meet additional emission reduction requirements under § 25-7-105(1)(e)(X.7), C.R.S.

- (II) The utility shall identify any potential changes to depreciation schedules or other actions to align the utility's cost recovery with statewide policy goals, including reducing greenhouse gas emissions, minimizing costs, and minimizing risks to customers.

4732. Approval of a Clean Heat Plan.

- (a) The Commission shall approve a clean heat plan, including the associated forecasts set forth in paragraph 4731(b), if it finds the plan to be in the public interest. The Commission may modify the plan if the modifications are necessary to ensure the plan is in the public interest.
- (b) In evaluating whether the clean heat plan is in the public interest, the Commission shall consider, at a minimum, the following factors:
 - (I) whether the plan achieves the clean heat targets using clean heat resources that, in aggregate, maximize greenhouse gas emission reductions;
 - (A) The Commission shall consult with the Air Pollution Control Division to estimate reductions of emissions of greenhouse gases and other air pollutants under the portfolios and verify the utility's calculations.
 - (B) The Air Pollution Control Division may participate as a party in the proceeding in which a utility files for approval of a clean heat plan.
 - (II) whether the plan can be implemented at the lowest reasonable cost and rate impact, taking into account savings to customer bills resulting from investments made pursuant to the plan. In determining the reasonableness of the cost and the cost impact, the Commission shall consider:
 - (A) fuel costs;
 - (B) non-fuel direct investment associated with the clean heat plan;
 - (C) gas infrastructure costs;
 - (D) gas system operation costs;
 - (E) a cost test that includes both the social cost of carbon and the social cost of methane; and
 - (F) any other costs and benefits found relevant by the Commission.

- (III) whether the plan provides additional air quality, environmental, and health benefits in addition to the greenhouse gas emission reductions, and otherwise supports environmental justice goals;
 - (IV) whether the utility has demonstrated the investments in the clean heat plan prioritize serving customers participating in income-qualified programs and communities historically impacted by air pollution and other energy-related pollution;
 - (V) whether the plan presents risks to the utility's customers, including the risk of market volatility and the risk of stranded investment costs;
 - (VI) whether the plan provides long-term impacts on Colorado's utility workforce as part of a just transition including consideration of the labor metrics and benefits as specified in § 40-3.2-108(8), C.R.S., and defined in paragraph 4001(j); and
 - (VII) whether the plan maintains system safety and reliability.
- (c) The Commission may approve a utility's proposed rate adjustment clause or structure that allows for current recovery of the utility's clean heat plan costs.
 - (d) The utility may recover the prudently incurred costs associated with actions under an approved clean heat plan or other actions to meet any additional emission reduction requirements imposed on the utility pursuant to § 25-7-105(l)(e), C.R.S.
 - (e) In evaluating clean heat plans addressing emission reductions to meet clean heat targets after 2030, the Commission will approve recovered methane resources only where the Commission finds that inclusion of the recovered methane resources in the approved portfolio furthers investment in Colorado communities, reduces greenhouse gas emissions, is cost-effective, and is in the public interest.

4733. Interim Clean Heat Plan Reporting.

- (a) By March 31 in all calendar years that a clean heat plan application is not submitted, each utility shall submit to the Commission an annual clean heat plan report that shows, pursuant to its approved clean heat plans:
 - (I) the amount spent on each clean heat resource relative to the amount budgeted, with an explanation for any deviations;
 - (II) the amount spent on income-qualified programs or programs that serve customers in a disproportionately impacted community or in communities historically impacted by air pollution and other energy-related pollution, including, relative to the amount budgeted, an explanation for any deviations;

- (III) the annual greenhouse gas emissions consistent with rules 4525 through 4528, and a description of any significant deviations from the emissions reductions anticipated by project or program based on the utility's most recently approved clean heat plan;
- (IV) the actual greenhouse gas emissions reduced or avoided for each clean heat resource category as calculated consistent with the most recent Commission approved methodology developed by the Air Pollution Control Division, and evaluated consistent with rules 4525 through 4528, and a description of any significant deviations from the emissions reductions anticipated by project or program based on the utility's most recently approved clean heat plan;
- (V) the actual emission reductions and corresponding recovered methane credits as well as a statement or certification from the utility that any recovered methane credits were retired in the year generated;
- (VI) an update to the forecasts provided in subparagraph 4731(c)(I), if applicable;
- (VII) detailed information obtained from contractors about their use of Colorado-based labor, use of contractors participating in apprenticeship programs meeting the criteria in § 40-3.2-105.5(3), C.R.S., use of out-of-state labor to construct and deliver clean heat resources, and other labor metrics and information as specified in § 40-3.2-108(8), C.R.S., and defined in paragraph 4211(a);
- (VIII) an update on the status of any competitive solicitation issued in accordance with paragraph 4731(f), including:
 - (A) status of contract negotiation;
 - (B) project development and milestone fulfillment;
 - (C) relevant labor metrics in accordance with subparagraph 4731(d)(II)(F); and
 - (D) use of out-of-state labor.
- (b) The utility may request a revision to an existing, approved clean heat plan, as necessary, in order to improve its opportunity of achieving future clean heat targets or otherwise fulfill the purpose of these clean heat plan rules.
- (c) The utility shall submit the annual clean heat plan reports required in this rule 4733 in the most recently concluded proceeding in which the Commission approved a clean heat plan filed by the utility.

4734. Small Utility Clean Heat Plan.

- (a) Notwithstanding the requirements in paragraph 4729(d), a small gas distribution utility may file a clean heat plan to meet greenhouse gas emission reductions targets for 2025 and 2030 pursuant to this rule 4734. Such utilities then shall file additional clean heat plans in accordance with the clean heat plan rules, comprising rules 4725 through 4733, unless otherwise directed by the Commission.
- (b) A clean heat plan filed in accordance with this rule 4734 must:
 - (I) propose greenhouse gas emission reduction targets for years 2025 and 2030;
 - (II) identify the clean heat resources to be used to reduce emissions on its system during the clean heat plan action period;
 - (III) quantify the annual greenhouse gas emission reductions expected during action plan period in total and for each clean heat resource calculated pursuant to rules 4525 through 4528;
 - (IV) propose program budgets, disaggregated by each clean heat resource, to meet the proposed greenhouse gas emission reduction targets; and
 - (V) quantify the cost of the clean heat resources and other actions to reduce greenhouse gas emissions during the plan period and demonstrate that such costs satisfy the analysis of the annual retail bill impact in accordance with § 40-3.2-108.6(a)(I), C.R.S.
- (c) A clean heat plan filed in accordance with this rule 4734 may solicit clean heat resources through a competitive solicitation as set forth in paragraph 4731(f).
- (d) The Commission shall approve a clean heat plan submitted under this rule 4734 if the Commission finds it to be in the public interest. The Commission may modify the clean heat plan if modifications are necessary to ensure that the plan is in the public interest. In evaluating whether the plan is in the public interest, the Commission shall consider the factors in paragraph 4732(b) and the annual retail cost impact in accordance with § 40-3.2-108.6(a)(I), C.R.S.
- (e) The small gas distribution utility whose clean heat plan is approved by the Commission in accordance with this rule 4734 shall submit the annual clean heat plan reports required in rule 4733.

4735. – 4749. [Reserved].

DEMAND SIDE MANAGEMENT

4750. Overview and Purpose.

These rules implement §§ 40-1-102, 40-3.2-101, 40-3.2-103, 40-3.2-105, 40-3.2-106, and 40-3.2-107, C.R.S. for LDCs required by statute to be rate-regulated. Consistent with statutory requirements, the purpose of these Demand Side Management (DSM) rules is to reduce end-use gas consumption in a cost effective manner, in order to save money for consumers and utilities, and protect the environment by encouraging the reduction of emissions and air pollutants. These rules direct LDCs in the design and implementation of programs that will enable sales customers to participate in DSM. The LDC shall design DSM programs for its full-service customers to achieve cost-effective energy savings, considering factors such as: achievable energy savings, customer benefits, cost effectiveness ratios, the effects on disproportionately impacted communities, adoption potential, market transformation capability and ability to replicate in the utility service territory.

- (a) Each utility shall file an application to open a DSM strategic issues proceeding in accordance with rule 4761.
- (b) Each utility shall file an application for approval of a DSM plan within the parameters set forth in these rules. In the application, the utility shall include a proposed expenditure target, ensuring that a significant portion of the program expenditures are targeted to improve energy efficiency in income-qualified households in accordance with the percentage specified in subparagraphs 4753(i)(II) and (III), as applicable, as well as a savings target, funding mechanism, and cost-recovery mechanism.
- (c) Each utility shall annually file an advice letter or application for cost recovery, as permitted herein.
- (d) Each utility shall annually file a DSM report. The DSM report shall include the results of any measurement and verification (M & V) evaluation conducted during the DSM report period.

4751. Definitions.

The following definitions apply to rules 4750 through 4761, unless § 40-1-102, C.R.S., provides otherwise.

- (a) “Amortization” means the systematic spreading of expenditures or capital costs incurred for DSM programs, through regular accounting entries over a specified period of time.
- (b) “Benefit/cost ratio” means the ratio of the net present value of benefits to the net present value of costs, as calculated using the modified TRC test.

- (c) “Cost effective” means a benefit/cost ratio of greater than one.
- (d) “Demand side management” (DSM) means the implementation of programs or measures which serve to shift or reduce the consumption of, or demand for, gas.
- (e) “Discount rate” means the interest rate used in determining the present value of future cash flows of DSM costs and benefits, for both forecasted and actual cash flows. The forecasted DSM costs and benefits are used to estimate the cost effectiveness of DSM measures to develop a cost effective DSM portfolio. The actual DSM costs and benefits, which are the actual costs of the program and the documented energy savings, are used to determine net economic benefits for the purpose of calculating the bonus. Discount rate shall be the utility’s after-tax weighted average cost of capital (WACC).
- (f) “DSM education” means a program, including but not limited to an energy audit, that contributes indirectly to a cost-effective DSM program by promoting customer awareness and participation.
- (g) “DSM measure” means an individual component or technology, such as attic insulation or replacement of equipment.
- (h) “DSM period” means the effective period of an approved DSM plan.
- (i) “DSM plan” means the DSM programs, goals, and budgets over a specified DSM period, generally considered in one year increments, as may be proposed by the utility.
- (j) “DSM program” means any of the following programs or combination of programs: energy efficiency, including weatherization and insulation; conservation; load management; beneficial electrification, as defined in § 40-1-102(1.2), C.R.S.; demand response; DSM education targeted at market transformation; and services offered to customers to reduce gas usage.
- (k) “Energy efficiency program” see DSM program.
- (l) “Gas Demand-Side Management Cost Adjustment” (G-DSMCA) means a rate adjustment mechanism designed to compensate a utility for its DSM program costs.
- (m) “Gas Demand-Side Management bonus” (G-DSM bonus) means a bonus awarded to a utility in accordance with § 40-3.2-103(2)(d), C.R.S.

- (n) “Market transformation” means a strategy for influencing the adoption by consumers of new techniques or technologies. The objective is to overcome barriers within a market through coordinating tactics such as education, training, product demonstration and marketing, often conducted in concert with rebates or other financial incentives.
- (o) “Modified Total Resource Cost test” or “modified TRC test” means an economic cost-effectiveness test used to compare the net present value of the benefits of a DSM program or measure over its useful life, to the net present value of costs of a DSM measure or program for the participant and the utility, consistent with § 40-1-102(5), C.R.S.
- (p) “Net economic benefits” means the net present value of all benefits in the modified TRC test, as applied to the utility’s portfolio of DSM programs, less the net present value of the costs in the modified TRC test associated with that same portfolio.
- (q) “Savings goal(s)” refers to the energy and demand savings levels approved in a strategic issues proceeding.
- (r) “Savings target(s)” refers to the energy and demand savings levels approved in a DSM plan proceeding and are designed to meet or exceed the savings goals set by the Commission in a strategic issues proceeding.
- (s) “Strategic issues proceeding” means a proceeding in which the Commission examines, addresses, and establishes high-level DSM policy findings for a utility. In a strategic issues proceeding, the utility’s application shall include proposed savings goals, peak demand reduction resulting from energy efficiency and demand response and commensurate budgets. The outcome of a strategic issues proceeding results in a DSM policy framework from which the utility then develops and files its DSM plan for Commission approval.

4752. Filing Schedule.

- (a) Each utility shall implement and maintain its DSM plan and G-DSMCA, as approved by the Commission.
- (b) Each utility shall submit its annual DSM report on or before April 1 of each year.
- (c) Each utility seeking a G-DSM bonus shall include the bonus amount and its calculation in its annual advice letter filing adjusting the G-DSMCA consistent with paragraph 4752(d).
- (d) Each utility shall file an advice letter on or before May 31 of each year to adjust the G-DSMCA to be effective July 1 for a period of 12 months.

- (e) By July 1 of the final year of the currently effective DSM plan, each utility shall file by application a prospective gas DSM plan for Commission approval.
- (f) Commencing in 2022, and no less frequently than every four years thereafter, each utility shall file an application to open a DSM strategic issues proceeding, consistent with § 40-3.2-103(1), C.R.S., and in accordance with rule 4761.

4753. DSM Plan.

Each utility shall file, in accordance with paragraph 4752(e), a prospective gas DSM plan that covers a DSM period of two years, unless otherwise ordered by the Commission. The plan shall demonstrate how the utility will meet or exceed the energy savings goals established by the Commission pursuant to these rules through the implementation of DSM programs and should also be consistent with the utility's most recent clean heat plan approved by the Commission pursuant to rule 4732. The plan shall include the following information:

- (a) the utility's proposed expenditures by year for each DSM program, by budget category, in accordance with the Commission's order addressing the utility's most recent strategic issues proceeding application;
- (b) the utility's estimated gas energy savings and avoided greenhouse gas emissions over the lifetimes of the measures implemented in a given annual DSM program period, expressed in dekatherms per dollar of expenditure, and presented for each DSM program proposed for Commission approval; this represents the utility's proposed savings target required by § 40-3.2-103(2)(b), C.R.S.;
- (c) the anticipated units of energy to be saved annually by a given annual DSM program, which equals the product of the proposed expenditure target and proposed savings target; this product is referred to herein as the energy target;
- (d) anticipated design peak demand savings, as applicable to individual DSM programs and to the portfolio as a whole;
- (e) the estimated dollar per therm value that represents the utility's annual fixed costs that are recovered through commodity sales on a per therm basis;
- (f) the utility shall include in its DSM plan application data and information sufficient to describe the design, implementation, oversight and cost effectiveness of the DSM programs. Such data and information shall include, at a minimum, program budgets delineated by year, estimated participation rates and program savings (in therms), and the greenhouse gas emissions avoided from each program;
- (g) the utility's plans to comply with the labor standards in § 40-3.2-105.5, C.R.S.; and

- (h) in the information and data provided in a proposed DSM plan, the utility shall reflect consideration of the factors set forth in the Overview and Purpose, rule 4750. At a minimum the utility shall provide the following information detailing how it developed its proposed DSM program:
 - (I) descriptions of identifiable market segments, with respect to gas usage and unique characteristics;
 - (II) a comprehensive list of DSM measures that the utility is proposing for inclusion in its DSM plan;
 - (III) a detailed analysis of proposed DSM programs for a utility's service territory in terms of markets, customer classes, anticipated participation rates (as a number and a percent of the market), estimated energy savings and cost effectiveness;
 - (IV) a ranking of proposed DSM programs, from greatest value and potential to least, based upon the data required in subparagraph (f)(III);
 - (V) proposed marketing strategies to promote participation based on industry best practices;
 - (VI) calculation of cost effectiveness of the proposed DSM programs using a modified TRC test. Each proposed DSM program is to have a projected value greater than or equal to 1.0 using a modified TRC test, except as provided for in paragraph 4753(g);
 - (VII) an analysis of the impact of the proposed DSM program expenditures on utility rates, assuming a 12-month cost recovery period;
 - (VIII) the best available values for gas leakage during the extraction, processing, transportation, and delivery of gas by the utility, categorized by each stage, as well as leakage from piping or other equipment on customer premises, and any relevant data and emissions accounting methodologies developed by the Air Pollution Control Division regarding methane leakage rates and the appropriate global warming potential of methane, for the purpose of calculating the cost of methane emissions; and
 - (IX) a narrative discussion showing that the DSM measures and programs, particularly in new construction, do not discourage otherwise economic beneficial electrification.
- (i) In its DSM plan, the utility shall address how it proposes to prioritize DSM services and programs for income-qualified customers and customers in disproportionately impacted communities.

- (I) The utility may propose one or more DSM programs for income-qualified customers or customers in disproportionately impacted communities that yield a modified TRC test value below 1.0.
 - (II) For a utility with 50,000 or more full-service customers, no less than 25 percent of annual residential DSM expenditures shall be targeted on one or more DSM programs or measures for income-qualified residential customers.
 - (III) For a utility with fewer than 50,000 full-service customers, no less than 15 percent of annual residential DSM expenditures shall be targeted on one or more DSM programs or measures for income-qualified residential customers.
 - (IV) On or after January 1, 2026, the Commission may commence proceedings to adjust the percentages set forth in subparagraphs 4753(i)(II) and (III) so long as the resulting percentages represent a significant portion of DSM program expenditures and continue to make progress toward achievement of the State of Colorado's energy efficiency and greenhouse gas emission reduction goals.
- (j) In proposing an expenditure target for Commission approval, the utility shall comply with the following:
- (I) the utility's annual expenditure target for DSM programs shall be consistent with the estimated budget for DSM program expenditures established by the Commission in the utility's most recent strategic issues proceeding; and
 - (II) funds spent for education programs, market transformation programs and impact and process evaluations and program planning related to gas DSM programs may be recovered without having to show that such expenditures, on an independent basis, are cost-effective; such costs shall be included in the overall benefit/cost ratio analysis.
- (k) The utility shall propose a budget to achieve the expenditure target proposed in paragraph 4753 (a). The budget shall be detailed for the overall DSM plan and for each program for each year and shall be categorized into:
- (I) planning and design costs;
 - (II) administrative and DSM program delivery costs, including labor costs reflecting compliance with all applicable labor standards set forth in § 40-3.2-105.5, C.R.S.;
 - (III) advertising and promotional costs, including DSM education;
 - (IV) customer incentive costs;

- (V) equipment and installation costs;
 - (VI) measurement and verification (M & V) costs; and
 - (VII) miscellaneous costs.
- (l) The budget shall explain anticipated increases/decreases in financial resources and human resources from year to year.
 - (m) A utility may spend more than the annual expenditure target established by the Commission up to 25 percent over the target, without being required to submit a proposed DSM plan amendment. A utility may submit a proposed DSM plan amendment for approval when expenditures are in excess of 25 percent over the expenditure target.
 - (n) As a part of its DSM plan, each utility shall propose a DSM plan with a benefit/cost value of unity (1.0) or greater, using a modified TRC test.
 - (o) For the purposes of calculating and reviewing a modified TRC, the following components shall be included. Forecasted DSM costs and benefits are used to estimate the cost-effectiveness of DSM measures to develop a cost-effective DSM portfolio.
 - (l) Benefits shall include, but are not limited to, as applicable: the utility's avoided transmission and distribution capital cost savings associated with reductions or limited growth in design peak demand; energy costs; the participant's avoided operating and maintenance costs; the valuation of avoided greenhouse gas emissions; and non-energy benefits, as set forth in this rule 4753. The valuation of avoided greenhouse gas emissions shall include the social cost of carbon dioxide and the social cost of methane, consistent with rule 4528.

- (II) Costs shall include utility and participant costs. The utility costs shall include the net present value of costs incurred in accordance with the budget set forth in rule 4753. For comparative purposes, in addition to this base case calculation of cost-effectiveness, the utility may also provide a case that does not include the social costs of carbon dioxide and methane. Forecasted DSM costs and benefits are used to estimate the cost effectiveness of DSM measures to develop a cost-effective DSM portfolio.
- (III) The initial TRC ratio, which excludes consideration of societal benefits, shall be multiplied by a factor established by the Commission in the utility's strategic issues proceeding to reflect the value of the societal and non-energy benefits. The result shall be the modified TRC. A utility may propose for approval a different factor for societal impacts, but must submit documentation substantiating the proposed value.
- (IV) A determination of cost-effectiveness using the modified TRC test by the Commission will ultimately be measured at the DSM portfolio level.
- (V) For purposes of evaluating a gas DSM program or measure that incorporates innovative technologies with the potential for significant impact, such as energy-saving technologies that go beyond what is achievable using energy efficiency measures alone, the Commission may find the program or measure cost-effective, even if its initial benefit-cost ratio is not greater than 1.0 when calculated using currently available data and assumptions.
- (p) Measurement and verification (M & V) plan. The utility shall describe in complete detail how it proposes to monitor and evaluate the implementation of its proposed programs. The utility shall explain how it will accumulate and validate the information needed to measure the plan's performance against the standards, pursuant to rule 4755. The utility shall propose measurement and verification reporting sufficient to communicate results to the Commission in a detailed, accurate and timely basis.
- (q) If a utility files an application to open a DSM strategic issues proceeding pursuant to rule 4761, its subsequent DSM plan application shall include programs and measures to, at a minimum, meet the energy savings targets and policy goals established by the Commission in the strategic issues proceeding.

- (r) As a part of its DSM plan, each utility shall describe its consideration of incentives for customers to utilize behind-the-meter thermal renewable resources as defined in § 40-1-102(1.1), C.R.S. If the utility proposes to include such incentives in its DSM plan, the cost of such incentives shall be reflected in the budget proposed under subparagraph (j)(IV) above.

4754. Annual DSM Report.

On the schedule set forth in rule 4752, the utility shall provide the Commission a detailed DSM report.

- (a) In the annual DSM report, the utility shall describe its actual DSM programs as implemented. For each DSM program, the utility shall document actual program expenditures, energy savings, and peak demand reduction as a result of energy efficiency programs, peak demand reduction as a result of specific demand reduction programs, avoided greenhouse gas emissions, cost-effectiveness, and participation levels at the measure level for census block groups or zip codes if restrictions apply at the census block group.
- (b) Annual program expenditures shall be separated into cost categories contained in the approved DSM plan.
- (c) For each DSM program, the utility shall compare the program's proposed and actual expenditures, energy and demand savings, participation rate, avoided greenhouse gas emissions, and cost-effectiveness; in addition, the utility shall prepare an assessment of the success of the program and list any suggestions for improvement and greater customer involvement.
- (d) The utility shall provide actual benefit/cost results for the overall DSM plan and individual DSM programs implemented during the plan year. The benefit/cost analysis shall be based on the costs incurred and benefits achieved, as identified in the modified TRC test pursuant to paragraphs 4751(o) and 4753(m) and (n). Benefit values are to be based upon the results of M & V evaluation when such evaluation has been conducted as set forth in rule 4755. Otherwise, the benefit values of the currently approved DSM plan are to be used.
- (e) If the annual report covers a year within which an M & V evaluation was completed, the complete M & V results are to be included as part of the annual report.
- (f) The greenhouse gas emissions reductions achieved from DSM programs shall be calculated consistent with rules 4525 through 4528.

- (g) The annual DSM report shall contain the level of greenhouse gas emissions reductions from DSM programs that qualify as a clean heat resource, reported in levels of carbon dioxide, methane, and carbon dioxide equivalents as well as a report of DSM measures approved as part of a clean heat plan.

4755. Measurement and Verification.

- (a) Each utility shall implement a measurement and verification (M & V) program to evaluate the actual performance of its DSM program. The utility shall present its M & V plan as a part of its DSM plan application, pursuant to rule 4753, and shall include the complete M & V evaluation results with its annual DSM report in those years when the M & V is conducted.
- (b) As a part of its M & V program, the utility shall, at a minimum, design a M & V plan to evaluate the effectiveness of the actual DSM measures and programs implemented by the utility. The M & V plan shall address: sampling bias; a data gathering process sufficient to yield statistically significant results; and generally accepted methods of data analysis. The M & V plan shall also include an evaluation of free ridership, spillover, and the net-to-gross ratio. The M & V evaluation shall be implemented at least once per the DSM plan period. Subsequent DSM plan applications shall reflect the results of all completed M & V evaluations.
- (c) The M & V evaluation shall, at a minimum, include the following:
 - (I) an assessment of whether the DSM programs have been implemented as set forth in its Commission approved DSM plan;
 - (II) a measurement of the actual energy savings for each DSM program, in dekatherms per dollar expended and in total dollars, and a comparison to the corresponding utility projections in the approved DSM plan;
 - (III) to the extent feasible, an assessment of the period of time that each DSM measure actually remains in service, and a comparison to the corresponding utility projections in the approved DSM plan;
 - (IV) a summary of the actual benefit/cost ratio for each DSM program within the approved DSM plan;
 - (V) an assessment of the extent to which education and market transformation efforts are achieving the desired results; and
 - (VI) recommendations for how the utility can improve the market penetration and cost effectiveness of individual DSM programs.

4756. General Provisions Concerning Cost Allocation and Recovery.

- (a) Amortization periods.
 - (I) For the base rate method, the utility shall propose the amortization period. The utility shall specify and explain the rationale for the amortization period proposed for each DSM program as a part of its DSM plan application, filed pursuant to rule 4753.
 - (II) For the expense method, the utility shall recover the annual expenditures projected for that year over a one-year period.
- (b) A utility that provides both regulated gas and electric service shall give consideration to the administrative benefits and reduced costs associated with combining gas and electric DSM activities and shall assign costs and benefits appropriately to each plan.
- (c) Distribution of DSM program expenses.
 - (I) The utility shall include in its portfolio-level benefit/cost analysis all indirect costs relating to DSM, including but not limited to DSM customer education, program design, and evaluation costs.
 - (II) A utility's existing gas efficiency and conservation customer education tools, such as on-line energy assessment tools or other similar internet based tools, may be included in a utility's gas DSM plan and costs recovered pursuant to a gas DSM cost adjustment consistent with rule 4758.
- (d) Decoupling.
 - (I) The utility may file for approval of a revenue decoupling mechanism to remove disincentives to the implementation of effective gas DSM programs.
 - (A) The decoupling rate adjustment mechanism shall ensure that the revenue per customer, as established by the Commission, in setting base rates in a general rate case, is recovered by the utility without regard to the utility's sales to customers in the applicable rate class or classes after the date the adjusted base rates take effect.
 - (B) The Commission shall separately calculate, for the rate class or classes to which a decoupling rate adjustment mechanism applies, the regulatory disincentives removed through that decoupling mechanism and collected or refunded by the utility through a tariff mechanism.

- (II) The implementation of a revenue decoupling mechanism does not preclude a utility from receiving a G-DSM bonus pursuant to rule 4760.

4757. Funding and Cost Recovery Mechanism.

The purpose of the G-DSMCA is to enable utilities to recover prudently incurred gas DSM program expenses without requiring a change in their base rates for gas sales. All such costs, plus any G-DSM bonus approved by the Commission, shall be recovered through the G-DSMCA that is set on an annual basis, and collected from July 1 through June 30. The G-DSMCA allows for prospective recovery of prudently incurred costs of DSM programs within the DSM program expenditure target approved by the Commission in order to provide for funding of the utility's DSM programs, as well as recovery of deferred G-DSMCA costs, without having to file a rate case.

- (a) A utility may spend a disproportionate share of total expenditures on one or more classes of customers, provided, however, that cost recovery for programs directed at residential customers are to be collected from residential customers only and that cost recovery for programs directed at nonresidential customers are to be collected from nonresidential customers only, except as provided for in paragraph 4757(f).
- (b) The utility may recover its DSM program expenditures either through expensing or by adding DSM program expenditures to base rates as a part of, or outside of, a rate case, with an amortization period as set forth in rule 4756.
- (c) There shall be no financial penalty assessed on a utility for failing to reach its approved DSM program expenditure target, nor shall there be a bonus simply for meeting its DSM program expenditure target. All prudently incurred expenditures for the utility's portfolio of DSM programs are recoverable. However, the portion of costs yielding a modified TRC test value below 1.0 loses its presumption of prudence and is subject to review.
- (d) Amounts not spent under the DSM program expenditure target shall not roll-over to the next DSM period.
- (e) A utility has the discretion and the responsibility of managing the portfolio of DSM programs to meet the benefit to cost ratio and the energy and savings targets. In implementing DSM programs, a utility shall use reasonable efforts to maximize energy savings consistent with the approved DSM plan.

- (f) A utility may continue DSM programs that were in existence on or before May 22, 2007, the effective date of § 40-3.2-103, C.R.S., concerning measures to promote energy efficiency, and shall not be required to obtain approval from the Commission for recovery of costs associated with such programs. Any new expenditure for such programs must be included in the annual DSM plan filing and G-DSMCA application. Existing low-income DSM programs that recover costs from all customer classes shall continue such recovery.
- (g) A utility shall file a request to adjust its G-DSMCA factor either through an application or an advice letter and tariffs, pursuant to the relevant provisions of title 40, articles 1 through 7 of the Colorado Public Utilities Law and of the Commission rules. The G-DSMCA shall be filed pursuant to the schedule provided in rule 4752.
- (h) The G-DSMCA filing shall include information and attachments as required in rule 4758. If the M & V evaluation required by rule 4755 yields benefit/costs test results that impact the allowable recovery of costs or currently approved bonus, then the utility shall include such adjustments in the G-DSMCA filing and tariffs.
- (i) If the projected DSM program costs have changed from those used to calculate the currently effective G-DSMCA cost or if a utility's deferred G-DSMCA cost balance increases or decreases sufficiently, the utility may file an application to revise its currently effective G-DSMCA factor to reflect such changes, provided that the resulting change to the G-DSMCA factor equates to a base rate change of at least one cent (\$0.01) per Mcf or Dth. A utility has the burden of proof to justify any interim G-DSMCA filings and the Commission has the discretion to consolidate the interim G-DSMCA filing with the next regularly scheduled annual G-DSMCA filing.
- (j) Applicability of the G-DSMCA factor. The G-DSMCA factor shall be separately calculated and applied to the utility sales gas base rate schedules of residential and non-residential customers.
- (k) Return on DSM program expenditures to be amortized. For utilities that choose to amortize the DSM program expenditure, the balance of a utility's investments in cost-effective DSM programs shall earn a return equal to the utility's current after-tax weighted average cost of capital.
- (l) Interest on under- or over-recovery. The amount of net interest accrued on the average monthly balance in sub-accounts of Account No. 186 (whether positive or negative), is determined by multiplying the monthly balance by an interest rate equal to the Commission-authorized after-tax weighted average cost of capital.
- (m) Calculation of the G-DSMCA factor. The G-DSMCA factor shall be calculated separately for residential and non-residential customers to at least the accuracy of two significant places.

4758. Contents of Gas DSM Cost Adjustment Filing.

- (a) General provisions.
 - (I) A filing for a gas DSM cost adjustment (G-DSMCA) shall contain justifying information sufficient in detail to permit the Commission to determine the accuracy of the supporting calculation.
 - (II) The G-DSMCA filing shall include a complete set of work papers and all other documents relied on in preparing the adjustment.
 - (III) The provisions of this rule do not supersede other Commission rules that contain additional applicable filing requirements.
- (b) Specific provisions. The filing shall contain detailed schedules and supporting documents that establish, at a minimum, the following:
 - (I) the detailed calculation of the G-DSMCA for each customer class based on the following general formula:
 - (A) $\text{current G-DSMCA factor} = (\text{current G-DSMCA cost} + \text{deferred G-DSMCA cost}) / (\text{forecasted sales customer} \times \text{monthly service charge} + \text{forecasted sales gas quantity} \times \text{base rate})$; and
 - (B) the G-DSMCA factor will also include the current G-DSM bonus plus any adjustment necessary to previously approved G-DSM bonuses;
 - (II) a detailed schedule showing the computation of interest, as applicable, to deferred amounts;
 - (III) the absolute and percentage impact of the proposed rate on the base rates and on the total monthly bills of typical customers in each customer class;
 - (IV) a schedule detailing the allocation of costs to each customer class;
 - (V) proposed customer notice detailing rate impact and effective date;
 - (VI) proposed tariff implementing the proposed G-DSMCA; and

- (VII) if any gas DSM costs are proposed to be recovered by rate base treatment, with a return on the unamortized balance, a statement of current net operating earnings, a detailed calculation of the related revenue requirement and an attachment detailing any differences in the proposed rate base treatment compared to the regulatory practices employed by the Commission in its last general rate case for the applicant.

4759. Bill Itemization.

Consistent with rule 4406, a utility shall provide itemized gas cost information with gas DSM costs to all customers commencing with the first complete billing cycle in which the new rates are in effect.

4760. Gas DSM Bonus (G-DSM Bonus).

- (a) The Commission shall determine a financial bonus structure for gas DSM. The bonus amount shall be a percentage net economic benefits resulting from a DSM plan over the period under review, with the specific structure and calculation mechanism of the bonus determined by the Commission in the utility's strategic issues proceeding.
- (b) The Commission shall review each G-DSM bonus calculation and shall determine the level of bonus, if any, for which the utility is eligible consistent with the bonus framework established in the utility's most recent strategic issues proceeding. The collection on any G-DSM bonus awarded will be apportioned between residential and nonresidential customers based on the proportion of residential and nonresidential net economic benefits used to calculate the G-DSM bonus.
- (c) The G-DSM bonus, as modified and approved by the Commission, shall not count against a gas utility's authorized rate of return or be considered as net operating earnings in rate proceedings.
- (d) In the G-DSM bonus filing, the utility shall submit to the Commission the following, at a minimum:
 - (I) documented expenditures on DSM programs for the current G-DSMCA period;
 - (II) energy savings and peak demand reductions for the calendar year for which the bonus is to be awarded estimated following and the techniques approved in the DSM plan. The utility shall explain whether the actual gas savings are validated through the measurement and verification process as approved in the utility's DSM plan;

- (III) estimated cost-effectiveness of program expenditures for the current G-DSMCA period in terms of the amount of gas saved per unit of program expenditures;
 - (IV) actual gas savings and the techniques used to calculate these gas savings for the prior G-DSMCA period. The utility shall explain whether the actual gas savings are validated through the measurement and verification process, pursuant to rule 4755;
 - (V) actual cost-effectiveness of program expenditures for the prior G-DSMCA period in terms of the amount of gas saved per unit of program expenditures. The utility shall explain whether the actual cost effectiveness of program expenditures is validated through the measurement and verification process, pursuant to rule 4755;
 - (VI) proposed tariffs containing rates to collect the bonus over 12 months; and
 - (VII) any additional information required by the Commission in the utility's most recent strategic issues proceeding.
- (e) For the purposes of calculating the bonus, the costs and benefits associated with an income-qualified DSM program may be excluded from the calculation of the net economic benefits for the entire DSM portfolio if the modified TRC value for the income-qualified program is below 1.0. If the modified TRC value for the income-qualified program is above 1.0, the Commission may exclude the net economic benefits attributable to income-qualified programs from the bonus if the utility has met its targets for income-qualified programs.
 - (f) For the purpose of calculating the bonus, the modified TRC shall be calculated in accordance with paragraph 4753(o), unless otherwise specified in paragraph 4760(e).
 - (g) The maximum bonus is 20 percent of net economic benefits or 25 percent of expenditures, whichever is less, or any other incentive cap set by the Commission in the utility's strategic issues proceeding.
 - (h) Any awarded bonus shall be authorized as a supplement to a utility and not count against its authorized rate of return or be considered in rate proceedings. The awarded bonus shall be recovered through the G-DSMCA over a 12-month period after approval of the bonus.
 - (i) Any combined electric and gas utility seeking a G-DSM bonus for new residential or commercial construction shall provide a narrative discussion that explains why that gas DSM program does not incent additional gas usage as compared to a beneficial electrification alternative.
 - (j) Accounting for G-DSM bonus shall follow what has been prescribed for G-DSMCA costs, specifically in regard to interest on over- and under- recovery. A

separate sub-account in Account No. 186 shall be created for any deferred G-DSM bonus amount.

- (k) If the Commission finds that the actual performance varies from performance values used to calculate the G-DSM bonus in rule 4754, then an adjustment shall be made to the amount of G-DSM bonus award. Any true-up in G-DSM bonus will be implemented on a prospective basis.

4761. Filing of DSM Strategic Issues Applications.

- (a) Commencing in 2022, and no less frequently than every four years thereafter unless otherwise directed by the Commission, each utility shall file an application to open a DSM strategic issues proceeding. Strategic issues proceedings shall result in the development of energy savings and peak demand reduction goals to be achieved by the utility, taking into account its potential for cost-effective DSM as well as the State of Colorado's greenhouse gas reduction goals in accordance with § 25-7-102(2)(g), C.R.S.
- (b) In its application to open a DSM strategic issues proceeding, the utility shall provide:
 - (I) an estimated budget, corresponding energy savings and peak capacity reduction goals for all DSM programs;
 - (II) funding and cost-recovery mechanisms;
 - (III) a proposed methodology for estimating peak demand savings and the resulting cost savings;
 - (IV) an analysis of the comparative economics of DSM measures and programs, distinguished by the following:
 - (A) new construction;
 - (B) existing homes and businesses; and
 - (C) all building types;
 - (V) an analysis of the comparative economics of DSM measures and programs, particularly targeted at the weatherization of existing homes, and beneficial electrification;
 - (VI) a proposed financial bonus structure for DSM programs implemented by the utility, including any methodologies or formulas used to determine the bonus under that structure;
 - (VII) for only combined electric and gas utilities, and only for new construction, a narrative analysis of the impact of the proposed gas DSM measures on

the comparative economics of beneficial electrification versus the gas alternative; and

- (VIII) a cost effectiveness methodology and assumptions that will be in effect during the time period of the goals and budgets set in the strategic issues proceeding.
- (c) If the filing of an application to open a strategic issues proceeding overlaps with the filing of a DSM plan application pursuant to paragraph 4752(e), a utility with 250,000 or more full-service customers may request Commission approval for an extension of its currently effective DSM plan until the strategic issues proceeding is concluded. The utility will then file a new DSM plan application with proposed programs and measures to meet the energy savings goals and policy goals established by the Commission in the strategic issues proceeding.
- (d) Notwithstanding the requirements in paragraph 4761(a), for gas utilities with fewer than 250,000 full-service customers, the energy savings targets, a budget for gas DSM program expenditures, funding and cost-recovery mechanisms, and a financial bonus structure may be established in the same proceeding in which the utility's DSM plan is submitted for approval.
- (e) In its decision addressing the utility's application, the Commission will establish:
 - (I) savings goals for the utility to be addressed by DSM plan filings in accordance with rule 4753;
 - (II) an estimated budget for DSM program expenditures commensurate with the savings goals;
 - (III) a modifying factor to include in the TRC test to account for non-energy societal benefits (excluding the benefits incorporated in the social cost of carbon, the social cost of methane, and other provisions in these rules; and
 - (IV) a structure for any gas DSM bonus awarded to the utility in accordance with rule 4760. The bonus structure shall reward the utility's investment in cost-effective DSM programs and shall result in an annual bonus amount that reflects the extent to which the utility has achieved the targets established in subparagraphs (I) and (II) above.

4762. – 4799. [Reserved].

MASTER METER OPERATORS

4800. Scope and Applicability.

These rules are applicable to any person who purchases gas service from a serving utility for the purpose of delivery of that service to end-users whose aggregate usage is measured by a master meter or other composite measurement device.

4801. Definitions.

The following definitions apply to rules 4800 through 4805, unless a specific statute or rule provides otherwise. In the event of a conflict between these definitions and a statutory definition, the statutory definition shall apply.

- (a) “Check-meter” means a meter or other composite measurement device used by a master meter operator to determine gas consumption by end-users served by the master meter operator.
- (b) “Master meter” means a meter or other composite measurement device which a serving utility uses to bill a master meter operator.
- (c) “Master meter operator” (MMO) means a person who purchases gas service from a serving utility for the purpose of delivering that service to end-users whose aggregate usage is measured by a master meter.
- (d) “Refund” means a refund, rebate, rate reduction, or similar adjustment.
- (e) “Serving utility” means the utility from which the master meter operator receives the gas service which the master meter operator then delivers to end-users.

4802. Exemption from Rate Regulation.

- (a) Pursuant to § 40-1-103.5, C.R.S., and by this rule, the Commission exempts from rate regulation under Articles 1 to 7 of Title 40, C.R.S., a master meter operator which is in compliance with rules 4803 and 4804.
- (b) A master meter operator which is not in compliance with rules 4803 and 4804 is subject to rate regulation under Articles 1 to 7 of Title 40, C.R.S., and shall comply with the applicable rules.

4803. Exemption Requirements.

- (a) In order to retain its exemption from rate regulation, a MMO shall do the following.

- (I) As part of its billing for utility service, the MMO shall charge its end-users only the actual cost billed to the MMO by the serving utility. The MMO shall not charge end-users for any other costs (such as, without limitation, the costs of construction, maintenance, financing, administration, metering, or billing for the equipment and facilities owned by the MMO) in addition to the actual costs billed to the MMO by the serving utility.
 - (II) If the MMO bills its end-users separately for service, the sum of such billings shall not exceed the amount billed to the MMO by the serving utility.
 - (III) If the MMO bills its end-users separately for service, the MMO shall pass on to its end-users all refunds the MMO receives from the serving utility or otherwise.
 - (IV) The MMO shall establish procedures for giving notice of a refund to those who are not current end-users but who were end-users during the period for which the refund is paid.
 - (V) A master meter operator shall retain, for a period of not less than three years, all records of original utility billings made to the master meter operator and all records of billings and refunds made by the master meter operator to its end-users, including certification of mailing, when applicable.
- (b) In order to retain its exemption from rate regulation, a MMO shall not resell the services provided by a serving utility to the MMO for profit. Resale of services provided by a serving utility to a MMO for profit is a basis for revocation of an exemption from rate regulation.
- (c) A MMO may check-meter tenants, lessees, or other persons to whom the gas ultimately is distributed but may do so only if the following conditions are met:
- (I) the check-meter is used solely for the purpose of determining a basis for the MMO to allocate the costs of the serving utility; and
 - (II) the MMO does not receive more than the actual amount billed to the MMO by the serving utility from the MMO's customers.

4804. Refunds.

- (a) When a serving utility notifies a MMO of a refund or when a refund is otherwise made related to the services provided by the serving utility to the MMO, a MMO shall refund an allocated share of the refunds to its customers within 90 days after receipt of the notice or refund from the serving utility. The notification shall be made either by first-class mail with a certificate of mailing or by inclusion in any monthly or more frequent regular written communication. The MMO shall retain the certification of mailing pursuant to subparagraph 4803(a)(V). The MMO shall also notify former customers who were end-users during the period for which the refund is made that refunds are available, to the extent such former customers can be located.
- (b) A MMO may retain any portion of a refund which is related to service taken by the MMO at its own facilities after refunds are made to its current and former customers.
- (c) If the aggregate amount of a refund which remains unclaimed after 90 days exceeds \$100, the MMO shall contribute that unclaimed amount to the energy assistance organization in accordance with rules 4410(d), (f), and (g). If the aggregate amount which remains unclaimed after 90 days does not exceed \$100, the MMO may retain the aggregate amount.

4805. Complaints, Penalties, and Revocation of Exemption.

- (a) Pursuant to rules 1301 and 1302, a person (including without limitation anyone taking service from a master meter operator) may make an informal complaint to the Commission or may file a formal complaint with the Commission with the respect to an alleged violation of rules 4803 and 4804.
- (b) As a result of a complaint or on its own motion, the Commission will investigate complaints concerning MMOs. If the Commission determines after investigation that an MMO has violated any of the requirements of rules 4803 and 4804, the MMO may have its exempt status revoked or may be subject to penalties as set forth in § 40-7-107, C.R.S., or both.

4806. – 4975. [Reserved].

4976. Regulated Gas Utility Rule Violations, Civil Enforcement, and Civil Penalties.

An admission to or Commission adjudication for liability for an intentional violation of the following may result in the assessment of a civil penalty of up to \$2,000.00 per offense. Fines shall accumulate up to, but shall not exceed, the applicable statutory limits set in § 40-7-113.5, C.R.S.

Citation	Description	Maximum Penalty Per Violation
	Articles 1-7 of Title 40, C.R.S.	\$2000
	Commission Order	\$2000
Rule 4005	Records and Record Retention	\$2000
Rule 4027(a)	Collection and Use of Customer Data	\$1000
Rule 4027(b),	Disclosure of Customer Data	\$2000
Rule 4027(c)	Tariff	\$1000
Rule 4027(d)	Disclosure of Customer Data	\$1000
Rule 4028(a)	Customer Notice	\$1000
Rule 4029(a),(b)	Consent Form	\$1000
Rule 4030(a)	Disclosure of Customer Data	\$2000
Rule 4030(b)	Records	\$1000
Rule 4031(a)	Disclosure of Customer Data	\$2000
Rule 4031(b)	Records	\$1000
Rule 4032(a)	Disclosure of Customer Data	\$2000
Rules 4032(c) and (d)	Consent and Records	\$1000
Rule 4033(a)	Disclosure of Aggregated Data	\$2000
Rule 4033(d)	Tariff	\$1000

Citation	Description	Maximum Penalty Per Violation
Rule 4100(a)	Obtaining a Certificate of Public Convenience and Necessity for a Franchise	\$2000
Rule 4101(a)	Obtaining a Certificate of Public Convenience and Necessity or Letter of Registration to operate in a service territory	\$2000
Rule 4102(a)	Obtaining a Certificate of Public Convenience and Necessity for facilities	\$2000
Rule 4103(a), (c), (d)	Amending a Certificate of Public Necessity for changes in service territory or facilities	\$2000
Rule 4108(a), (c)	Keeping a Current Tariff on File with the Commission	\$2000
Rule 4109	Filing a New or Changed Tariff with the Commission	\$2000
Rule 4110(b),(c)	Filing an Advice Letter to Implement a Tariff Change	\$2000
Rule 4200	Construction, Installation, Maintenance and Operation of Facilities in Compliance with Accepted Engineering and Industry Standards	\$2000
Rule 4208	Anticompetitive Conduct and Unacceptable Practices	\$2000
Rule 4210	Line Extensions	\$2000
Rule 4303	Meter Testing	\$2000
Rule 4306	Record Retention of Tests and Meters	\$2000
Rule 4309	Provision of Written Documentation of Readings and Identification of When Meters Will be Read	\$2000

Citation	Description	Maximum Penalty Per Violation
Rule 4401	Billing Information, Procedures, and Requirements	\$2000
Rule 4754(a)-(e)	Annual DSM Report and Application for Bonus and Bonus Calculation	\$2000
Rule 4803(c)	Master Meter Exemption Requirements	\$2000
Rule 4004(b)-(f)	Disputes and Informal Complaints	\$1000
Rule 4202	Maintaining Heating Value, Purity and Pressure Standards	\$1000
Rule 4203(a)-(f)	Trouble Report Response, Interruptions and Curtailments of Service	\$1000
Rule 4405	Provision of Service, Rate, and Usage Information to Customers	\$1000
Rule 4406	Provision of Gas Cost Component Information to Customers	\$1000
Rule 4603(a),(d)	Gas Cost Adjustments	\$1000
Rule 4605(a),(b),(e),(f)	Gas Purchase Plans	\$1000
Rule 4607(a)	Gas Purchase Reports and Prudence Reviews	\$1000
Rule 4403(a)-(q)	Applications for Service, Customer Deposits, and Third Party Guarantees	\$500
Rule 4006	Annual Reporting Requirements	\$100
Rule 4304	Scheduled Meter Testing	\$100
Rule 4305	Meter Testing Upon Request	\$100
Rule 4402(a),(c),(d)	Meter and Billing Error Adjustments	\$100

Citation	Description	Maximum Penalty Per Violation
Rule 4404(a)-(h)	Availability of Installation Payments to Customers	\$1000
Rule 4407	Discontinuance of Service	\$2000
Rule 4408(a)-(g); (i)	Notice of Discontinuance of Service	\$2000
Rule 4409	Restoration of Service	\$2000
Rule 4411(c)(IV),(d)(I), d(II),(e)	Low-Income Energy Assistance Act	\$100

4977. – 4999. [Reserved].

GLOSSARY OF ACRONYMS.

CAAM –	Cost Allocation and Assignment Manual
CCR –	Colorado Code of Regulations
C.F.R. –	Code of Federal Regulations
CPCN -	Certificate of Public Convenience and Necessity
CRCP –	Colorado Rules of Civil Procedure
C.R.S. -	Colorado Revised Statutes
e-mail -	Electronic mail
FDC -	Fully Distributed Cost
FERC –	Federal Energy Regulatory Commission
GAAP -	Generally Accepted Accounting Principles
GCA –	Gas Cost Adjustment
GPP –	Gas Purchase Plan
GPR –	Gas Purchase Report
ITP –	Intrastate Transmission Pipeline

LDC – Local Distribution Company
MMO – Master Meter Operator
UCA - Office of Utility Consumer Advocate
USOA – Uniform System of Accounts

Glossary of Gas Measurement Units:

Btu –	British Thermal Unit
MMBtu –	1,000,000 Btu (approximately one Mcf, depending on heat content of gas)
Dth –	Dekatherm or One MMBtu
Therm –	100,000 Btu (approximately one Ccf, depending on heat content of gas)
Scf -	Standard cubic feet
Ccf –	100 cubic feet (typically actual cf at meter, rather than Scf)
Mcf –	1,000 standard cubic feet
MMcf –	1,000,000 standard cubic feet
Bcf –	1,000,000,000 standard cubic feet
MMcfd –	One MMcf per day

Editor's Notes

History

Entire rule eff. 08/01/2007.

Rules SB&P, 4005, 4006, 4406, 4750-4760 eff. 05/30/2008.

Rules SB&P, 4900, 4901, 4902, 4905, 4910-4917, 4932, 4935, 4950-4954, 4970 eff. 11/30/2008.

Rules 4918-4921 repealed eff. 11/30/2008.

Rule 4975 emer. rule eff. 03/05/2009.

Rule 4975 emer. rule eff. 09/23/2009; expired eff. 04/21/2010.

Rules 4750-4754 eff. 11/30/2009.

Rules SB&P, 4009-4010, 4976 eff. 09/14/2010.

Rules SB&P, 4900-4932, 4950-4975, 4977-Glossary of Acronyms eff. 11/30/2011.

Rules SB&P, 4006.(f)-4006.(l), 4400, 4412 eff. 12/15/2011.

Rules 4900.(b), 4901, 4902.(a)-(c), 4903, 4905.(d), 4911.(b), 4952.(d)(l), 4953, 4954.(a) eff. 08/30/2013.

Rules 4001, 4025-4036, 4976 eff. 09/30/2015.

Rule 4412 eff. 01/30/2017.

Rules 4000-4008, 4100-4110, 4201-4210, 4300.(c), 4303.(a), 4304-4309, 4400-4412, 4501.(f), 4502-4504, 4600-4609, 4702, 4703, 4705, 4750-4758, 4760, 4801, 4803-4805 eff. 06/30/2018.

Rule 4008.(c) eff. 04/30/2019.

Rule 4412.(c) emer. rule eff. 10/18/2019.

Rule 4412.(c) eff. 05/15/2020.

Rule 4412.(g)(l)(B) emer. rule eff. 12/16/2020; expired 07/14/2021.

Rules SB&P, 4000, Glossary of Acronyms eff. 03/17/2021. Rules 4900-4975 repealed eff. 03/17/2021.

Rules 4403, 4404, 4407-4409, 4976 eff. 01/14/2022.

Rule 4412 eff. 10/15/2022.

Rules 4600-4604, 4605(f), 4607-4610 eff. 04/14/2023.

Rules SB&P, 4001, 4002, 4005, 4102, 4201, 4202, 4210, 4409.(b), 4411.(a), 4412.(e), 4525-4528, 4550-4555, 4725-4734, 4750-4761 eff. 05/15/2023.

Rules SB&P, 4001, 4002.(a)(VIII), 4109, 4350 emer. rules eff. 08/14/2023.

Rules SB&P, 4001, 4002.(a)(VIII), 4109, 4350 emer. rules eff. 03/06/2024.

Rules 4001, 4102.(XVI)(A)(iii), 4403.(e), 4407.(e)(III)-(VII), 4407.(g)(l), 4407.(h)-(k), 4409.(c)-(e), 4411.(a)(II)(A), 4411.(b)(II), 4411.(c)(I)(K), 4412.(a)(l), 4412.(b)(V), 4412.(b)(X)-(XI), 4412.(c)(l), 4412.(g)(l), 4412.(g)(IV), 4412.(h)(l), 4412.(j)-(k), 4553.(a)(III)(D), 4553.(c)(I)(P)(i)(3), 4731.(f)(I)(B)(6), 4732.(b)(VI), 4733.(a)(VII) eff. 05/15/2024.

Rules SB&P, 4001, 4002.(a)(VIII), 4109, 4350 emer. rules eff. 09/30/2024.

Rules SB&P, 4001, 4002.(a)(VIII), 4109, 4350 emer. rules eff. 11/05/2024.

Rule 4407.(e)(VII)(B) eff. 04/14/2025.

Rules 4600-4604, 4607-4609 eff. 04/30/2025.

Rules SB&P, 4001, 4002.(a)(VIII), 4109, 4350 emer. rules eff. 06/02/2025.

Rules 4001.(uu), 4001.(III), 4109, 4350-4351, 4405.(d) eff. 09/30/2025.

Rules 4001, 4102(f), 4102(i), 4211, 4553(c)(I)(P)(i)(3), 4731(f)(I)(B)(6), 4733(a)(VII) eff.
01/30/2026.

Rules 4728 (d), 4732 (e) eff. 03/17/2026.

Rule 4407(g) eff. 06/14/2026.